

exceeding excellence

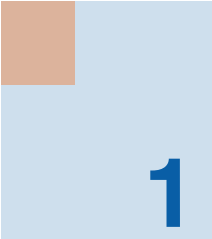
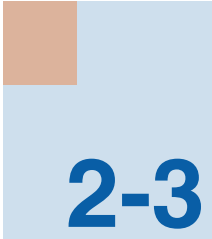
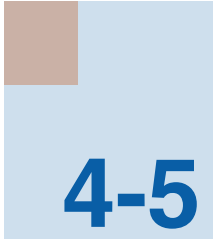
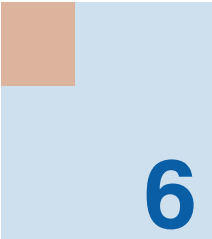
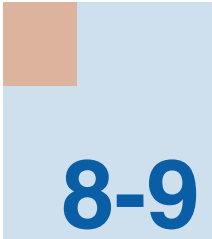
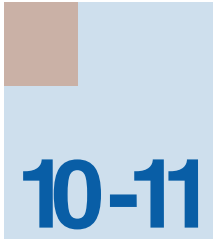


As we navigate Sri Lanka's evolving socio-economic landscape, Arpico Insurance remains true to our steadfast commitment to offer innovative, relevant products and deliver exceptional services. Our pursuit of growth hinges steadily on our ability to exceed excellence and we constantly challenge ourselves to remain conscious of changing dynamics, anticipate trends and adapt strategies accordingly. Our longstanding affiliation with Sri Lanka's pioneering conglomerate enable us to remain resilient in the face of challenges, strengthen focus on the quality of our products and services and maintain financial and operational ability to ensure that we create lasting value for all our stakeholders.

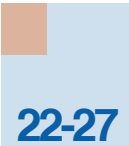
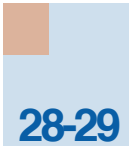


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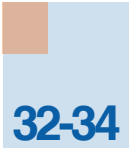
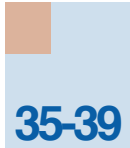
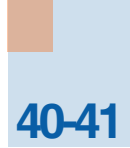
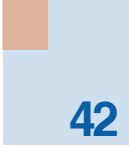
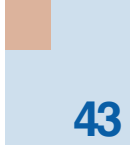
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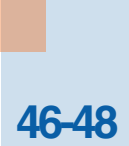
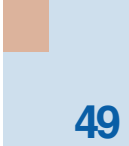
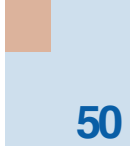
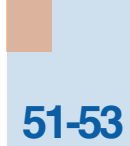
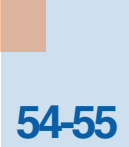
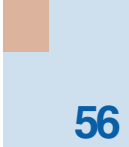
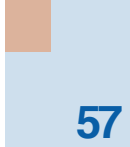
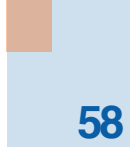
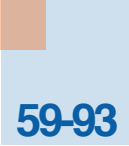
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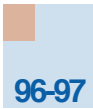
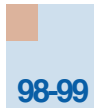
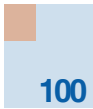
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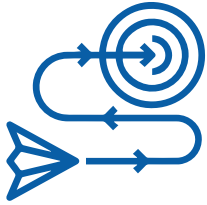
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Vision, Mission and Values of the Company



Vision

To be the most trusted and innovative solutions provider for life insurance needs.



Mission

Provide unparalleled services to clients through team spirit nourished by passion and developing innovative life insurance solutions, technical expertise, value additions and unique service capability.



Values of the Company

To serve customers with care, compassion and respect.

To do the right thing for the right reason.

Always think to lead in new ways and introduce result oriented solutions to customers.

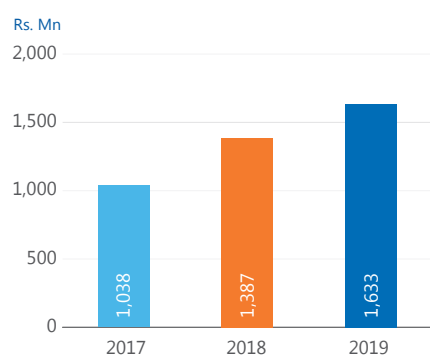
Always nurture and value team spirit along with satisfaction.

Ensure maintenance of high ethical standard in all professional aspects and practices of the Company.

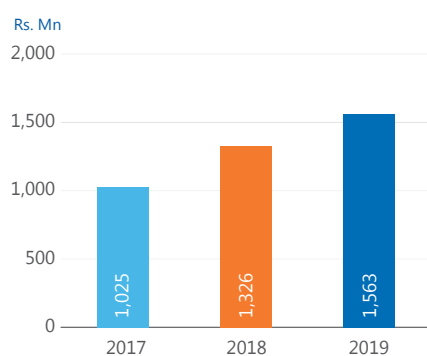
Highlights of the Year

As at 31st December	2019 Rs. Mn	2018 Rs. Mn	Growth %
GWP	1,633	1,387	18
Life Fund	1,563	1,326	18
Profit Before Tax	316	199	59
Total Assets	3,648	2,996	22
Investment Portfolio	2,377	2,028	17
Number of new Policies	20,848	20,565	1
EPS (Rs.)	3.43	7.54	-55

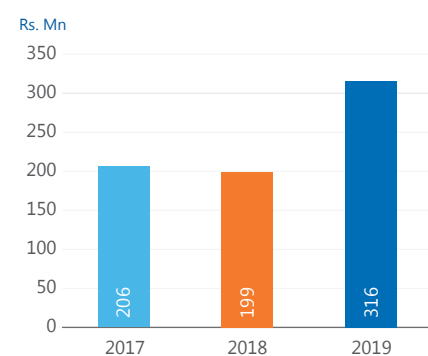
GWP



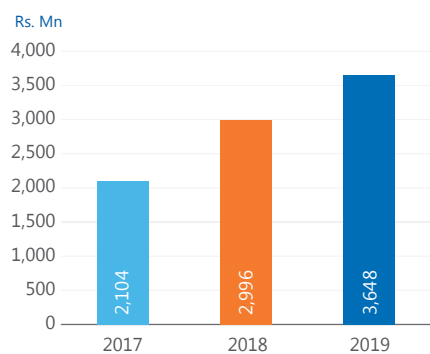
Life Fund



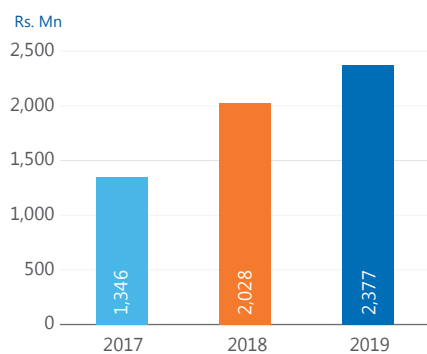
Profit Before Tax



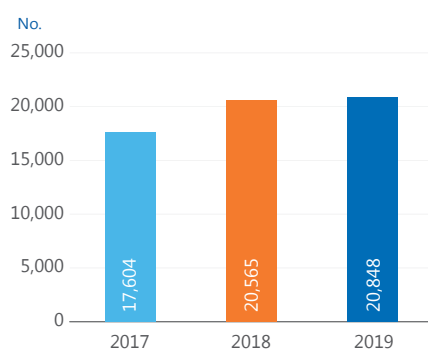
Total Assets



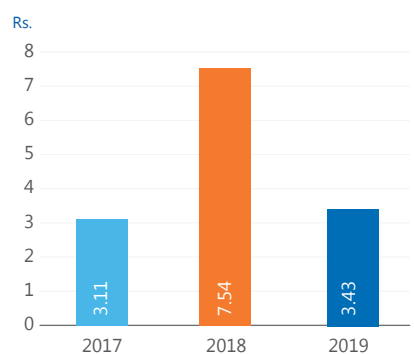
Investment Portfolio



No. of Policies



EPS





GWP

Rs. **1,633** Mn

2018 : Rs. 1,387 Mn



PROFIT BEFORE TAX

Rs. **316** Mn

2018 : Rs. 199 Mn



LIFE FUND

Rs. **1,563** Mn

2018 : Rs. 1,326 Mn



TOTAL ASSETS

Rs. **3,648** Mn

2018 : Rs. 2,996 Mn



EPS

Rs. **3.43**

2018 : Rs. 7.54



INVESTMENT PORTFOLIO

Rs. **2,377** Mn

2018 : Rs. 2,028 Mn



NUMBER OF POLICIES

20,848

2018 : 20,565

Key Milestones

2011
June



Incorporated as Public Limited Company under the name "Arpico Insurance Limited".

2011
October

IRCSL granted the license to Arpico Insurance to act as a Life Insurer primarily conducting Life Insurance business in Sri Lanka.

2012
January

Launching of Arpico Insurance and commencement of its operations at the Hyde Park Corner office.

2019



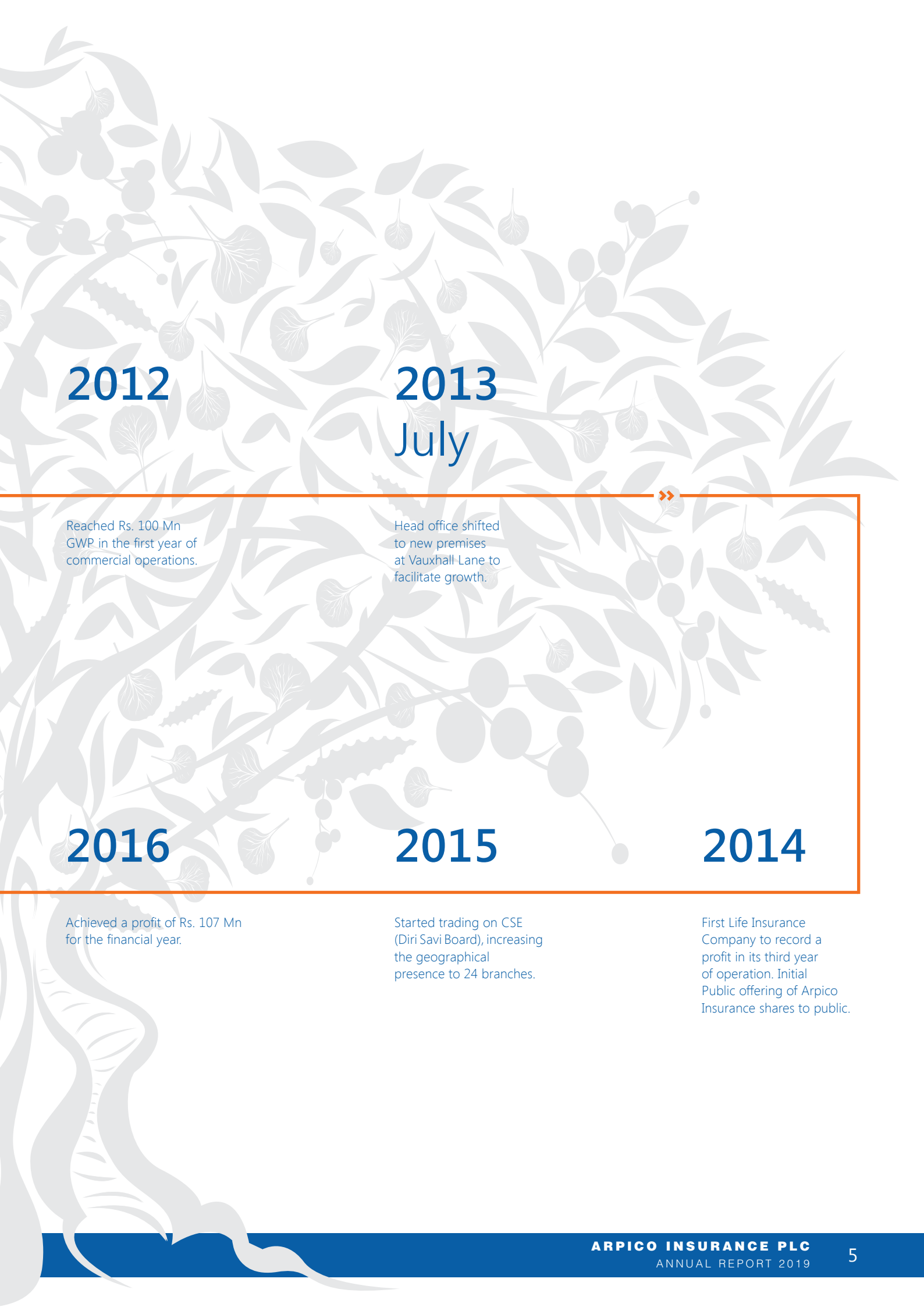
Received a special award from Indian Chamber of Commerce for The Risk Management Strategy of the year 2019. Awarded as Most Trusted Life Insurance Brand Sri Lanka 2019 by Global Brands Magazine-UK.

2018

Awarded as the Fastest Growing Life Insurance Company Sri Lanka for the second consecutive year in 2018 by Global Banking & Finance Review and awarded as the Most Successful Life Insurance Company Sri Lanka 2018 by Global Brand Magazine.

2017

Awarded as the Fastest Growing Life Insurance Company Sri Lanka 2017 by the Global Banking & Finance Review.



2012

Reached Rs. 100 Mn GWP in the first year of commercial operations.

2013 July

Head office shifted to new premises at Vauxhall Lane to facilitate growth.

2016

Achieved a profit of Rs. 107 Mn for the financial year.

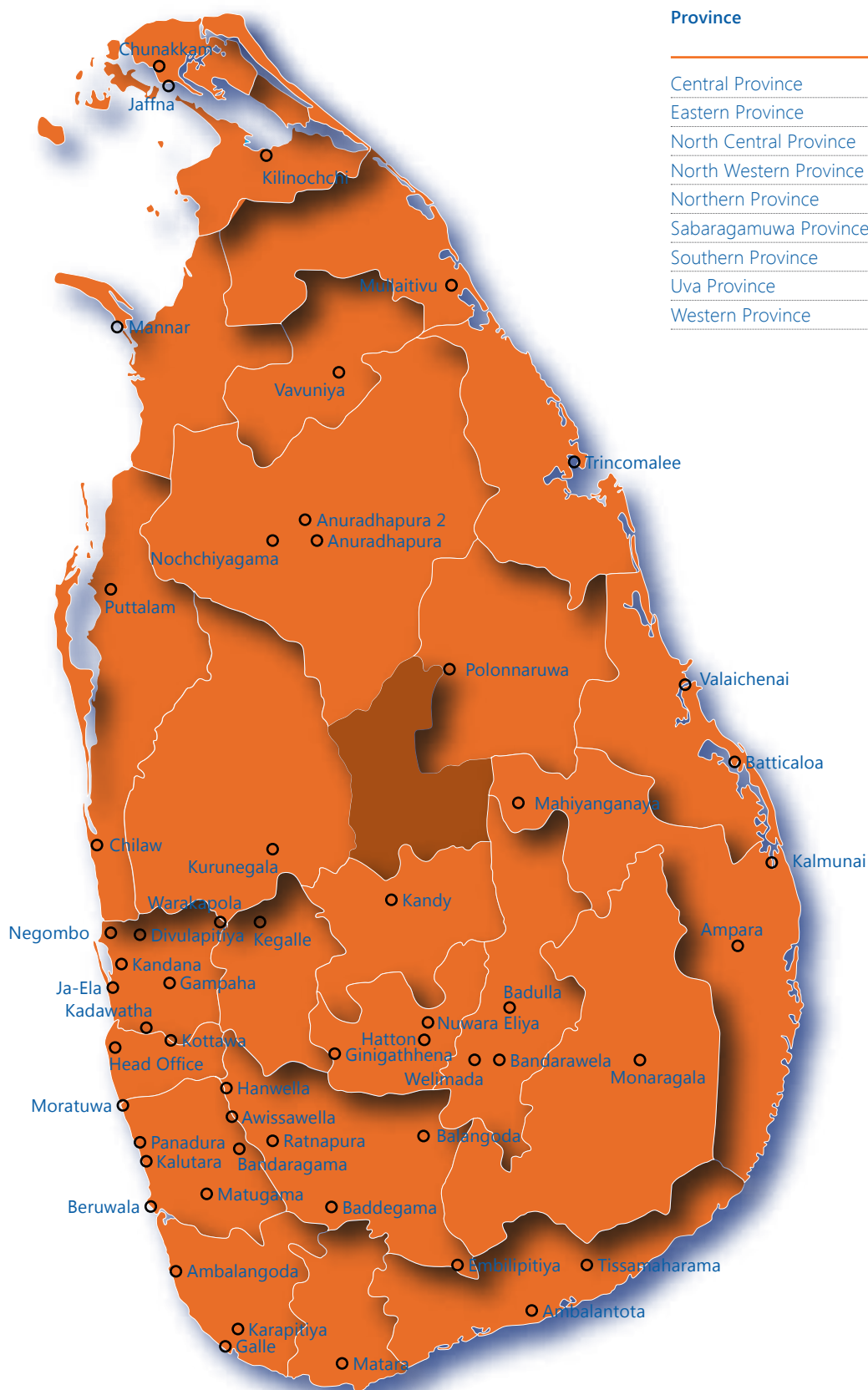
2015

Started trading on CSE (Diri Savi Board), increasing the geographical presence to 24 branches.

2014

First Life Insurance Company to record a profit in its third year of operation. Initial Public offering of Arpico Insurance shares to public.

Branch Network



Province	No. of Branches
Central Province	5
Eastern Province	6
North Central Province	3
North Western Province	3
Northern Province	6
Sabaragamuwa Province	5
Southern Province	7
Uva Province	4
Western Province	16

Risk Management
Strategy of the year 2019

Most Trusted Life Insurance
Brand Sri Lanka 2019

Most Successful Life
Insurance Company
Sri Lanka 2018

Fastest Growing Life Insurance
Company Sri Lanka 2017

Fastest Growing Life Insurance
Company Sri Lanka 2018



Chairman's Message



“

During this year, we achieved
a profitability growth of

59%

recording a profit before
tax of Rs. 316 Mn

”

A handwritten signature in black ink, consisting of a stylized 'V' followed by a long horizontal stroke.

Viville Perera
Chairman

As we wrap up yet another year of commendable growth, I am pleased to present the year's financial and non-financial highlights. In 2019, we succeeded in maintaining a commendable growth rate of 17.8% amidst various macro challenges. The year under review was one of the most challenging years in recent history not only for the insurance industry, but also the nation as a whole in the wake of the Easter Sunday tragedy and economic uncertainty that followed. Nevertheless, Arpico Insurance steered growth through employing customer service excellence, differentiation and the strength that comes from being part of our parent Group, Richard Pieris & Company PLC. This resilience bodes well for all our stakeholders in the years to come, as we continue our journey of success.

GLOBAL AND SRI LANKAN ECONOMIC BACKDROP

International Monetary Fund reveals that global growth hit lowest level since 2008-09 at 3.0% in 2019. While growth is projected to pick up in 2020, slow growth which spiralled from April 2019 negatively impacted the world economy. The less than desirable performance arise from increasing trade tensions, geopolitical uncertainties as well as macroeconomic tensions in a number of emerging markets. Moreover, ageing demographics and low productivity growth too contributed to this downward trend. During the first half of 2019, the Sri Lankan economy grew at a pace of 2.4% in real terms compared to the 3.3% growth experienced during the corresponding period in the previous year. The economic downturn experienced in the aftermath of the Easter Sunday attack contributed to this slow pace in growth. In tandem with lackluster economic growth, unemployment rate too increased to 4.8% during 2019. In the second quarter of the year, accommodation, food and beverages as well as transportation services contracted due to the negative impact of the Easter Sunday attack. Industry sector growth stemmed from the recovery in the construction and mining and quarrying activities. Agricultural sector grew spurred by the expansion in growing rice as well as growing coconut, king coconut and oil palm.

SECTOR REVIEW

In 2019, the Insurance Industry grew at a modest rate of 8.4% in terms of overall Gross Written Premium (GWP) driven by the challenging macroeconomic environment. The sector recorded an increase of Rs. 15.2Bn in comparison to 2018. The GWP for Long Term Insurance and General Insurance was Rs 196.7Bn for the financial year 2019. The GWP Long Term Insurance amounted to Rs. 89Bn. The insurance industry's asset base grew by 11.6% Year on Year in 2019. Long Term Insurers dominated a higher proportion of industry assets.

COMPANY GROWTH AND STRATEGIC REALIGNMENT

Arpico Insurance continued to maintain our growth momentum in spite of the challenging external environment, proving the Company's innate capacity and prudent, viable growth plans. During the year under review, Arpico Insurance recorded a policy growth of 1%. Our GWP growth was at 18% at Rs. 246Mn. During this year, we achieved a profitability growth of 59% recording a profit before tax of Rs. 316 WMn. Our strategic attempts to grow our sales force during the previous year bore fruit in 2019, to increase profitability as well as our long term growth prospects.

EMPLOYEES

Our success stems from the performance of our employees. Their commitment, industry knowhow and personal growth drives Company

growth. In line with our approach to recruit and retain the crème de la crème of the industry, we reward our employees with above average remuneration and growth opportunities. We ensure that our employees receive timely rewards and recognition to enhance their efficiency and fuel their drive to succeed. The Insurance sector requires its people to possess and continuously enhance a unique set of skills and competencies. Hence, we provide our employees with an environment conducive to learning and acquiring new skills. In addition, we provide training opportunities periodically.

CUSTOMERS

Mindful of the fact that customer requirements change with evolving times, we remain committed to a perceptive and customer-centric approach to business. Arpico Insurance conducts periodic market research to ascertain changing requirements and change our product and service offering in line. We have already begun to lay the foundation to meet the requirements of the digital centric future as we prepare for the fourth industrial revolution to change the insurance landscape. The world is evolving rapidly and headed towards a new era that would involve various socioeconomic challenges, unforeseen before. The insurance industry, like other services industries must foresee, discern and be prepared to cater to the changing requirements of the new era. As such, Arpico Insurance is planning to observe, analyse and be sensitive to customer needs. We have already put in place a comprehensive strategy to attain this particular objective and pursue growth.

CORPORATE GOVERNANCE

A sound Corporate Governance approach creates a conducive platform for sustainable growth and such an approach steers the Company to create value for stakeholders. Arpico Insurance Corporate Governance policies were designed to infuse the core values of transparency and integrity at all levels of the Company. Our corporate culture pivots around a robust corporate governance framework while our Board of Directors work towards a common goal of viable growth for all stakeholders involved. Our robust corporate governance framework guides the Board of Directors to remain accountable to all stakeholders.

FUTURE OUTLOOK

Arpico Insurance has grown from a fresh entrant to the field in the year 2010, to become a force to be reckoned with during the past 8 years. While we plan to focus on channel growth to pursue steady progress, we will also leverage further on our strong position as part of the Richard Pieris & Company PLC. We have already laid out strategic plans to maintain our praiseworthy momentum and meet challenges with characteristic resilience and vision.

ACKNOWLEDGMENT

As a relatively young Long Term Insurance provider, we could not have achieved this level of success without the truly inspirational and wise council and leadership of our Group Chairman Dr. Sena Yaddhegige. I am grateful to him for his guidance and unwavering strength. Our employees have always conducted themselves with professionalism, commitment to success and perseverance even in times of great strain. I would like to offer my heartfelt gratitude to them for their consistent dedication. Our Board of Directors steer the Company to seek greater heights with far sighted vision and vigour. I am thankful for their tireless efforts. I am indebted to our shareholders for their continued trust in us. Let us continue to pursue growth and prosperity.

Acting Chief Executive Officer's Review

It is with much contentment and pleasure that I present the financial and non-financial highlights of the year 2019 - a year we recorded steady, progressive growth in the midst of many social and economic challenges. Despite the difficulties that were brought about by the Easter Sunday attacks and its immediate aftermath, Arpico Insurance PLC posted an impressive growth of 17.8% for the year 2019, in contrast to the overall Long Term Insurance industry growth of 10.6%.

Our dynamic approach towards excellence in Customer Service, research-based innovation and the increase to our geographical footprint, brought about by the addition of nine new units to the existing branch network, spearheaded our rapid growth and progression in the year under review. Furthermore, as a part of one of Sri Lanka's most successful and trusted corporate entities, Richard Pieris & Company PLC, we continuously strive for nothing short of excellence in everything we do.

ECONOMIC BACKDROP

During the year under review, global economic growth experienced a downward trend, recording the lowest levels since the 2008-09 global financial crisis, at a mere 3%. Continuing trade tensions between major economies and various other security and geopolitical challenges contributed largely to this downturn. In addition, low productivity growth, an aging population and various other interconnected macroeconomic factors negatively impacted global growth. The global economy will continue to face further challenges in 2020, some in the likes that have not been witnessed before, with the onset of COVID 19 and its short and long term implications.

The Sri Lankan economy too witnessed a major setback in 2019 following the Easter Sunday attacks, which had an adverse effect that slowed down growth. During the subject year, the Sri Lankan economy grew at a less than desirable pace of 2.4%. This contrasted sharply with the growth rate of 3.3% recorded in 2018. Due to subdued economic activity, the unemployment rate rose to 4.8% from 4.4% for the year when compared to the corresponding period in 2018.

INSURANCE INDUSTRY

The Insurance industry recorded a growth of 8.4% to reach Rs. 196.7Bn in terms of overall Gross Written Premium (GWP) income during the year under review. Long Term Insurance business grew by 10.6% when compared to the previous year, posting a GWP of Rs. 88.7Bn. Asset growth in the Long Term Insurance business increased significantly in 2019 at a growth rate of 13.4% while the assets of Long Term Insurance Business during the period under review amounted to Rs. 487Bn. Claims incurred by Long Term Insurance companies amounted to Rs. 38.8Bn as at 31st December 2019.

Profit (before tax) of Long Term Insurance Business amounted to Rs. 17.9 Bn, indicating a decrease of 26% over the previous year.

COMPANY PERFORMANCE

Despite challenging tides, Arpico Insurance PLC recorded a profitability growth of 59% in terms of profit before tax when compared to the previous year. Our GWP growth was at a commendable 17.8% at Rs. 1.63Bn as at 31st December 2019. Prudent risk and capital management practices as well as our efforts to strengthen our sales force in the year 2018, steered the Company in the right direction to achieve profitability and sustained growth even in these trying times. Another noteworthy mention is that Arpico Insurance's investment income increased by 27% during the year under review.

STRATEGIC IMPETUS

Our grand design aimed at attaining sustainable growth while creating value for all stakeholders, revolves around a multi-pronged, far-sighted growth plan. As such, our growth strategy involves nurturing partnerships with our existing business partners, forging new alliances and venturing in to new channels of revenue generation. We plan to explore growth prospects through bancassurance, corporate sales and sales collaborations with corporate entities, whilst increasing our geographical reach with further expansions to the branch network. Moreover, we will continue to offer customers with practical and relevant insurance solutions brought about by continuous market research. In the years to come, we will seek to leverage on our innate strength, being a part of the respected, long-standing corporate brand, Richard Pieris & Company PLC.

We will continue to build on our robust performance within the last 8 years to move forward with speed and precision. Our core values of integrity, resilience and exceptional customer care is sure to propel the Company forward, creating greater value for all stakeholders.

APPRECIATION

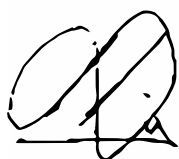
First and foremost, I would like to express my deep gratitude and appreciation to our Group Chairman Dr. Sena Yeddehige for his visionary leadership and prudent guidance. I am most grateful to him for his support and counsel in helping lead Arpico Insurance PLC to reach new heights. I would also like to offer my sincere gratitude to our Chairman Mr. Viville Perera who has been a consistent guiding light in our journey. Our employees are the cornerstone of our success and it's needless to say that without our people, we will not be where we are in such a competitive and dynamic industry. I thank and sincerely appreciate their efforts aimed at taking Arpico Insurance PLC to the next level.

I am deeply grateful to our Board of Directors who continue to steer us forward in the right direction through their exemplary leadership and also to our shareholders for the trust and confidence placed on Arpico Insurance PLC. Last but definitely not least, I also wish to thank our valued, loyal customers for the conviction and confidence placed on us. Rest assured, we will continue in our journey of success undaunted.

“

We will continue to build on our robust performance within the last 8 years to move forward with speed and precision.

”



Harsha De Alwis
Acting Chief Executive Officer

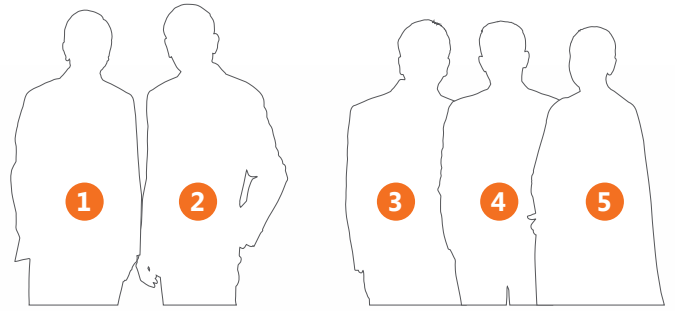


Board of Directors



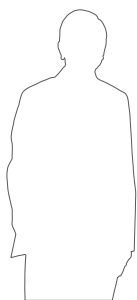
1 **Mr. Viville Perera** - Chairman

2 **Mr. S Sirikananathan** - Independent Non-Executive Director



- 3** Mr. R N Liyanage - Non-Executive Director **4** Mr. Shiron Gooneratne - Non-Executive Director
5 Mrs. Lasinee Serasinhe - Independent Non-Executive Director

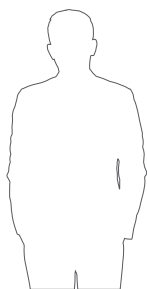
Board of Directors



MR. VIVILLE PERERA

Mr. Viville Perera is a Science graduate from Kelaniya University with Second Class Honours and a Fellow Member of the Chartered Institute of Management Accountants and Associate Member of the Chartered Institute of Marketing in United Kingdom. Mr. Perera has over 32 years' experience in senior managerial capacity in leading business organisations such as Associated Newspapers of Ceylon Limited, Middleway Ltd (Ceylinco Group) and Amico Group of Companies and Alliance Finance Co. PLC.

He has served as Treasurer from 1992 to 1997 and Vice President from 1999 to 2002 of Sri Lanka Institute of Packaging. Mr. Perera is the Deputy Vice Chairman of the Industrial Association of Sri Lanka, an affiliated trade association under the aegis of the Ceylon Chamber of Commerce. He is also the Chairman of Arpico Insurance PLC and on the Board of Directors of Several Companies of Richard Pieris Group.



MR. SHIRON GOONERATNE

Mr. Shiron Gooneratne is a fellow member of the Institute of Chartered Accountants of Sri Lanka and holds an MBA from University of Leicester, United Kingdom.

Mr. Gooneratne brings in a wealth of experience, both from Sri Lanka and overseas. Having trained at Ernst and Young, he joined GlaxoSmithKline Consumer Health Care as a Financial Accountant and rose to the position of Finance Director, where he completed 11 years, of which 7 years as the Finance Director. Thereafter, he held the positions of Chief Financial Officer at Sri Lanka Telecom PLC, Chief Financial Officer at Dilmah Ceylon Tea Company PLC and currently he functions as Director / Group Chief Financial Officer at Richard Pieris and Company PLC.

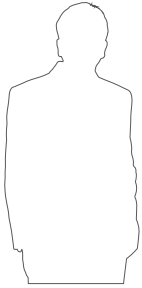


MR. S SIRIKANANATHAN

Mr. Sirikananathan is a retired partner of KPMG, an international firm of chartered accountants and is presently a sole practitioner under the firm name Sarasiri & Company. He also served on the Boards of Associated News Papers of Ceylon Ltd. (ANCL) as Director/Financial Consultant and Bartleet Finance PLC, as Independent Non-Executive Director, Audit Committee Chairman and Remuneration Committee Member.

Mr. Sirikananathan possesses over 40 years of audit experience with KPMG and has engaged in audits of star class Hotels, Conglomerates, Development Organisations, Multinational Banks, Finance Companies, Insurance Companies and several listed Companies.

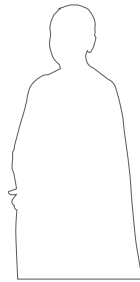
Mr. Sirikananathan is a Fellow Member of The Institute of Chartered Accountants of Sri Lanka (FCA) and a Fellow Member of the Institute of Certified Management Accountants of Sri Lanka (FCMA). He holds a Bachelor of Science Honours Degree in Physical Science from the University of Peradeniya. He has served on the Accounting Standards and Auditing Standards Committee of The Institute of Chartered Accountants of Sri Lanka for eleven (11) and seven (7) years respectively.



MR. R N LIYANAGE

Mr. R N Liyanage is currently the Chief Executive Officer of TVS Lanka and a member of the Board of Directors of both Richard Pieris Distributors (ARPICO) and Arpico Insurance. Previously, he served as the Chairman of Richard Peris as well as Arpico Finance. Mr. Liyanage also held the Group Director position of Richard Pieris & Co. and served as the Chief Executive Officer/Principal Officer of Arpico Insurance.

Mr. Liyanage holds a Bachelor of Science (Bsc) degree from the University of Colombo and two Postgraduate degrees; Postgraduate Diploma in Marketing, from the Chartered Institute of Marketing UK and MBA from Postgraduate Institute of Management (PIM), University of Sri Jayewardenepura. He is also a Certified Management Accountant from CMA (Australia) and a fellow of the Life Underwriting Training Council of USA. He has been awarded with many global and local accolades such as the Asian Brand Leadership Award from Brand Asia Congress, "Marketer of the Year" Award from the world's largest professional body for marketing – the Chartered Institute of Marketing, UK, Global Brand Leadership Award from Global Brand Congress and "Brand Champion" Awards from Sri Lanka Institute of Marketing. He has been instrumental in directing many organisations towards winning local and global recognition in the field of Marketing. He also served as a member of judging panels for many Corporate Award events in the Country.



MRS. LASINEE SERASINHE

Mrs. Serasinhe is a Fellow Member of The Chartered Institute of Management Accountants (UK), Fellow Member of the Chartered Global Management Accountants and a Diploma holder in Computer Programming. Mrs. Serasinhe has garnered over 20 years of regulatory experience serving the Securities and Exchange Commission of Sri Lanka and the Insurance Regulatory Commission of Sri Lanka (IRCSL - former Insurance Board of Sri Lanka). She took up duties as the Director General of IRCSL during a time when IRCSL had set up its office independently, and worked at the IRCSL until her retirement.

Whilst being the Director General of IRCSL, she served as a Board Member of the National Insurance Trust Fund in the capacity of an Ex-Officio Member. Subsequently, she served the Ministry of Finance in the capacity of an advisor for a short period of time. Prior to taking up the post of Director General, IRCSL she served the Securities and Exchange Commission as a Director. Mrs. Serasinhe has several years of experience in the field of Finance in the private sector prior to her entry into the regulatory arena. She also functioned as a consultant to the private sector and was attached to SSP Corporate (Pvt) Ltd.

Corporate Management Team

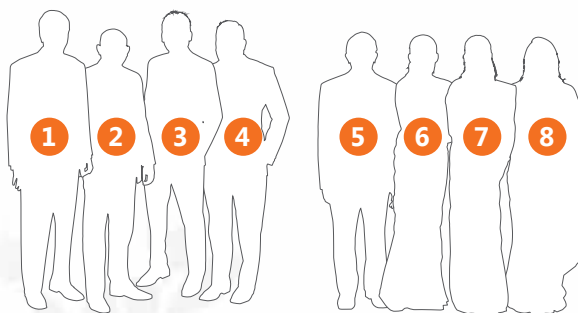


① **Mr. Harsha De Alwis** - Acting Chief Executive Officer

② **Mr. M A Doolwala** - General Manager – Finance and Operations/Principal Officer

③ **Mr. W N C P Nishan** - General Manager – Sales

④ **Mr. H E T Sampath** - General Manager – Sales



5 Mr. K Bandara - Specified Officer

6 Mrs. Sriyonie Mendis - Deputy General Manager – Life Operations

7 Mrs. L A C Priyanthi - Manager – Actuarial

8 Ms. Chathumadu Abeyakoon - Manager – Finance

Corporate Management Team



MR. HARSHA DE ALWIS

Mr. Harsha De Alwis is a Fellow of Chartered Institute of Marketing – UK. He is a strategic planner with more than 35 years of broad-based experience and record achievements, of which over 25 years was in the Senior Management / Board Member capacity. He is well-known for his proven success in achieving admirable profitability and growth through decisive, effective and efficient handling of Sales Management, Marketing Management and General Management in various companies.

He began his career in FMCG and subsequently moved into Capital equipment marketing. He shifted his attention into the insurance industry in a well-timed move as private corporate entities began to enter the arena. Initially, Mr. De Alwis was a pioneering member of Ceylinco Insurance (Life) Senior Management team. After his stint as the Managing Director, leading the first ever sole Life Insurance Brokering Company, Mr. De Alwis joined Janashakthi Insurance. His experience in the insurance industry spans across 20 years. Later, Mr. De Alwis worked in various other industries such as Commercial forestry, Real estate / condominium at the Board Member level and also as the CEO of District Chamber of Commerce in Hambantota.



MR. M A DOOLWALA

Mr. Doolwala counts over 19 years of experience in finance with 15 years committed to the Insurance Industry. He is an Associate Member of the Chartered Institute of Management Accountants, UK and holds an MBA from Cardiff Metropolitan University UK. He also holds a Diploma in Computer Studies from the National Centre for Computing, UK and has completed the Licentiate Exams from Insurance Institute of India.



MR. W N C P NISHAN

Mr. Nishan counts over 27 years of experience in the industry. He has completed (AMTC) – LIMRA, LUTC Diploma in Insurance – LIMRA, Management Skills Course – IMS and Diploma in Marketing from Singapore Institute of Marketing.



MR. H E T SAMPATH

Mr. Sampath counts over 28 years of experience in the industry. He has completed Agency Management Training Course (AMTC) – LIMRA, Life Underwriter Training Council (LUTC) Diploma in Insurance – LIMRA and Management Skills Course – Institute of Management Studies (IMS).



MR. K BANDARA (Resigned W.E. 13th July 2020)

Mr. Bandara Counts over 38 years of experience in the industry in the executive grade out of which 11 years experience in Actuarial and Life Reinsurance. He is a BSc.(Hons), A.C.I.I. Chartered Insurer and over 27 years post qualification experience with SLIC. He is an Associate Member of the Chartered Insurance Institute London since 1991 and served two years with Richard Pieris & Company PLC as Group Insurance Manager.



MRS. L A C PRIYANTHI

Mrs. Priyanthi counts over 20 years of experience in the Insurance Industry. She holds a BSc. Degree with First Class Honors in Mathematics and Statistics from University of Colombo and holds a M.Sc. in Actuarial Science also from the University of Colombo.



MRS. SRIYONIE MENDIS (Joined W.E. 1st January 2020)

Mrs. Mendis is a Chartered Insurer and Associate Member of the Chartered Insurance Institute of UK and holds an MBA from the University of Colombo Sri Lanka.

She joined the Insurance sector after her BSc in Physical Science from University of Colombo. Having 19 years of Industry experience on Life Insurance and Re-Insurance in couple of Life Insurance companies, she joined Arpico Insurance PLC. from 1st January 2020 and is working in the capacity of Specified Officer of the Company and Deputy General Manager- Life Operations.



MS. CHATHUMADU ABEYAKOON

Ms. Abeyakoon counts over 9 years of experience in finance. She is an Associate Member of Chartered Institute of Management Accountants. She started her career from Ernst & Young and moved to different industries. Currently she is reading for her MBA.



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MANAGEMENT DISCUSSION AND ANALYSIS

22-27 Operating Environment
28-29 Financial Review

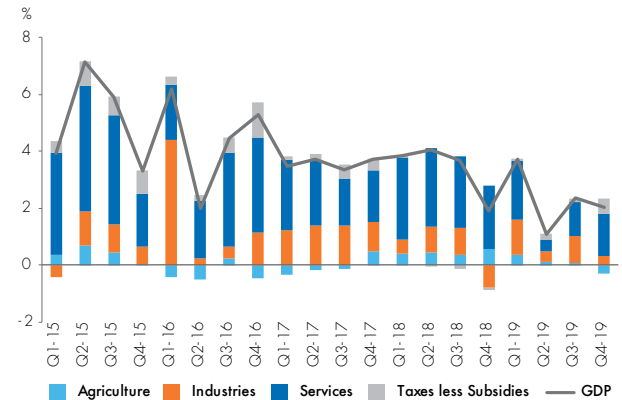
Operating Environment

GLOBAL ECONOMY

Global economic activity experienced a downward spiral in 2019 with economic growth as low as 3%. This lackluster performance could be attributed to geopolitical tensions and low productivity growth. Advanced economies such as the US and Euro countries as well as some smaller advanced Asian nations witnessed less than desirable growth. The slowdown in activity also affected emerging economies. Tensions between the US and China, concerns over Brexit and other geopolitical challenges, policy rate cuts and dovish communication by several central banks created a volatile market environment.

Broad-based slowdown in manufacturing and trade contributed largely to the less than desirable growth experienced in 2019. A combination of factors including higher tariffs and policy uncertainty triggered a downturn in demand for capital goods.

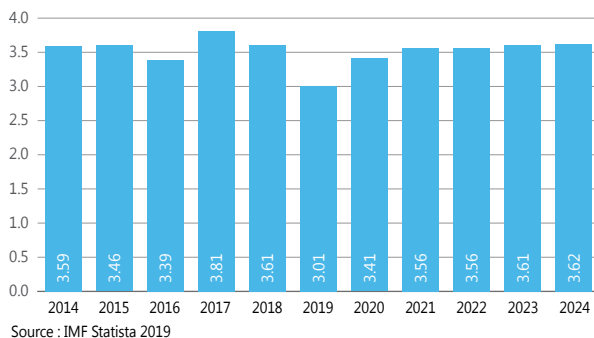
Quarterly GDP Growth



Source: Department of Census and Statistics

Growth of the global gross domestic product (GDP) from 2014 to 2024

(% compared to the previous year)



Source: IMF Statista 2019

The IMF calls for undoing trade barriers with robust agreements and easing geopolitical tension to spur economic growth through boosting confidence and encouraging investment. At the same time, countries should strive for cooperative solutions to rejuvenate global trading.

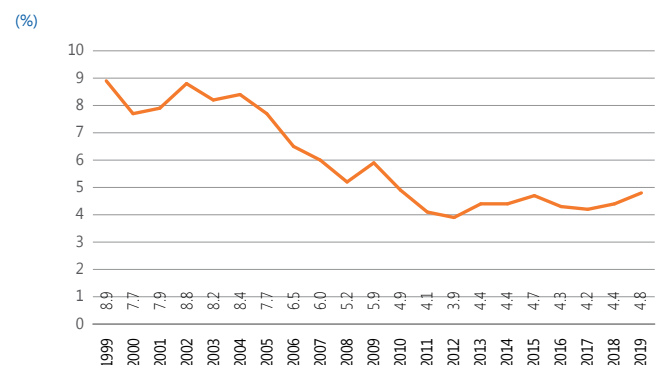
SRI LANKAN ECONOMY

Spillover effects from the Easter Sunday attack moderated growth at 2.6%, a significant downturn when compared to the 3.9% growth in the corresponding period of 2018. Agricultural activities recorded a growth of 0.6% mainly driven by increased production in coconut, king coconut and oil palm as well as rice and animal production. Industrial activities recorded subdued growth at a rate of 2.7%. Services activities too showed a lackluster performance during the first half of the year at a mere 2.3% growth. During the second quarter of the year, after effects of the Easter Sunday attack negatively impacted tourism related activities, transportation of goods and passengers, warehousing, wholesale and retail trading activities. The nation's overall economic growth suffered a serious setback as a result.

UNEMPLOYMENT

The country's unemployment rate grew to 4.8% during the year in comparison to 4.4% recorded during the corresponding period in 2018. Unemployment rate among youth was at a considerable level at 21.5%. The disparity between males and females in terms of unemployment was considerable. Unemployment rate amongst males stood at 3.3% while it was as high as 7.4% in females. Labour force participation rate increased to 52.3% from 51.8% during the year 2019.

Sri Lanka : Unemployment rate from 1999 to 2019

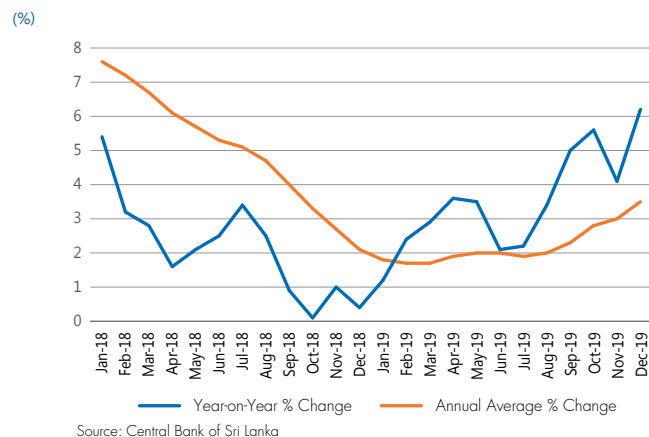


Source: World Bank Statista 2020

INFLATION

Driven mainly by one-off adjustments in house rentals, core inflation increased during the first few months of 2019. Headline inflation increased to an extent due to a number of factors including some administrative determined prices such as formula based domestic petroleum prices, tariff revisions as well as rupee depreciation in the latter part of 2019. Inflation decreased in mid-2019 driven by increased food prices to accelerate again in September 2019.

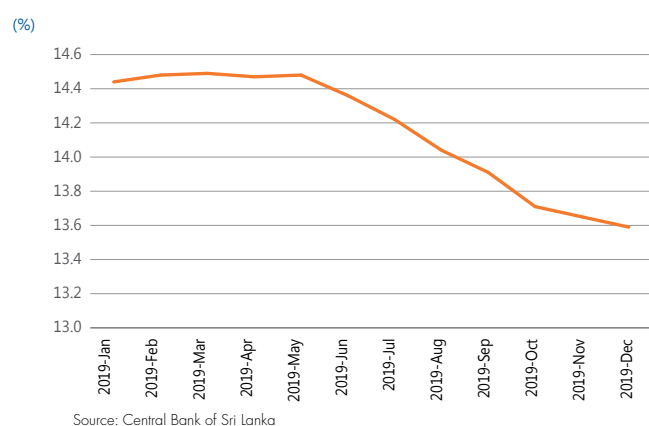
Inflation



DEPOSIT AND LENDING INTEREST RATES

In May 2019, The Central Bank (CB) reduced policy interest rates of Standing Deposit Facility rate (SDFR) and the Standing Lending Facility Rate (SLFR), by 50 basis points to 7.5% and 8.5% to manage high market interest rates. Moreover, in view of high real interest rates on deposit and lending products in the economy, the CB placed temporary caps on deposit rates of financial institutions. In this context, market interest rates including deposit rates and yields on Government securities decreased. In August 2019, the CB further reduced SDFR and SLFR by 50 basis points to 7% and 8% in order to trigger a reduction in lending rates in view of favourable inflation outlook. In spite of relaxed policy stances market lending rates did not decrease to match the downward adjustment observed in deposit interest rates.

AWPLR



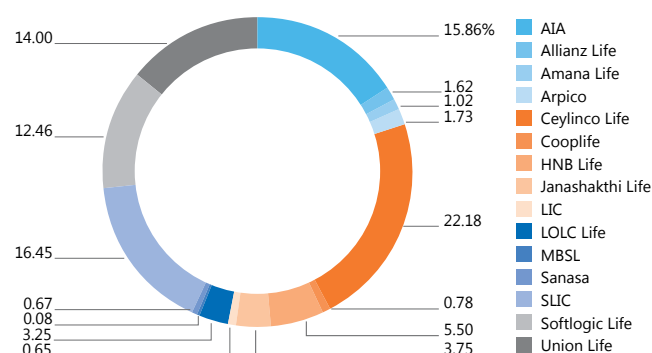
INSURANCE INDUSTRY REVIEW

Sri Lanka's Insurance industry recorded a subdued growth during the year under review. The resultant economic downturn in the aftermath of the Easter Sunday attack and limited disposable income negatively impacted insurance industry growth. Overall Gross Written Premium increased to Rs. 15.2Bn recording a growth of 8.41%, in comparison to 2018. The GWP of Long Term Insurance Business amounted to Rs. 88.7Bn, recording a growth of 10.6% when compared to 2018.

COMPOSITION OF THE MARKET

Sri Lanka's Insurance industry comprise of 25 companies out of which 12 are engaged in the Long Term Insurance Business (Life) while 11 companies operate General Insurance Businesses. Two companies deal in both Long Term and General Insurance Businesses.

Company Wise Market Share

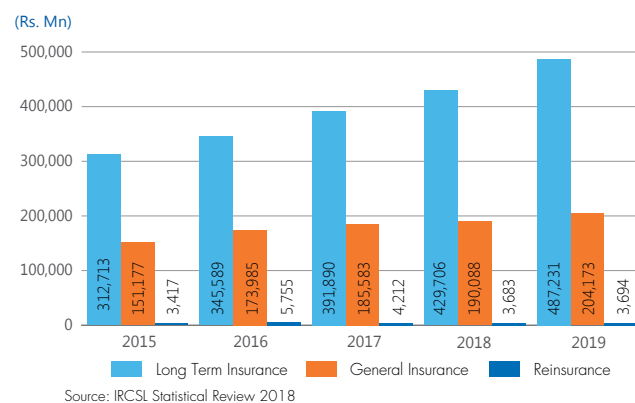


Arpico Insurance secured the 9th place in the Long Term Insurance Business in terms of market share. While the Company succeeded in maintaining profitability and growing in terms of GWP, the prevalent socioeconomic setbacks had an impact on the Company's performance. Nevertheless, Arpico Insurance continued strategic campaigns such as increasing awareness about benefits of long term insurance products as well as the introduction of innovative products to meet customer needs.

TOTAL ASSETS

The value of total assets of insurance companies reflected a growth of 11.5% with an increase to Rs. 691.4Bn. This increase was mainly due to the increase in corporate debts, deposits and reinsurance receivables. The assets of Long Term Insurance Business was at Rs. 487.2Bn indicating a growth of 13.4%.

Total Assets of Insurance Companies

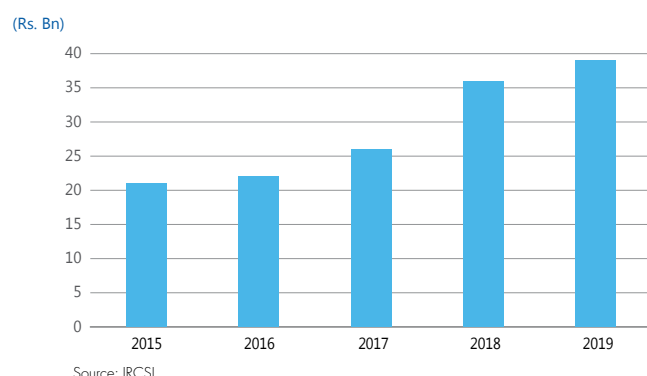


Operating Environment

CLAIMS INCURRED

Claims incurred by insurance companies was Rs. 97.8Bn indicating an increase in total claims of 10.3% year on year. Long Term Insurance Business claims for the year amounted to Rs. 38.8Bn, reflecting an increase of 7.1%. The claims incurred included maturity and death benefits.

Life Insurance Claims



PERFORMANCE OF DISTRIBUTION CHANNELS

Channel distribution plays a vital role in the Long Term Insurance Business. Agents account for 86.9% of GWP. Arpico Insurance engages both direct and indirect insurance distribution channels to attain growth targets.

Channel	2018 GWP %	2017 GWP %	Change %
Agents	86.93	87.41	-0.48
Brokers	1.01	0.63	0.38
Exclusive sales force except agents	3.02	3.69	-0.67
Direct	1.55	1.69	-0.14
Bancassurance	7.14	5.92	1.22
Other	0.35	0.65	-0.30

INSURANCE PENETRATION AND DENSITY

In spite of recent progress in increasing awareness about long term insurance products across the nation, the Long Term Insurance industry is still under-penetrated. Serious economic repercussions of the Easter Sunday attack will continue to impact GDP growth, negatively impact businesses as well as disposable income of Sri Lankans, which in turn will affect the industry's growth potential. Spillovers from the global economic status quo would continue to challenge growth potential in Sri Lanka. The Long Term Insurance industry would need to find innovative approaches and increase efforts to create awareness about the benefits of investing in insurance products in order to increase penetration.

RISK AND OPPORTUNITY ANALYSIS

Lackluster economic growth and a largely affected population will give rise to a serious downturn in disposable income, especially amongst those involved in sectors such as tourism, leisure and hospitality. Unpredictable interest rates will have a negative impact on investment income as well as the demand for Long Term insurance products. However, the growing awareness about epidemics and certain non-communicable diseases provide a window of opportunity for health insurance products. The increasingly aware aging population presents another opportunity for retirement planning related Long Term Insurance products.

OUR PRODUCT MIX

Arpico Insurance product portfolio follows the core concept of 'Insurance for the Living' to offer insurance services that meet current market requirements. We offer variety of life insurance benefits that could be enjoyed during a person's life rather than at death. Where possible we have extended the benefits from our Life Insurance products to immediate family members of policyholders.

Arpico Endowment Plan

The Arpico Endowment plan is a fund that is designed to fulfill a number of vital needs of the policyholder including education requirements, emergency capital requirements and retirement plans. The sum assured increases by 2.5% annually on simple basis to accommodate inflation.

Benefits offered

- Accidental Death Benefit
- Total and Permanent Disability Benefit
- Partial and Permanent Disability Benefit
- Critical Illness Benefit
- Additional Term Protection Benefit
- Funeral Expenses Benefit
- Family Income Benefit
- Spouse Cover Benefit
- Critical Illness Benefit on the Life of Spouse
- Child Critical Illness Benefit
- Waiver of Premium Benefit
- Hospitalisation per Day Benefit
- Hospitalisation Reimbursement Benefit

Arpico Relief Plan

Arpico Relief plan provides the customer with freedom of planning their premium payments so that they can enjoy the benefits with out paying at the latter stage of the policy term. Customer can select any benefit listed under endowment plan under this scheme as well.

Arpico Term Insurance plan

Arpico Term Insurance plan provides insurance payments in case of unforeseen death during the term of policy with additional benefits that can be added depending on the policyholder's requirement.

Benefits offered

- Accidental Death Benefit
- Total and Permanent Disability Benefit
- Partial and Permanent Disability Benefit
- Critical Illness Benefit
- Funeral Expenses Benefit
- Family Income Benefit
- Spouse Cover Benefit
- Critical Illness Benefit on the Life of Spouse
- Child Critical Illness Benefit
- Waiver of Premium Benefit
- Hospitalisation per Day Benefit
- Hospitalisation Reimbursement Benefit

Education Plan – School Fees Plan

Arpico School Fees plan ensures lessening the burden on parents with regard to children's education in the event of an unforeseen circumstance. The monthly amount, which is to be paid to the policyholder's beneficiary, can be decided at the time of obtaining the policy.

Arpico Investment Plan

The Arpico Investment Plan enables policyholders to benefit from attractive returns as a Living Benefit, while the rate of return is calculated annually to accommodate economic conditions, policyholders can also profit from additional benefits offered.

Benefits offered

- Accidental Death Benefit
- Total and Permanent Disability Benefit
- Partial and Permanent Disability Benefit
- Critical Illness Benefit
- Additional Term Protection Benefit
- Funeral Expenses Benefit
- Family Income Benefit
- Spouse Cover Benefit
- Critical Illness Benefit on the Life of Spouse
- Child Critical Illness Benefit
- Waiver of Premium Benefit
- Hospitalisation per Day Benefit
- Hospitalisation Reimbursement Benefit

Arpico Super Investment Plan

The Arpico Super Investment Plan is designed to protect the policyholder while enjoying the attractive returns as a Living Benefit, while the rate of return is calculated annually to accommodate economic conditions. In the event of death of the policy holder both the basic Sum Assured and the fund balance will be payable. Policyholders can also profit from additional benefits offered.

Benefits offered

- Accidental Death Benefit
- Total and Permanent Disability Benefit
- Partial and Permanent Disability Benefit
- Critical Illness Benefit
- Additional Term Protection Benefit
- Funeral Expenses Benefit
- Family Income Benefit
- Spouse Cover Benefit
- Critical Illness Benefit on the Life of Spouse
- Child Critical Illness Benefit
- Waiver of Premium Benefit
- Hospitalisation per Day Benefit
- Hospitalisation Reimbursement Benefit

Arpico Loan Protection plan

The Arpico Loan Protection plan ensures loan balance payments to relevant financial institution in the event of the policyholder's untimely death or disability. The policy ensures that the policyholder's assets such as house, building etc, are free from mortgage as a Living Benefit to his/her dependents.

Arpico Group Assurance plan

The Arpico Group Assurance plan offers insurance benefits to a group of people with a common point of association such as employees of a single employer.

Benefits offered

- Accidental Death Benefit
- Total and Permanent Disability Benefit
- Partial and Permanent Disability Benefit
- Critical Illness Benefit
- Funeral Expenses Benefit

Operating Environment

Arpico Hospitalisation Rider Benefit

Arpico Hospitalisation contains two unique benefit options. The Arpico Hospitalisation per day plan pays an amount equal to the stated per day amount, multiplied by the number of completed hospitalised days, if hospitalised within Sri Lanka. If the policyholder has to undergo intensive care treatment the Company will pay double the benefit amount. The Arpico Reimbursement plan covers the policyholder and his/her family for surgical and hospitalisation expenses up to Rs. 1,000,000 per annum.

Arpico Retirement Plan

Arpico retirement plan provides a monthly payment to the customer for the pre-defined period. In the unforeseen event of death of the policy holder during the premium paying period, an amount equivalent to life cover will be paid immediately. Further the nominee will get the monthly payment at the retirement age of the policyholder based on the accumulation fund. In the event of Total Permanent Disability due to Accident or Sickness, the Company will continue to pay the premium on behalf of the policyholder and policyholder will receive the monthly payment as desired.

Privilege Customer Insurance Scheme

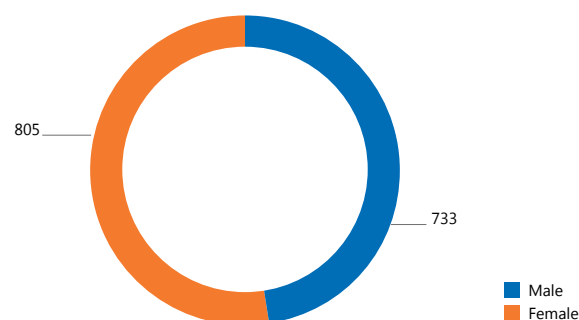
The Privilege Customer Insurance Scheme offers hospitalisation cover for the policyholder as well as benefits to the policyholder's dependent in the event of the policyholder's death.

OUR PEOPLE

Our human capital remains a primary driver of success. The Insurance industry in particular relies on highly skilled and experienced employees to pursue sustainable growth. We foster a work culture that enables employees to feel appreciated and rewarded. The growth of our employees in turn contributes to the growth of the Company. Our recruitment and people development processes have been designed to attract and retain the best in the industry.

We have long since established an ethical recruitment approach that considers gender equality and diversity of skills and experience.

Our People



Each employee at Arpico Insurance receives ample opportunities for training and skills development. Employees also receive timely rewards and recognition based on their individual performance.

Our team comprises a balanced mix of senior, experienced individuals as well as fresh talent. Our performance based culture allows employees to receive opportunities for career growth and timely remuneration increments.

We maintain a confidential and effective channel of information and communication to allow employees to present their grievances to the management. During the year under review, there have been no reported incidents of discrimination in form.

STAKEHOLDER ENGAGEMENT

Creating value for our stakeholders remains a core aspiration of Arpico Insurance. In our quest to create stakeholder value, we consistently seek to connect with them and measure their expectations and market realities. We use robust communication channels to engage with our stakeholders and pursue sustainable growth.

The below table illustrate our stakeholder engagement approach.

Stakeholder	Modes of Engagement	Key topics of discussion	Meeting expectations
Customers (Individual and corporate policy holders)	Corporate website	Response to insurance claims	Strengthening distribution points and branch network
	Social media platforms	Customer enquiries with regard to services	Prompt claim settlement
	Open communication channels with Sales Managers and staff		Reviewing and revising product pricing accordingly
	Media campaigns		Enabling customer service excellence through staff expansion
Shareholders	Annual Report	Robust growth, steady profitability and business expansion	Sustainable growth
	Interim Financial Reports	Return on investment	Upholding Corporate Governance strategies to increase transparency and business integrity Successful performance management
	Annual General Meeting		
	Press releases		
	Corporate website		
	Opportunities		
Employees	Corporate communication tools	Timely remuneration	Merit based salary increments and promotions
	Staff meetings	Career growth opportunities	Enhance training and skill development opportunities
	Periodical skip level interviews	A healthy working environment	Providing a safe working environment
	Management meetings		
Suppliers and Business Partners	Formal meetings	Respecting contractual obligations	Robust pricing policies
	Management discussions	Nurturing mutually beneficial relations	Employing necessary risk management strategies
	Open communication channels such as emails		
Government Institutions and Regulatory Authorities	On-site surveillance	Regulatory changes	Ensuring direct communication with authorities
	Filing returns	Discussions on effective industry policies and regulations	Complying with regulatory requirements
	Directives and circulars		

Financial Review

In spite of economic challenges posed post-Easter Sunday attack, Arpico Insurance continued on a steady path of growth, even outperforming industry figures with a GWP growth of 17.8 % during the year under review. The Company achieved a premium income of Rs. 1,633 Mn during 2019.

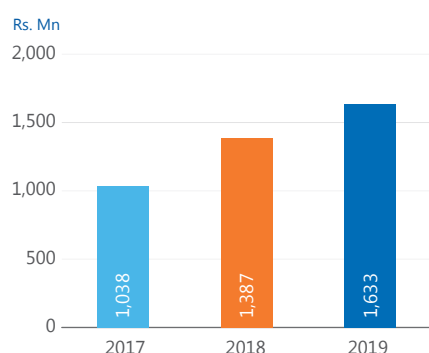
While the year under review was one of the most challenging ones in recent history, the Company's prudent risk management and focus on customer-centric business approach paved the way for commendable growth and business success during the year under review. However, the economic impact of the Easter Sunday attack left its mark on the Company performance, somewhat slowing down growth in comparison to the momentum gained in 2018.

In accordance with the rules published by IRCSL in 2015, Arpico Insurance maintained a Capital Adequacy Ratio (CAR) above 120% to be considered solvent. Arpico Insurance's CAR was at 371% as at 31st December 2019.

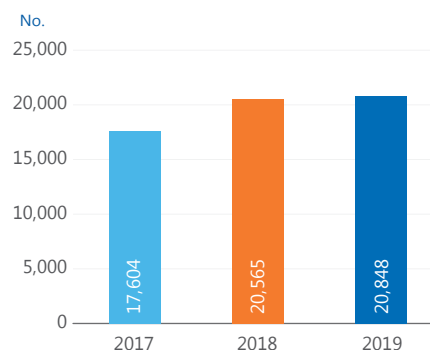
GROSS WRITTEN PREMIUM

Arpico Insurance posted a Gross Written Premium (GWP) of Rs. 1,633Mn during 2019. The year on year GWP growth rate was 17.8% in comparison to the previous financial year. Number of policies grew to 20,848 during the year under review, recording a growth of 1%. Renewal Premium stood at Rs. 698.7Mn during the year under review whilst First Year Premiums for the year posted Rs. 934.3Mn.

GWP



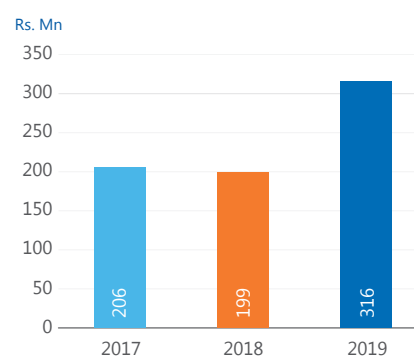
No. of Policies



PROFITABILITY

The Company recorded a Profit Before Tax of Rs. 316Mn, indicating a Year on Year growth of 59% in comparison to the previous year.

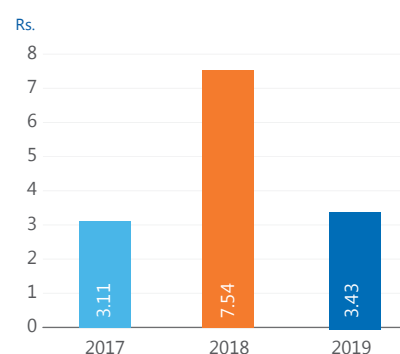
Profit Before Tax



EARNINGS PER SHARE

Arpico Insurance's EPS reached Rs. 3.43 in 2019.

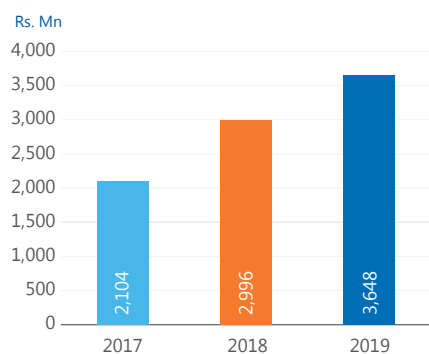
EPS



ASSET BASE

The Company's total assets grew to Rs. 3,648Mn during the year under review indicating a healthy growth of 22% Year on Year from Rs. 2,996Mn recorded in 2018. The Company's investment portfolio grew to Rs. 2,377Mn in 2019, posting a Year on Year growth of 17%.

Total Assets



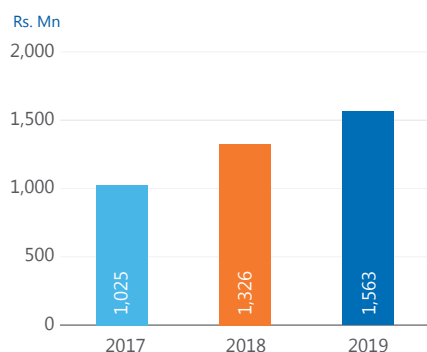
FUTURE OUTLOOK

The changing and uncertain macroeconomic environment and external risks pose daunting challenges to the Insurance industry in the foreseeable future. Nevertheless, Arpico Insurance will continue to seek sustainable growth through offering timely and market insight driven products to customers through innovation while also engaging prudent risk management and optimal investment strategies.

LIFE FUND

The Company's Life Fund grew by 18% to Rs. 1,563Mn in 2019. This steady growth reflects the Company's ability to fulfill obligations to policy holders and foretells sustainable outcomes for the future of the Company through retaining customer confidence as well as that of shareholders.

Life Fund





A large, stylized illustration of a tree branch with many leaves and small round fruits, rendered in a light orange color, occupies the left and top portions of the page.

GOVERNANCE

32-34 Corporate Governance

35-39 Risk Management

40-41 Audit Committee

42 Remuneration Committee Report

43 Related Party Transactions Review Committee Report

Corporate Governance

We, at Arpico Insurance base our long-term success and growth on our Corporate Governance practices, which allow us to manage the interests of our stakeholders in a robust manner and attain sustainability of operations. The Company's Board of Directors remains committed to maintain a high standard of Corporate Governance at all times to ensure transparency, ethical business practices and effective disclosure.

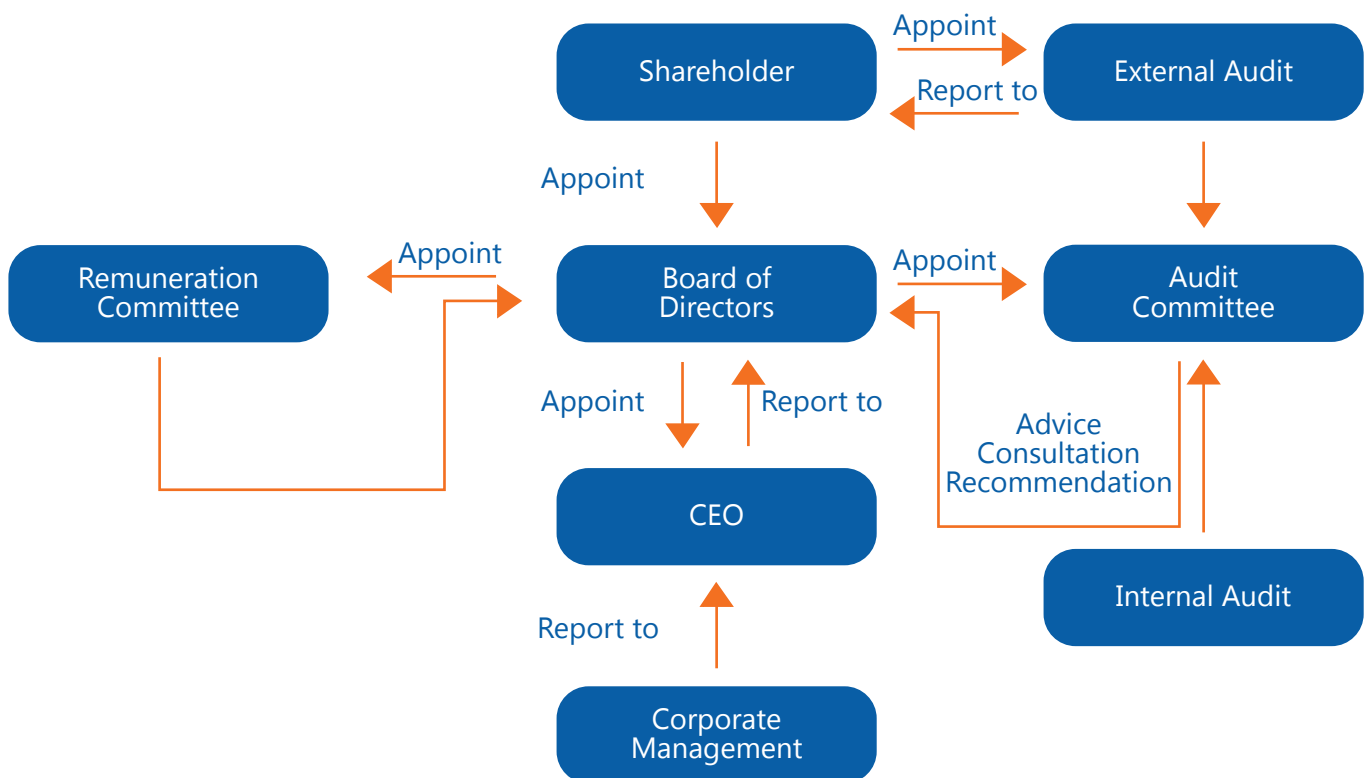
Our corporate governance practices adhere to the guidelines stipulated in the Code of Best Practice on Corporate Governance issued jointly by the Institute of Chartered Accountants of Sri Lanka, the Securities and Exchange Commission of Sri Lanka and Listing Rules issued by the Colombo Stock Exchange. As we grow and widen our reach, Arpico Insurance continues to review and revisit our Corporate Governance practices in line with both local and international standards.

Arpico Insurance's Corporate Governance model connects the relations between shareholders, Board of Directors and the Management while the policies and procedures in place ensure that the Company achieves goals and adheres to the core value system.

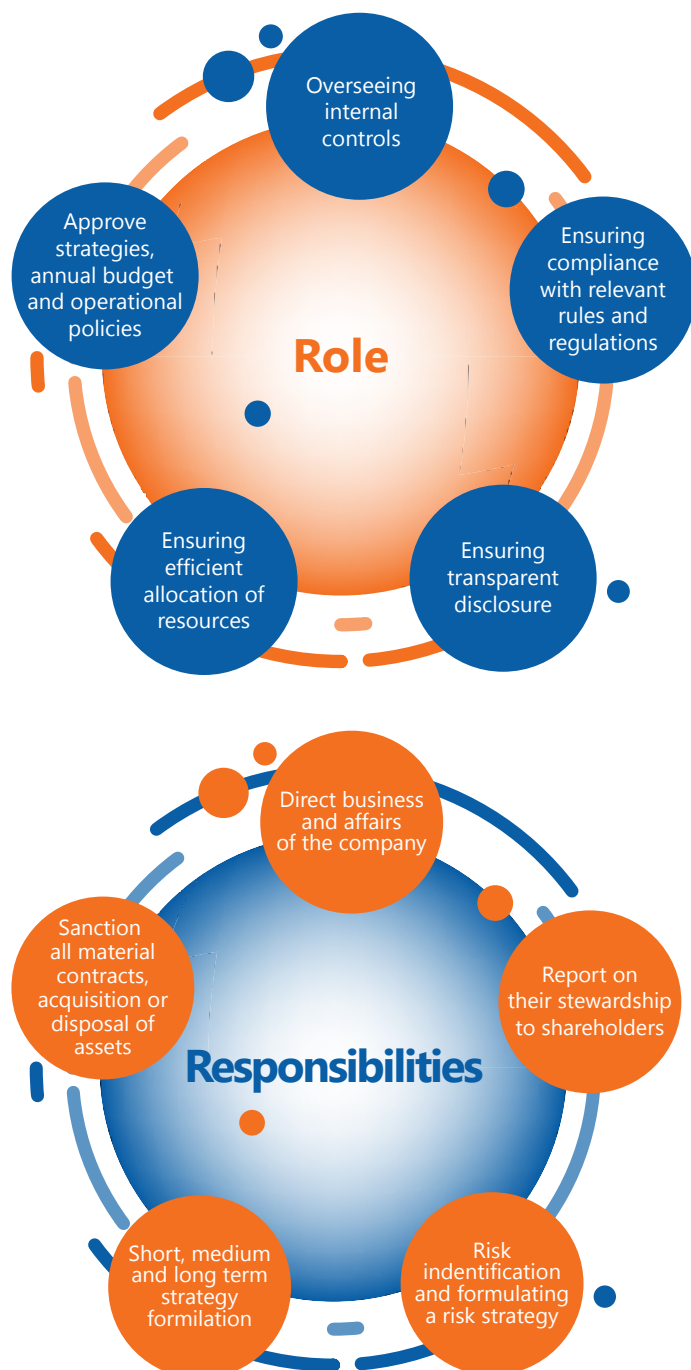
BOARD OF DIRECTORS

The highest decision making entity of the Company, the Board of Directors provides leadership through designing the strategic direction and risk appetite. The Board steers the smooth functioning of the internal control system, working in harmony with the Management to ensure robust corporate governance and organisational success. The Board of Directors oversees the performance of the Senior Management and Executive Officers in order to ensure that the business process aligns well with the Company strategy.

CORPORATE GOVERNANCE STRUCTURE



ROLE AND RESPONSIBILITIES OF THE BOARD



The Board has verified the independence of the two Non-Executive Directors and they have no direct or indirect material relationship with the Company and have duly submitted the annual declaration as per the Colombo Stock Exchange Listing Rules.

APPOINTMENT OF DIRECTORS

In accordance with the 29 of the Articles of Association of the Company in appointing Directors to the Board, Arpico Insurance obtains prior approval from the Insurance Regulatory Commission of Sri Lanka to appoint Directors to the Board, upon passing Ordinary Resolution for the authorisation of the appointments.

BOARD MEETINGS

The Board held 4 scheduled meetings during the year under review to evaluate Company strategy and review performance, review policy frameworks and discuss risk. Further, 15 subcommittee meetings were held during the year under review. The meetings provided an effective forum to execute responsibilities of the Board.

BOARD SUBCOMMITTEES

Audit Committee

While the Audit Committee's main function centres around overseeing financial reporting and disclosure of the organisation, on a broader level, the committee looks into organisational risk and analyses the reports of management and auditors to ensure that assurance is robust. The Audit Committee looks into the following.

- Internal controls and risk management systems
- The internal audit process including appointment and resourcing
- Financial statements including governance statements
- The external audit process
- Compliance reports
- Regulatory inspection reports
- Key performance data
- Whistleblowing
- Communications with shareholders regarding its activities

Investment Committee

The Investment Committee oversees the Company's acquisition and financing strategies as well as compliance with the organisation's guidelines to ensure prudent investments and future progress.

Name	Title
Mr. Viville Perera	Non-Executive Director
Mr. Shiron Gooneratne	Non-Executive Director
Mr. R N Liyanage	Non-Executive Director
Mr. S Sirikananathan	Independent Non-Executive Director
Mrs. Lasinee Serasinhe	Independent Non-Executive Director

Corporate Governance

Remuneration Committee

The Remuneration Committee executes an appropriate rewards policy to attract and motivate executives to perform well and work towards achieving long-term growth of the Company. The Committee strategises and implements the Company's general remuneration policy as well as remuneration of key management personnel. The Remuneration Committee also determines specific remuneration package for each Executive Director.

Related Party Transactions Committee

The Related Party Transactions Committee is responsible for reviewing reports on transactions between the Company and affiliates in order to ensure strict adherence to organisational regulations.

Committee	Responsibilities	Members
Audit Committee	Oversee the Company's adherence and application of accounting policies, the financial reporting process and the execution of the internal control principles of the Company.	Mr. S Sirikanathan Mrs. Lasinee Serasinhe
Investment Committee	Ensure the smooth functioning and efficacy of investment activities of the Company.	Mr. Viville Perera Mr. Shiron Gooneratne
Remuneration Committee	Implement an appropriate reward policy to motivate executives to effectively carry out their duties and work towards organisational success.	The Remuneration Committee of Richard Pieris and Company PLC acts as the Remuneration Committee for Arpico Insurance.
Related Party Transactions Committee	Review reports on transactions between the Company and affiliates and ensure adherence to regulations of the Company.	The Related Party Transactions Committee of Richard Pieris and Company PLC acts as the Related Party Committee for Arpico Insurance.

INTERNAL CONTROLS

The Company's internal control system ensures appropriate maintenances and protection of the Company's assets, through focusing on financial, operational and risk management. Arpico Insurance's internal control system oversees the reliability of information with regard to Company assets. The Internal Audit Division which reports to the Chairman of the Audit Committee periodically evaluates the internal control system across the organisation. The division reports its findings to the Board upon completion of the review.

COMPLIANCE

Arpico Insurance is governed by mandatory rules and regulations as stipulated by the Companies Act No. 07 of 2007, Listing Rules of the CSE and the Regulation of Insurance Industry (RII) Act No. 43 of 2000 and subsequent amendments and rules, regulations, directives and circulars issued by the Insurance Regulatory Commission of Sri Lanka (IRCSL). The Company adheres to the guidelines issued by the Sri Lanka Accounting Standards (LKAS and SLFRS) and other statutory regulations in preparation of the financial statements of the Company. In accordance with the Listing Rules of the Colombo Stock Exchange, the Company publishes quarterly financial statements to give shareholders access to significant developments that took place during the reported period. Moreover, following IRCSL guidelines, the Company prepares and submits monthly and quarterly returns. The Board of Directors, to the best of their knowledge and belief, are satisfied that all statutory payments have been made to date.

SHAREHOLDING STRUCTURE

Shareholder	%
Kegalle Plantation PLC	40
Richard Pieris Distributors Limited	27
Richard Pieris and Company PLC	23
Public	10

GOING CONCERN

The Director Board used the 'Going Concern' basis in preparation of the financial statements, upon conducting a comprehensive analysis of the financial position and cash flow status of the Company. Accordingly, the Board is confident that the Company can function without the threat of liquidation for the foreseeable future.

Risk Management

The Insurance industry revolves around risk acceptance. Hence, prudent risk management policies that evolve with changing dynamics play a central role in our short, medium and long term success and effectiveness. The current macro-economic environment poses multiple, interlinked challenges, which require consistent evaluation, innovative strategies and revisiting of risk mitigating approaches. As such, Arpico Insurance's risk management strategy revolves around the core approaches of timely risk identification, in depth evaluation and adaptation to market realities and mitigation of future risks.

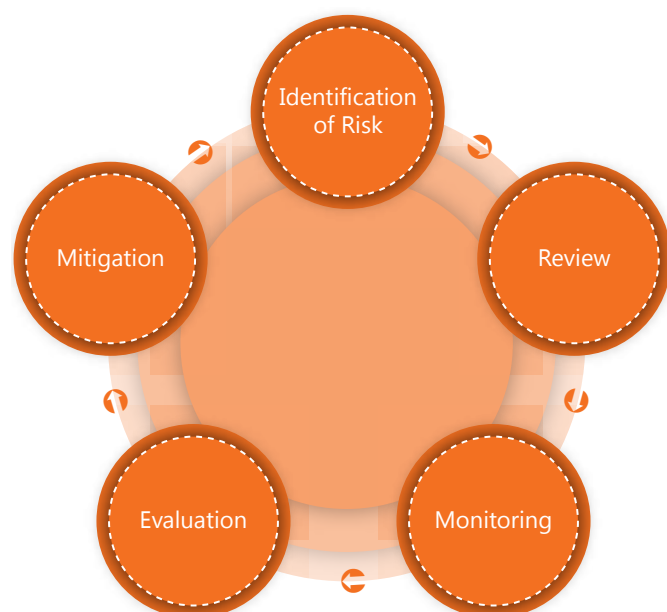
The Company's Board of Directors and Senior Management play a proactive role in shaping and implementing the risk management framework of Arpico Insurance.

We have carefully laid out precautionary measures to effectively navigate external risks beyond our control. Meanwhile, the Company consistently aligns our growth and expansion strategies with an evolving risk management framework.

Moreover, Arpico Insurance promotes a risk sensitive and prudent culture at all levels of the Company. We have created a transparent culture that is conducive to all employees to comprehend potential risk and act in a timely and effective manner to mitigate such risks. All employees receive opportunities to engage in risk identification training and acquire knowledge about the industry and external environment. The Board of Directors oversees the risk culture in the organisation to steer the risk management process in the right direction.

RISK MANAGEMENT PROCESS

Our risk management process makes allowances to the constant flux of the external environment and rising external uncertainties. We strive consistently to manage risk impact within acceptable levels. The risk management process comprise of interrelated steps that work in unanimity to ensure a sound risk framework. The Board of Directors remains responsible for the robustness and effectiveness of the risk management process.



RISK MANAGEMENT OBJECTIVES

We are well aware of the fact that well-defined and clear risk management objectives play a pivotal role in facilitating the implementation of risk strategies. As such, we have identified and laid out a set of clear objectives, which we constantly revisit during our risk management process.

Eliminate and lessen the impact of losses

Facilitate a risk aware culture within the organisation

Ensure flexible yet consistent risk management strategies

To increase returns, sustainable earnings, growth and shareholder value through managing risks in a prudent manner

Retain and enhance the organisation's reputation in connection with robust risk management strategies

Risks

The insurance industry has to contend with various industry-specific and generic risks. With the objective of better comprehending risks to manage each risk effectively, we have categorised risks.



Economic Risk

- Price competition in the saturated insurance industry
- Macro-economic conditions that affect the disposable income of customers to negatively impact their interest in insurance products
- Volatile insurance rates, which can have a negative impact on the Life Insurance business due to the increase in the liability of insurance fund

Risk Management

Social Risk

- Competition for talent in the insurance industry (employee turnover)
- The aging population in Sri Lanka
- Sociopolitical tensions and prevailing uncertainty

Technological Risks

- Cyber security threat to the organization's data base
- Challenges in digital transformation

Legal Risks

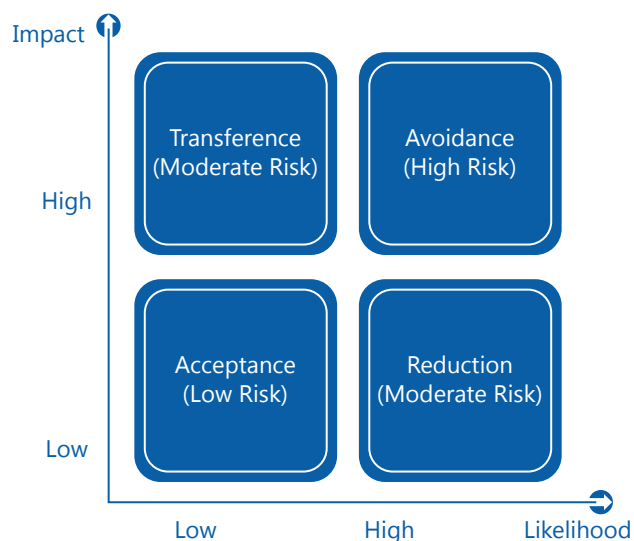
- Inconsistent regulatory changes
- The new Inland Revenue act
- Complexities of the compliance requirements

Environmental Risks

- The impact of climate change
- The country's propensity towards large scale natural disasters

Arpico Insurance further breaks down the above categories to broader categories in order to prioritise risks and effectively address each risk accordingly. These broader risk categories go hand in hand with our risk prioritisation process.

RISK PRIORITISATION PROCESS



RISK CATEGORIES AND PRIORITISATION

Risk Category	Risk Description	Risk Rating	Risk Mitigation
Underwriting Risk	1. The risk of providing insurance to high risk entities with the likelihood of unacceptably high claims. 2. Acceptance of risks that does not provide an adequate premium to cover risk. 3. Risks arising from lack of comprehension with regard to changing risk environment (Eg; climate change).	High	Ensuring a sufficient level of segregation between duties of sales and underwriting functions. Centralised underwriting function (Head office). Maintaining a robust manual of financial to offer guidance to underwriting staff. Frequent audits and verifications. Timely consultation and feedback from Consultant Actuary and Reinsurer to adequately price products. The Company only uses registered and well-respected laboratories to obtain medical reports. In addition, management teams pay periodical visit to the said laboratories to monitor the quality of service. Underwriting is carried out following guidelines established by the reinsurer.
Reinsurance Risk	1. The risk of retaining risks that exceed the Company's net retention capacity in the absence of sufficient reinsurance. 2. Risk of reinsurers' failure to fulfill their commitments as a result of insufficient funds.	Moderate	The Company works with Munich Re which is the no 1 reinsurer in the world. The Company only works with reinsurers with 'A' or above ratings and monitors their ratings consistently. Conducting periodical reviews of outstanding reinsurance receivables. Maintain close rapport with reinsurers and reinsurance brokers.

Risk Management

Risk Category	Risk Description	Risk Rating	Risk Mitigation
Credit Risk	The risk of financial losses in case of the counter party failing to meet contractual payment obligations.	Moderate	Periodical reviews into the creditworthiness and financial stability of all entities. The Company only places corporate debt investment exposure with counter parties that retain a credit rating of or above BBB+, given by well-known rating companies. Imposing strict credit limitations on all such entities, upon reviewing their stability. Maintaining a structured and standardised credit approval process, based on the size and nature of the organisation. Employing only senior and experienced staff to carry our credit approval.
Market Risk	Risk of changes in the interest rates, which might affect the Company's investment portfolio.	High	The Company uses prudent tools to manage investment risk by diversifying investments. In addition, a considerable portion of the Company's investments are held in Government Securities to minimise credit default risk. The Company has established and maintains a clear investment policy with guidance from the Board of Directors.
Compliance Risk	Risk arising from non-compliance with existing regulations or complications arising from unexpected regulatory changes.	Moderate	Strict adherence to relevant rules and regulations. Periodical reviews on major regulatory developments and employing a mechanism to anticipate potential impact on the Company. Consistent participation in industry forums such as events organised by the Insurance Association of Sri Lanka. The Company's business process invariably goes through timely analyses and updates of policies and procedures.

Risk Category	Risk Description	Risk Rating	Risk Mitigation
Liquidity Risk	Risk arising from insufficient funds to settle claims, pay re-insurers and other creditors.	Low	Liquidity risk analyses for early detection of risk. Periodical review of liquidity. Contingency plan to face liquidity shortfalls effectively.
Operational Risk	Risk of financial loss, legal or regulatory implications or damage to the Company's reputation arising from failure in the system, human error, fraud or external events.	Moderate	Frequent risk assessments to identify potential risk. Maintain a culture of personal accountability. Safeguarding reporting capabilities to manage operational risk in a timely manner.

Risk Management Outlook for 2020

The year 2020 is set to pose a unique set of challenges. The insurance industry will have to re-evaluate its risk management strategies, change the core approach and prepare to manage risk using innovative tools. At Arpico Insurance, we remain committed to identifying risk, remaining market sensitive and upgrading our risk management approach with focus on long-term growth.

Audit Committee Report

The Audit Committee Charter dictates the purpose, authority, composition, meetings and responsibilities of the Committee. The Board of Directors is responsible for the approval and effective implementation of the audit committee charter and appoints the audit committee.

PURPOSE

The purpose of the Audit Committee is to,

- Assist the Board of Directors in fulfilling its overall responsibilities for the Financial Reporting Process.
- Review the system of internal control and risk management procedures.
- Monitor the effectiveness of internal audit function.
- Review the Company's process for monitoring compliance with laws and regulations.
- Assess the independence and performance of the Company's external auditors.
- Make recommendations to the Board on the appointment of external auditors, their remuneration and terms of appointment.

COMPOSITION

The members of the Audit Committee of Arpico Insurance PLC comprised the following directors of the Company as at 31st December 2019:

Mr. S Sirikananathan – Chairman and Independent
Non-Executive Director

Mrs. L Serasinhe – Independent Non-Executive Director

This Annual Report presents the profiles of the members of the Audit Committee on pages 14 to 15. The Company secretary acted as the secretary to the Audit Committee.

MEETINGS

The Audit Committee held a total of 06 meetings during the year under review. Audit Committee meetings were conducted in attendance (upon invitation) of the GM-Finance and Operations, Finance Manager and the Group Internal Auditors. The Audit Committee extended invitations to members of the Management and external auditors whenever their presence was deemed necessary. Board members received updates of the Audit Committee activities via meeting minutes tabled at Board meetings held subsequently to each Audit Committee meeting.

INTERNAL AUDIT AND RISK MANAGEMENT

The Audit Committee is responsible for the effective functioning of the internal audit programme to ensure the efficiency of the critical operational aspects. The Audit Committee evaluated the internal audit programme for effectiveness, reviewed the internal audit findings, the management responses, the suggested corrective actions if any and monitored the implementation of remedial measures.

INTERNAL CONTROLS

The Audit Committee reviewed the Company's internal control system and its approach to managing the business and financial risks in its endeavour to identify potential inefficiencies for recommending countering measures to reduce such risks. The Audit Committee review ensured that the necessary tools are in place to secure Company assets. The Audit Committee reviewed the financial reporting system to determine the effectiveness and accuracy of the preparation and presentation of the financial statements. The Committee monitored the monthly comprehensive Financial Review Reports to ensure that all critical performance criteria were prepared and reviewed by the Management.

FINANCIAL STATEMENTS AND RELATED DISCLOSURES

In line with its responsibility of overlooking the Company's financial reporting, the Audit Committee reviewed the following areas to the extent it deemed necessary and appropriate, in discussion with the external auditors and the Management:

- I. Significant financial issues and judgments made in connection with the preparation of Company's Financial Statements.
- II. Consistency of the accounting policies and methods adopted and their compliance with the Sri Lanka Financial Reporting Standards (SLFRS/LKAS).
- III. Requirements of the Companies Act No. 07 of 2007 and the Regulation of Insurance Industry Act No. 43 of 2000 and amendments thereto.

The Audit Committee has reviewed all Interim Financial Statements and the Annual Financial Statements for the year ended 31st December 2019 before their issuance.

COMPLIANCE WITH LAWS AND REGULATIONS

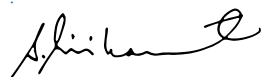
The Audit Committee reviewed all the compliance checklists signed off by the Management of the Company to ensure compliance with all applicable compliance submissions relating to Department of Inland Revenue, Insurance Regulatory Commission of Sri Lanka and Labour regulations.

EXTERNAL AUDITORS

The Audit Committee met the External Auditors to analyse the Audited Financial Statements and looked into all relevant and consequential matters. The Committee was satisfied that non-audit services facilitated by External Auditors did not intervene with their independence and objectivity. The Committee determined that the Company assigned such services in a manner calculated to prevent any conflict of interest. The Audit Committee has recommended to the Board of Directors, the reappointment of Messrs. Ernst and Young as Auditors for the financial year ended 31st December 2019 subject to the approval of the shareholders at the next Annual General Meeting.

CONCLUSION

The Audit Committee is satisfied that the internal controls and procedures in place for assessing and managing the risks provide reasonable assurance regarding the reliability of financial reporting of the Company; the safeguarding of the Company's assets and the following of all relevant laws, rules, regulations, code of ethics and standards of conduct.



S Sirikananathan

Chairman

Audit Committee

Colombo, Sri Lanka

20th July 2020

Remuneration Committee Report

Remuneration Committee of the Richard Peiris and Company PLC acted as the Remuneration Committee of Arpico Insurance PLC.

The Remuneration Committee, appointed by and responsible to the Board of Directors, consist of two Independent Non-Executive Directors of Richard Peiris and Company PLC, Dr. Jayatissa De Costa P.C. and Mr Prasanna Fernando and a Non-Executive Director Mr Joseph Felix Fernandopulle. The Committee is chaired by Dr. Jayatissa De Costa P.C. Committee met on several occasions during the financial year.

The Remuneration policy of the company is formulated to attract and retain high caliber personnel and motivate them to develop and implement the business strategy in order to optimize long term shareholder value. The Committee took into account competition, market information and business performance in deciding the overall remuneration policy.



Dr. Jayatissa De Costa P.C.

Chairman

20th July 2020

Related Party Transactions Review Committee Report

The Related Party Transactions Review Committee of the Richard Peiris and Company PLC acts as the The Related Party Transactions Review Committee of Arpico Insurance PLC.

The Related Party Transaction Review Committee, appointed by and responsible to the Board of Directors, consists of three Independent Non-Executive Directors, which includes its chairman Dr. Jayatissa De Costa P.C, Mr. Joseph Felix Fernandopulle and Mr. Prasanna Fernando.

THE OBJECTIVES OF THE COMMITTEE.

1. To exercise oversight on behalf of the Board, that all Related Party Transactions ("RPTs" Other than those exempted by the CSE listing rules on the Related Party Transactions) of Arpico Insurance PLC are carried out and disclosed in a manner consistent with CSE Listing rules.
2. To advise and update the Board of Directors on related party transactions of Arpico Insurance PLC on quarterly basis.
3. To ensure compliance with the CSE listing rules on Related Party Transactions.
4. To review policies and procedures of Related Party Transactions of Arpico Insurance PLC.
5. To ensure shareholders interests are protected and that fairness and transparency are maintained.

POLICIES AND PROCEDURES ADOPTED BY THE COMMITTEE.

Head of finance is responsible for reporting the information set out under 'Appendix 9 A' of the listing rules with regard to each related party transactions proposed to be entered in to by the company with the exception of information listed in the section 9.5 of the listing rules for the committee to review and to grant approval or disapproval.

The committee reviewed all related party transactions for the year 2019. All related party transactions entered into during the year were of a recurrent, trading nature and were necessary for day to day operations of the company. In the opinion of the committee, the terms of these transactions were not more favorable to the related parties than those generally available to the public.

The committee held 04 meetings during the period under review. The activities and the views of the committee have been communicated to the Board of Directors where appropriate.

No related party transactions exceeded the limit of 10% of the equity or 5% of the total assets requiring immediate disclosure to CSE and a separate disclosure has been made in the annual report as required by Section 9.3.2 (b) of listing rules, the board confirms that the Company has complied with all requirements as per Section 9 of the Listing Rules.

The directors have disclosed the transactions with related parties in terms of Sri Lanka Accounting Standard (LKAS 24). All details of such related party transactions entered in to during the year are given in Note 33 to the Financial Statements on page 92 to 93 of this Annual Report.



Dr. Jayatissa De Costa P.C.
Chairman
20th July 2020



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FINANCIAL REPORTS

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49	Director's Responsibility for Financial Reporting
50	Actuary's Report
51-53	Independent Auditors' Report
54-55	Income Statement
56	Statement of Financial Position
57	Statement of Cash Flows
58	Statement of Changes in Equity
59-93	Notes to the Financial Statement

Annual Report of the Board of Directors on the Affairs of the Company

GENERAL

It is with pleasure that the Board of Directors of Arpico Insurance PLC present their Annual Report on the affairs of the company, Audited Financial Statements and the Auditor's Report for the year ended 31st December 2019. This report was approved by the Board of Directors on 20th July 2020.

Arpico Insurance PLC is a licensed Life Insurance Company registered under the Regulation of Insurance Industry Act, No. 43 of 2000. The Company was incorporated on 22nd June 2011 as a limited liability company under the Companies Act, No. 17 of 1982 and re-registered on 21st May 2015 as per the requirements of the Companies Act, No. 07 of 2007 and bears the Company Registration Number, PB 4739 PQ.

The ordinary shares of the company are listed on the Diri Savi Board of Colombo Stock Exchange.

PRINCIPAL ACTIVITIES

The principal activity of the Company constitutes provision of Life Insurance in Sri Lanka. No significant changes were made to the Company's principal activities during the financial year under review. The Company has not engaged in any activities, which contravene laws and relevant regulations.

VISION MISSION AND CORPORATE VALUES

Company's Vision and Mission are provided on Page 1 of this Annual Report. The Directors ensure that the business activities of the Company are carried out within the framework of objectives outlined in the Vision and Mission and are in conformity with the values of the Company reflecting a commitment to the highest ethical standards and integrity.

REVIEW OF COMPANY PERFORMANCE

Complying with the requirements of the Companies Act, the Chairman's Review, Review of Operations, Financial Review and Other statements in this Annual Report briefly describe the performance of the Company during the financial year under review. These reports form an integral part of the Annual Report of the Board of Directors.

FUTURE DEVELOPMENT

The Chairman's Message on pages 8 to 9 offers an overview of the Company's future developments.

FINANCIAL STATEMENTS

The Audited Financial Statements that include the Income Statement and Statement of Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity, Statement of Cash Flows and Notes to the Financial Statements of the Company for the financial year ended 31st December 2019 on pages 54 to 93 form an integral part of the Annual Report of the Directors.

The Financial Statements have been prepared in accordance with the Sri Lanka Accountings Standards (SLFRS) laid down by the Institute of Chartered Accountants of Sri Lanka and comply with the Companies Act No. 7 of 2007, Regulations of the Insurance Industry Act No. 43 of 2000 and other rules and regulations of the Insurance Regulatory Commission of Sri Lanka and the listing rules of Colombo Stock Exchange.

AUDITORS REPORT

The Auditors' Report can be found on pages 51 to 53 of this Annual Report.

AUDITORS

The current auditors Messrs. Ernst & Young will be considered reappointed as auditors, at the Annual General Meeting of the Company in terms of Section 158 of the Companies Act No. 07 of 2007. A resolution authorising the Directors to determine their remuneration will be proposed at the Annual General Meeting. Their audit fee for the year is disclosed in note 11 to the Financial Statements. As far as the Directors are aware, the auditors do not have any other relationship with the Company other than those disclosed in this Annual Report.

ACCOUNTING POLICIES

The Accounting Policies adopted in the preparation of the Financial Statements are given on pages 59 to 69. There were no significant changes to the accounting policies of the company during the year.

GROSS WRITTEN PREMIUM

The table below gives growth in Gross Written Premium for the year 2019. Further details on financial performance are given on pages 54 to 55.

	2019 in Rs. '000s	2018 in Rs. '000s	Growth %
FYP	873,409	870,429	0.34
Renewal	698,761	442,770	57.82
Group Premium	60,986	74,233	(17.85)
Total	1,633,156	1,387,432	17.71

RESULTS

The Company recorded a profit before tax of Rs. 316 Mn for the year. A synopsis of the financial performance is presented below.

	2019 Rs. '000	2018 Rs. '000
Profit before tax	316,106	198,835
Income tax (expense)/reversal	(88,850)	300,350
Profit after tax	227,256	499,185

TAXATION

The company is liable to income tax at 28% under the prevailing tax rules of the country. The tax calculation method of Life Insurance business changed with the enactment of the New Inland Revenue Act, No. 24 of 2018, which came in to effect on 1st April 2019 and the company will have taxable profits from 1st April 2019. Details are disclosed in note 12 to the Financial Statements on pages 72 to 73.

PROPERTY, PLANT AND EQUIPMENT

The book value of Property, Plant & Equipment of the Company stood at Rs. 60 Mn as at the Balance Sheet date. Details are given in Note 14 to the Financial Statements.

INVESTMENTS

Investments of the Company amounted to Rs. 2,377 Mn. Details are given in Note 17 to the Financial Statements.

STATED CAPITAL AND RESERVES

Stated Capital and Total Equity of the Company as at 31st December 2019 stood at Rs. 675 Mn and Rs. 1,660 Mn respectively. Details for Statement of Changes in Equity are given on page 58.

HUMAN RESOURCES

The Company's Human Resource policy is driven to reach its corporate goals and objectives by inculcating in employees a strong value system and ethics. While the Company is focused on developing employee ability to optimize results, the policies and procedures in place ensure equitable treatment of all employees.

BOARD OF DIRECTORS

The Board of Directors of the Company consists of six (06) Directors with wide financial knowledge and experience. The Names of the Directors who held office are given below and their brief profiles appear on pages 12 to 15.

Name of the Director	Status
Mr. W J V P Perera	Non-Executive Director
Mr. S Gooneratne	Non-Executive Director
Mr. R N Liyanage	Non-Executive Director
Mr. F Ozman	Non-Executive Director (R.W.E. 6th June 2019)
Mr. S Sirikananathan	Independent Non-Executive Director
Mrs. L S A Serasinghe	Independent Non-Executive Director

NEW APPOINTMENTS AND RESIGNATIONS OF DIRECTORS

There are not any new appointments during the reporting period.

Mr. Faizan Ozman resigned from the Directorate of the Company during the reporting period, with effect from 06th June 2019.

RETIREMENT AND RE-ELECTION OF DIRECTORS

To re-elect Mrs. Lasinee Serasinghe, who retires by rotation in terms of Article 31(1) at the Annual General Meeting. Pursuant to Section 211 of Companies Act No. 01 of 2007, a Notice of following two ordinary Resolutions have been received by the Company.

1. Richard Pieris Distributors Limited, 310, High Level Road, Nawinna, Maharagama, a shareholder of the Company.
"That Mr. Saravanapavan Sirikananathan of No. 291/7, Edward Avenue, Havelock Road, Colombo 06, who is 74 years of age be and is hereby appointed a Director of the Company in terms of section 211 of the Companies Act No. 07 of 2007, and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act no. 07 of 2007 shall not apply to the said Mr. Saravanapavan Sirikananathan."

The Company has also received a letter dated 02nd July 2020 from Mr. S Sirikananathan declaring his willingness to be elected to the Directorate of the Company.

2. Kegalle Plantations PLC, 310, High Level Road, Nawinna, Maharagama, a shareholder of the Company.
"That Mr. Warnakulapatabendige Joseph Viville Praxidus Perera of 33C1, King's Gate, Keells Housing Scheme, Buthgamuwa Road, Kalapaluwawa, Rajagiriya, who is 72 years of age be and is hereby appointed a Director of the Company in terms of section 211 of the Companies Act No. 07 of 2007, and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act no. 07 of 2007 shall not apply to the said Mr. Warnakulapatabendige Joseph Viville Praxidus Perera "

The Company has also received a letter dated 02nd July 2020 from Mr. Viville P Perera declaring his willingness to be elected to the Directorate of the Company.

The Directors who considered the contents of the letters received by the Company from Richard Pieris Distributors Limited, Kegalle Plantations PLC, Mr. S Sirikananathan and Mr. Viville Perera decided to notify the Shareholders of the Company of the Special Notice received by the Company and the proposed Resolutions, which are to be moved at the Annual General Meeting of the Company for the purpose of considering and if thought fit passing the said Resolutions as Ordinary Resolutions.

DIRECTORS' INTEREST IN CONTRACTS WITH THE COMPANY

Directors' and other Key Management Personnel's interest in transactions of the Company are disclosed in note 33 to the Financial Statements.

The Company maintains an Interest Register in conforming to the provisions of the Companies Act No. 07 of 2007.

Annual Report of the Board of Directors on the Affairs of the Company

DIRECTORS' SHAREHOLDINGS

Shareholdings of the Directors in the Company were as follows:

Name of the Director	2019 No. of Shares	2018 No. of Shares
Mr. W J V P Perera	Nil	Nil
Mr. S Gooneratne	Nil	Nil
Mr. R N Liyanage	Nil	Nil
Mr. S Sirikananathan	Nil	Nil
Mrs. L S A Serasinhe	Nil	Nil

DIRECTORS' RESPONSIBILITY FOR FINANCIAL REPORTING

The Statement of Directors Responsibility is given on Page 49.

BOARD SUB COMMITTEES

The Board whilst assuming responsibility for the management and the smooth running of the company has established subcommittees to ensure effective control over specific functions of the Company. The sub committees consist of Audit Committee, Risk and Compliance Committee and an Investment Committee.

CORPORATE GOVERNANCE

The Board acknowledges their responsibility to ensure that the Company complies with good corporate governance practices as set out on pages 32 to 34.

RISK MANAGEMENT AND SYSTEM OF INTERNAL CONTROLS

The Board recognizes effective risk management and internal control systems are essential parts of the management of the organization. Company has implemented a comprehensive risk management process which is monitored through the board Risk Management Committee and the Audit Committee. Detailed outline of the risk management process is given on pages 35 to 39 of this Annual Report.

CONTINGENCIES

There were no significant contingencies identified throughout the year.

STATUTORY PAYMENTS

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments due to the government, other regulatory institutions and in relation to the employees have been made on time.

COMPLIANCE WITH LAWS AND REGULATIONS

The Company has not engaged in any activity against the prevailing laws and regulations. Compliance with the provisions of laws and regulations has been confirmed to the Board of Directors at Board Meetings.

EVENTS AFTER THE BALANCE SHEET DATE

Details of events after the balance sheet date are provided in note 35 page 93 to the Financial Statements.

GOING CONCERN

The Directors have adopted the Going Concern basis in preparing the Financial Statements. They have reviewed the Company's performance and financial standing and are satisfied that it has adequate resources to continue its operations in the foreseeable future.

ANNUAL GENERAL MEETING

The Annual General Meeting will be held on at the registered office of the company, No 310, Highlevel Road, Nawinna, Maharagama on 11th September 2020. The notice of the Annual General Meeting is on Page 100 of this publication.

For and on behalf of the Board,



Mr. Viville Perera
Director



Mr. Shiron Gooneratne
Director



Mrs. J Siriweera
Company Secretary

20th July 2020

Directors' Responsibility for Financial Reporting

The Companies Act, No.7 of 2007 places responsibility on the Directors to prepare and present financial statements for each year comprising a balance sheet as at year end date and the statements of income, cash flows and changes in equity for the year together with the significant accounting policies and explanatory notes.

In preparing and presenting the financial statements, the Directors are responsible to ensure that:

- a) Sri Lanka Accounting Standards, as applicable, have been followed,
- b) Appropriate accounting policies have been selected and applied consistently and they disclose material departures and reasons for departures,
- c) Reasonable and prudent judgments and estimates have been made,
- d) The Companies Act No. 7 of 2007, Regulation of Insurance Industry Act No.43 of 2000 and the Listing Rules of Colombo Stock Exchange have been complied with

And while conforming to the standards, policies, laws, rules and regulations stated herein; to discharge their responsibility to ensure disclosure of the financial position of the Company with reasonable accuracy; they are mindful of their responsibility to ensure that the Company maintains adequate accounting records for the purpose.

The Directors have a responsibility to ensure that the Company has adequate resources to continue business in the foreseeable future. They, after a comprehensive review of the Company's financial position, have adopted the going concern basis for the preparation of the financial statements.

The Directors are responsible for the proper management of the resources of the Company. They have taken steps to establish and maintain an appropriate system of internal control to obtain reasonable assurance that the Company is protected from undue risks, frauds and other irregularities.

The Directors confirm that they have provided the auditors all the information and explanations which were considered necessary for the conduct of their audit.

The Directors, to the best of their knowledge and belief, are satisfied that all the statutory payments have been settled up to date or accrued in the financial statements.

By Order of the Board,



Mrs. J Siriweera
Company Secretary

Colombo, Sri Lanka
20th July 2020

Actuary's Report



Actuarial Partners Consulting Sdn Bhd
formerly known as Mercer Zainal Consulting Sdn Bhd
Suite 17.02 Kenanga International
Jalan Sultan Ismail
50250 Kuala Lumpur, Malaysia
603 2161 0433 Fax 603 2161 3595

20 July 2020

To the Shareholders of Arpico Insurance PLC.

ACTUARIAL VALUATION OF THE LONG TERM INSURANCE BUSINESS AS AT 31 DECEMBER 2019

We have carried out an actuarial valuation of the Long Term Insurance Business as at 31 December 2019. We hereby certify that, in our opinion,

- 1) Proper records have been kept by the Company, which are appropriate for the purpose of the actuarial valuation of the liabilities of the Long Term Insurance Fund;
- 2) Adequate and proper reserves have been provided as at 31 December 2019, for all liabilities in respect of the Long Term Insurance Fund, taking into account all current and contingent liabilities as at that date;
- 3) As at 31 December 2019, the Company maintained a Capital Adequacy Ratio of 371% calculated as per the Solvency Margin (Risk Based Capital) Rules 2015 issued by the Insurance Regulatory Commission of Sri Lanka as required under the Regulation of Insurance Industry Act No. 43 of 2000. This is well above the minimum Capital Adequacy Ratio of 120% as per the same rules;
- 4) We carried out a Liability Adequacy Test ("LAT") for Long Term Insurance fund as at 31 December 2019 as required by SLFRS 4 - Insurance Contracts and the assets are sufficiently adequate as compared to liabilities under the LAT.

A handwritten signature in black ink, appearing to read "Hassan Scott Odierno".

Hassan Scott Odierno
Actuary

Independent Auditors' Report



Ernst & Young
Chartered Accountants
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Sri Lanka

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TO THE SHAREHOLDERS OF ARPICO INSURANCE PLC

Report on the audit of the Consolidated Financial Statements

OPINION

We have audited the financial statements of Arpico Insurance PLC ("the Company"), which comprise the statement of financial position as at 31st December 2019, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements of the Company give a true and fair view of the financial position of the Company as at 31st December 2019, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

BASIS FOR OPINION

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We

believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

KEY AUDIT MATTERS

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

ATTENTION: The following information is for the use of the customer only. It is not to be used for the purpose of advertising or for any other purpose. The information is to be used for the purpose of the customer's internal use only. The information is to be used for the purpose of the customer's internal use only. The information is to be used for the purpose of the customer's internal use only.

Independent Auditors' Report

Key audit matters	How our audit addressed the key audit matters
Insurance Liability The company reported Life insurance contract liabilities of LKR 1.5Bn which represents 79% of Company's total liabilities. The valuation of the Life insurance contract liabilities required the application of significant assumptions, such as mortality, discount rates and expenses disclosed in Note 2.5(a) and Note 26 of financial statements. Given the magnitude of the balance and subjectivity of the assumptions involved in the valuation of the life insurance contract liability, we deemed this to be a Key Audit Matter.	To assess the reasonableness of the insurance contract liability, our audit procedures (among others) included following; - On a sample basis testing the key controls over the process of recognition, measurement and submission of data for estimating the insurance contract liability. - Involving Specialized resources to assist us to assessing the reasonableness of the assumptions used in the valuations of the life insurance contract liability. - Assessing the adequacy of the disclosures in Note 2.5(a) and 26 to the Financial Statements.
Deferred Tax Asset on tax losses carried forward As disclosed in Note 12 to the Financial Statements, the brought forward tax losses of the life insurance business as of 31st December 2019 amounted to Rs.769 Mn. A deferred tax asset of Rs.215 Mn is derived from such tax losses. As disclosed in Note 2.5(d) the utilization of said tax losses are subject to the agreement of the basis of computation of the Taxable Income of the Insurance business with the Department of Inland Revenue. Given the degree of significant assumptions and judgement involved in management decision to recognize Deferred Tax Asset, we deemed this matter to be a Key Audit Matter.	To assess the reasonability of recognition of the Deferred Tax Asset, our audit procedures (among others) included the following; - Understanding the basis used for the determination of tax losses and the rationale for recognition of the Deferred Tax Asset. - Assessing the business plans used and thus the likelihood that taxable profits would be available to utilize the tax losses in the future. - Evaluating the estimates and judgements made by the company on these assessments and engaging internal experts assist us to assess the reasonableness of the basis on which the opinion is given by the independent tax consultant of the company. - Assessing the adequacy of the disclosures given in Note 12 to the Financial Statements.
OTHER INFORMATION INCLUDED IN THE COMPANY'S 2019 ANNUAL REPORT Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information. Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon. In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard	RESPONSIBILITIES OF MANAGEMENT AND THOSE CHARGED WITH GOVERNANCE Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so. Those charged with governance are responsible for overseeing the Company's financial reporting process.

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Company.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Company to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Company audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

As required by Section 47(2) of the Regulation of Insurance Industry Act, No.43 of 2000, as far as appears from our examination, the accounting records of the Company have been maintained in the manner required by the rules issued by the Insurance Regulatory Commission of Sri Lanka, so as to clearly indicate the true and fair view of the financial position of the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2199.



20th July 2020
Colombo

Income Statement

Year ended 31st December	Note	2019 Rs.	2018 Rs.
Gross written premium	4 (a)	1,633,155,997	1,387,432,253
Premium ceded to reinsurers	4 (b)	(88,849,485)	(41,327,272)
Net written premium		1,544,306,512	1,346,104,981
Other revenue			
Fees and commission income	5.	28,825,103	10,666,036
Investment income	6.	261,012,023	205,215,741
Net realised gains / (losses)	7.	21,327,018	13,823,318
Other operating revenue	8.	10,573,868	6,935,285
Total other revenue		321,738,012	236,640,380
Net income		1,866,044,524	1,582,745,361
Net insurance benefits and claims paid	9 (a)	(298,735,091)	(164,148,852)
Net change in insurance claims outstanding	9 (b)	(7,350,853)	(4,797,718)
Underwriting and net acquisition costs	10.	(657,650,246)	(563,453,833)
Change in contract liabilities - life fund	26.	(221,785,330)	(309,732,195)
Other operating and administrative expenses	11.	(364,417,384)	(341,777,854)
Total benefits, claims and other expenses		(1,549,938,904)	(1,383,910,452)
Profit before tax		316,105,620	198,834,909
Income tax (expense)/reversal	12 (a)	(88,849,801)	300,349,604
Profit for the year		227,255,819	499,184,513
Earning per share - basic	13.	3.43	7.54

The accounting policies and notes as set out in pages 59 to 93 form an integral part of these financial statements.

Statement of Comprehensive Income

Year ended 31st December	Note	2019 Rs.	2018 Rs.
Profit for the year		227,255,819	499,184,513
Other comprehensive income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets	26.	15,088,972	(9,319,796)
Fair value movement of AFS reserve transferred to life fund	26.	(15,088,972)	9,319,796
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain / (loss) on defined benefit plan	27.	872,847	(63,679)
Other comprehensive income for the year, net of tax		872,847	(63,679)
Total comprehensive income for the year, net of tax		228,128,666	499,120,834

The accounting policies and notes as set out in pages 59 to 93 form an integral part of these financial statements.

Statement of Financial Position

As at 31st December	Note	2019 Rs.	2018 Rs.
Assets			
Property, plant and equipment	14.	60,142,522	63,045,746
Right of use assets	15.	119,555,926	-
Intangible assets	16.	675,531	303,750
Financial assets	17.	2,376,948,902	2,028,265,792
Loans to life policyholders	18.	286,270,410	228,616,921
Reinsurance receivable	19.	68,351,851	26,939,303
Amounts due from related party	20.	51,716,671	26,907,609
Premium receivable	21.	69,528,421	73,071,532
Other assets	22.	103,514,705	74,414,275
Deferred tax assets	12 (d).	215,578,584	304,428,385
Cash and cash equivalent	23.	295,514,738	170,483,254
Total assets		3,647,798,261	2,996,476,567
Equity and liabilities			
Shareholders' equity			
Stated capital	25.	675,564,870	675,564,870
Retained earnings		984,881,654	756,752,988
Other component of equity		-	-
Total ordinary shareholders' equity		1,660,446,524	1,432,317,858
Liabilities			
Insurance contract liabilities	26.	1,562,743,701	1,325,869,400
Employee benefit obligation	27.	11,452,108	9,488,251
Reinsurance creditors	28.	102,961,206	50,022,714
Lease creditors	15.	128,171,022	-
Amounts due to related party	29.	7,203,351	7,184,537
Other financial liabilities	30.	132,994,405	115,608,712
Other liabilities	31.	41,825,944	55,985,095
Total liabilities		1,987,351,737	1,564,158,709
Total equity and liabilities		3,647,798,261	2,996,476,567

These financial statements are prepared in compliance with the requirements of the Companies Act No. 07 of 2007.



GM - Finance and Operations
(Melanga A Doolwala)

The Board of Directors is responsible for these financial statements. Signed for and on behalf of the board.



Director
(Viville Perera)

20th July 2020
Colombo



Director
(Shiron Gooneratne)

The accounting policies and notes as set out in pages 59 to 93 form an integral part of these financial statements.

Statement of Cash Flows

Year ended 31st December	Note	2019 Rs.	2018 Rs.
Cash flows from operating activities			
Profit before tax		316,105,620	198,834,909
Adjustment for :			
Depreciation of property, plant & equipment	14.	23,312,318	20,118,876
Amortization of intangible assets	16.	198,219	146,250
Interest income	6.	(261,012,023)	(205,215,741)
Net depreciation of right of use assets	15.	61,291,107	-
Interest expense of lease creditor	15.	19,120,819	-
Provision for employee benefit	27.	3,431,931	2,956,505
Net realised losses/(gains)	7.	(21,327,018)	(13,823,318)
		141,120,973	3,017,480
Net change in operation assets	A	(156,219,150)	(65,382,537)
Net change in operation liabilities	B	293,058,148	390,390,862
Cash flows from operating activities		277,959,971	328,025,805
Tax paid		(6,628,984)	10,042,573
Gratuity paid	27.	(595,228)	(100,250.00)
Net cash generated from operating activities		270,735,759	337,968,128
Cash flows from investing activities			
Acquisition of financial investment	17 (c)	(37,007,369,643)	(22,288,219,311)
Proceeds from maturity of financial investment	17 (c)	36,644,803,656	21,636,636,894
Interest received		296,221,918	189,335,838
Acquisition of property, plant and equipment	14.	(20,409,094)	(25,566,826)
Purchase of intangible assets	16.	(570,000)	(450,000)
Advance paid to right of use assets	15.	(13,172,489)	-
Net cash flows used in investing activities		(100,495,652)	(488,263,406)
Cash flows from financing activities			
Issue of share capital		-	-
Dividend payment		-	-
Share issue expenses		-	-
Payment of lease liability	15.	(45,208,623)	-
Net cash used in financing activities		(45,208,623)	-
Net increase in cash and cash equivalents		125,031,484	(150,295,277)
Cash and cash equivalents at the beginning of the year		170,483,254	320,778,531
Cash and cash equivalents at the end of the year	23.	295,514,738	170,483,254
Notes to the Cash Flows Statement			
A.Changes in operating assets			
(Increase) / Decrease in reinsurance receivable		(41,412,548)	(6,237,230)
(Increase) / Decrease in premium receivable		3,543,111	32,703,880
(Increase) / Decrease in policyholders loans		(57,653,489)	(70,905,751)
(Increase) / Decrease in other assets		(60,696,224)	(20,943,436)
Net change in operating assets		(156,219,150)	(65,382,537)
B.Changes in operating liabilities			
Increase / (Decrease) in life fund		236,874,301	300,412,400
Increase / (Decrease) in creditors		56,183,847	89,978,462
Net change in operating liabilities		293,058,148	390,390,862

The accounting policies and notes as set out in pages 59 to 93 form an integral part of these financial statements.

Statement of Changes in Equity

	Stated Capital	Revenue Reserve	AFS Reserve	Total Equity
	Rs.	Rs.	Rs.	Rs.
As at 01st January 2018	675,564,870	257,632,154	-	933,197,024
Profit for the year	-	499,184,513	-	499,184,513
Other comprehensive income	-	(63,679)	-	(63,679)
Dividend declared	-	-	-	-
Total comprehensive income	-	499,120,834	-	499,120,834
As at 31st December 2018	675,564,870	756,752,988	-	1,432,317,858
Profit for the year	-	227,255,819	-	227,255,819
Other comprehensive income	-	872,847	-	872,847
Dividend declared	-	-	-	-
Total comprehensive income	-	228,128,666	-	228,128,666
As at 31st December 2019	675,564,870	984,881,654	-	1,660,446,524

The accounting policies and notes as set out in pages 59 to 93 form an integral part of these financial statements.

Notes to the Financial Statements

1. CORPORATE INFORMATION

1.1 Reporting entity

Arpico Insurance PLC (formerly known as Arpico Insurance Limited) ("Company") is a limited liability company incorporated and domiciled in Sri Lanka. The registered office of the company is located at 310, Highlevel Road, Nawinna, Maharagama and the principal place of business is located at No. 55/20, Vauxhall Lane, Colombo 02.

1.2 Principal activities and nature of operations

Company is primarily engaged in carrying out life insurance business. There were no significant changes in the nature of the principal activities of the company during the financial year under review.

1.3 Parent enterprise

The company's ultimate parent undertaking and controlling party is Richard Pieris & Company PLC which is incorporated in Sri Lanka.

1.4 Date of authorization for issue

The financial statements of Arpico Insurance PLC for the period ended 31st December 2019 were authorized for issue by the board of directors on 20th July 2020.

2. BASIS OF PREPARATION

2.1.1 Statement of compliance

The financial statements of the company have been prepared in accordance with Sri Lanka Accounting Standards as issued by the Institute of Chartered Accountants of Sri Lanka. The preparation and presentation of these financial statements are also complying with the requirements of Section 151 (2) of the Companies Act, No.7 of 2007 and the regulation of insurance industry Act, No. 43 of 2000 and amendments there to Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995, rules and regulations of the insurance regulatory commission of Sri Lanka and listing rules of the Colombo Stock Exchange (CSE).

2.1.2 Changes in accounting policies

The accounting policies adopted by the company is consistent with those used in the previous year. The company financial statements include the following components.

- The Statement of Financial Position providing information on the financial position of the company as at the year-end;
- The Income Statement and Statement of Comprehensive Income providing information on the financial performance of the company for the year under review;
- The Statement of Changes in Equity depicting all changes in shareholders';

- The Statement of Cash Flows providing information to the users, on the ability of the company to generate cash and cash equivalents and the needs of entities to utilize those cash flows; and
- Notes to the Financial Statements comprising Accounting Policies and other explanatory information.

2.2 Basis of measurement

The Company Financial Statements have been prepared on the historical cost basis except for the following material items in the Statement of Financial Position:

Item and basis of measurement	Note No.
Available-for-sale financial assets are measured at fair value	17

The company presents its statement of financial position broadly in order of liquidity. An analysis regarding recovery of settlement within twelve months after the reporting date (current) and more than twelve months after the reporting date (non-current) is presented in the respective notes. No adjustments have been made for inflationary factors affecting the Company Financial Statements.

2.3 Going concern

When preparing the Financial Statements, the directors have assessed the ability of the company to continue as a going concern. The directors have a reasonable expectation that the company have adequate resources together with sufficient renewing income from customers, to continue in operational existence for the foreseeable future. The company does not foresee a need for liquidation or cessation of trading, taking into account all available information about future. Accordingly, they continue to adopt the going concern basis in preparing the Financial Statements.

2.4 Functional and presentation currency

The Financial Statements are presented in Sri Lankan Rupees (LKR), which is the Company's functional currency.

2.5 Use of estimates and judgements

The preparation of financial statements in conformity with Sri Lanka Accounting Standards requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgements about the carrying amount of assets and liabilities that are not readily apparent from other sources.

Estimates and underlying assumptions are reviewed on an on-going basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

Notes to the Financial Statements

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements is included in the following notes:

(a) Insurance contract liabilities

The liability for life insurance contracts with Discretionary Participation Features (DPF) is either based on current assumptions or on assumptions established at the inception of the contract, reflecting the best estimate at the time, increased with a margin for risk and adverse deviation. All contracts are subject to a Liability Adequacy Test (LAT), which reflect management's best current estimate of future cash flows.

The main assumptions used relate to mortality, morbidity, longevity, investment returns, expenses, lapses, surrender rates and discount rates as further detailed in Note 26. For those contracts that insure risk related to longevity, prudent allowance is made for expected future mortality improvements, as well as wide ranging changes to the life style, which could result in significant changes to the expected future mortality exposure.

Estimates are also made for future investment income arising from the assets backing life insurance contracts.

These estimates are based on current market returns, as well as expectations about future economic and financial developments

Assumptions on future expense are based on current expense levels, adjusted for expected expense inflation, if appropriate. Lapse and surrender rates are based on the company's historical experience of lapses and surrenders.

Discount rates are based on current industry risk rates, adjusted for the company's own risk exposure.

(b) Valuation of employee benefit obligation – Gratuity

The cost of defined benefit plans which is gratuity is determined using actuarial valuations. The actuarial valuation involves making assumptions about discount rates, expected rates of return on assets, future salary increases and mortality rates. Due to the complexity of the valuation, the underlying assumptions and its long term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Details of the key assumptions used by the actuary in the estimates are contained in Note 27.

(c) Provisions for liabilities and contingencies

The Company receives legal claims against it in the normal course of business. Management has made judgments as to the likelihood of any claim succeeding in making provisions. The time of concluding legal claims is uncertain, as is the amount of possible outflow of economic benefits. Timing and cost ultimately depend on the due process in respective legal jurisdictions.

(d) Deferred taxation

Deferred taxation is provided using the liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the tax base of assets and liabilities, which is the amount attributed to those assets and liabilities for tax purposes. The amount of deferred tax provided is based on the expected manner of realization or settlement of the carrying amount substantively enacted by the reporting date.

Deferred tax assets, including those related to temporary tax effects of income tax losses and credits available to be carried forward, are recognized only to the extent that it is probable that future taxable profits will be available against which the asset can be fully utilized. Deferred tax assets, if any, are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the differed tax asset to be recovered.

Differed tax relating to items recognized outside profit or loss, if any is recognized outside profit or loss. Differed tax items are recognized in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

(e) Notional tax credit

As per the transitional provision for new Inland Revenue Act, brought forward notional tax credits has to be set off against income tax liability within three consecutive years of assessment from the year of assessment 2018/19.

The Company assessed the recoverability of notional tax credits in its Statement of Financial position as at 31st December 2019 by assessing if it can be utilised against future income tax liabilities. Company carried out an assessment of its taxable profits in future according to the new Inland Revenue Act, No. 24 of 2017. As per which, the company will not have income tax liability to set off unutilised notional tax credits for next three years due to taxable income is fully set off against brought forward tax losses. Considering this the company has made a provision for the respective notional tax credits in the current financial year.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

3.1 Insurance contracts

Product classification

Insurance contracts are those contracts when the company (the insurer) has accepted significant insurance risk from another party (the policyholders) by agreeing to compensate the policyholders if a specified uncertain future event (the insured event) adversely affects the policyholders. As a general guideline, the company determines whether it has significant insurance risk, by comparing benefits paid with benefits payable if the insured event did not occur. Insurance contracts can also transfer financial risk.

Investment contracts are those contracts that transfer significant financial risk and no significant insurance risk. Financial risk is the risk of a possible future change in one or more of a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of price or rates, credit rating or credit index or other variable, provided in the case of a non-financial variable that the variable is not specific to a party to the contract.

Once a contract has been classified as an insurance contract, it remains an insurance contract for the remainder of its lifetime, even if the insurance risk reduces significantly during this period, unless all rights and obligations are extinguished or expire. Investment contracts can, however, be reclassified as insurance contracts after inception if insurance risk becomes significant.

All the products sold by the Company are insurance contracts and therefore classified as Insurance contracts under the SLFRS 4- Insurance Contracts. Thus, the company does not have any investment contracts within its product portfolio as at the reporting date.

Actuarial valuation of life insurance fund

The directors agree to the long-term insurance provision for the company at the year-end on the recommendations of the Independent Consultant Actuary following his annual investigation of the life insurance business. The actuarial valuation takes into account all liabilities and is based on assumptions recommended by the Independent Consultant Actuary.

3.2 Property, plant and equipment

3.2.1 Basis of recognition

Property, plant and equipment are tangible items that are held for servicing, or for administrative purposes, and are expected to be used during more than one year.

Property, plant and equipment are recognized if it is probable that future economic benefits associated with the asset will flow to the company and cost of the asset can be measured reliably.

3.2.2 Measurement

An item of property, plant and equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to or replace a part of it. The cost of self-constructed assets includes the cost of materials and direct labor, any other costs directly attributable to bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring at the site on which they are located.

The Company applies the cost model and records at cost of purchase together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment losses. The Company does not own any property.

3.2.3 Subsequent costs

The cost of replacing a part of an item of plant and equipment is recognized in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the company and its cost can be measured reliably. The cost of day to day servicing of property, plant and equipment is charged to the Statement of Income.

3.2.4 Repairs and maintenance

Repairs and maintenance are charged to the Statement of Comprehensive Income during the financial period in which they are incurred. The cost of major renovations is included in the carrying amount of the assets when it is probable that future economic benefits in excess of the most recently assessed standard of performance of the existing assets will flow to the company and the renovation replaces an identifiable part of the asset. Major renovations are depreciated during the remaining useful life of the related asset.

3.2.5 Depreciation

The Company provides depreciation from the date the assets are available for use up to the date of disposal, at the following rates on a straight-line basis over the periods appropriate to the estimated useful lives of the different types of assets.

The estimated useful lives for the current and comparative years are as follows:

Furniture and fittings	5 years
Office equipment	5 years
Computer hardware	4 years
Motor Vehicle	5 years

3.2.6 De-recognition

The carrying amount of an item of property, plant and equipment is derecognised on disposal or when no future economic benefits are expected from it. The gain or loss arising from the de-recognition of an item of property, plant and equipment is included in the Statement of Income when the item is derecognised.

Notes to the Financial Statements

3.3 Right-of-use assets

3.3.1 Basis of recognition

At inception of a contract, the company assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the company assesses whether

- The contract involves the use of an identified asset – this may be specified explicitly or implicitly, and should be physically distinct or represent substantially all of the capacity of a physically distinct asset. If the supplier has a substantive substitution right, then the asset is not identified
- The company has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- The company has the right to direct the use of the asset. The company has this right when it has the decision-making rights that are most relevant to changing how and for what purpose the asset is used. In rare cases where the decision about how and for what purpose the asset is used is predetermined, the company has the right to direct the use of the asset if either
- The company has the right to operate the asset; or
- The company designed the asset in a way that predetermines how and for what purpose it will be used.

This policy is applied to contracts entered into, or changed, on or after 01st January 2019.

3.3.2 Initial measurement

At the commencement date the company measure the right-of-use asset at cost. Cost include the amount of the lease liability (present value of future lease payments discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined company's incremental borrowing rate), any lease payment made at or before the commencement date less any lease incentives received, initial direct cost incurred and estimate of cost to be incurred by the company in dismantling and removing the underlying asset or restoring the site on which it is located.

3.3.3 Subsequent measurement

The recognized right of use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right of use asset or the end of the lease term.

Right of use assets are subject to impairment.

3.3.4 Short-term leases and leases of low-value assets

The company applies the short-term lease recognition exemption to leases that have a lease term of 12 months or less from the commencement date. Lease payments on short-term leases and leases of low-value assets are recognized as expense on a straight-line basis over the lease term.

3.4 Intangible assets

Intangible assets consist primarily of acquired computer software. Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and any accumulated impairment losses.

3.4.1 Useful economic life and amortisation

The estimated useful life of software is four years. The amortization is calculated on a straight line basis over the estimated useful life of the software and recognized on Statement of Income.

3.4.2 Subsequent expenditure

Expenditures that only increases the future economic benefits in the specific asset are capitalized as subsequent expenditure.

3.4.3 De-recognition

The carrying amount of an intangible asset is derecognized on disposal or when no future economic benefits are expected from it. The gain or loss arising from the de-recognition of an item of intangible asset is included in the statement of income when the asset is derecognized.

3.5 Impairment of non-financial assets

The carrying amounts of the company's non-financial assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. An impairment loss is recognised if the carrying amount of an asset exceeds its estimated recoverable amount.

The recoverable amount of an asset is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets.

Impairment losses are recognized in Statement of Income.

3.6 Financial assets

3.6.1 Initial recognition and measurement

Financial assets are measured initially at fair value plus, for an item not at fair value through profit or loss, transaction costs that are directly attributable to its acquisition or issue.

At inception a financial asset is classified into one of the following categories:

1. Fair value through profit or loss (FVTPL);
2. Loans and receivables (L&R);
3. Held to maturity investments (HTM); and
4. Available-for-sale (AFS) financial assets, as appropriate.

The company determines the classification of its financial assets at initial recognition.

The classification depends on the purpose for which the investments were acquired or originated (i.e. Intention) and based on the company's ability.

The company's existing types of financial assets and their classifications are shown in the table below.

Financial Asset	Category
Treasury Bonds	Available for Sale
Treasury Bills	Available for Sale
Repos	Loans and Receivables
Corporate Bonds	Loans and Receivables
Fixed Deposits	Loans and Receivables
Policy Loans	Loans and Receivables

3.6.2 Subsequent measurement

(a) Loans and receivables (L&R)

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. The company also decided to classify unquoted corporate debts under this category since there is no active market for these instruments.

These investments are initially recognized at cost, being the fair value of the consideration paid for the acquisition of the investment. All transaction costs directly attributable to the acquisition are also included in the cost of the investment. After initial measurement, loans and receivables are measured at amortized cost, using the EIR, less allowance for impairment.

(b) Available-for-sale financial assets (AFS)

Available-for-sale financial investments include Government Securities, those that are neither classified as held for trading nor designated at fair value through profit or loss.

After initial measurement, available-for-sale financial assets are subsequently measured at fair value, with unrealized gains or losses recognized in Other Comprehensive Income (OCI) in the available-for-sale reserve. The company has applied the shadow accounting principles and recognized the fair value movement in life fund.

Interest earned whilst holding available-for-sale investments is reported as interest income using the EIR.

If the asset is determined to be impaired, the cumulative loss is recognized in the Income Statement in the Other Revenue and removed from the available-for-sale reserve.

The company evaluates its available-for-sale financial assets to determine whether the ability and intention to sell them in the near term would still be appropriate. In the case where the company is unable to trade these financial assets due to inactive markets and management's intention significantly changes to do so in the foreseeable future, the company may elect to reclassify these financial assets in rare circumstances. Reclassification to loans and receivables is permitted when the financial asset meets the definition of loans and receivables and management has the intention and ability to hold these assets for the foreseeable future or until maturity. The reclassification to held-to-maturity is permitted only when the entity has the ability and intention to hold the financial asset until maturity.

For a financial asset that is reclassified out of the available-for-sale category, any previous gain or loss on that asset that has been recognized in equity is amortized to profit or loss over the remaining life of the investment using the EIR. Any difference between the new amortized cost and the expected cash flows is also amortized over the remaining life of the asset using the EIR. If the asset is subsequently determined to be impaired, then the amount recorded in equity is reclassified to the income statement.

3.6.3 De-recognition

The company derecognizes a financial asset when;

- The rights to receive cash flows from the asset have expired or
- The company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either
 - (a) The company has transferred substantially all the risks and rewards of the asset, or
 - (b) The company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset transferred), and the sum of;

- (a) the consideration received (including any new asset obtained less any new liability assumed) and
- (b) any cumulative gain or loss that had been recognized in other comprehensive income is recognized in profit or loss.

3.6.4 Offsetting

Financial assets and liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Company has a legal right to set off the recognized amounts and it intends either to settle on a net basis or to realize the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when permitted under SLFRSs, or for gains and losses arising from a group of similar transactions such as in the Company's trading activity.

Notes to the Financial Statements

3.6.5 Fair value measurement

Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction on the measurement date.

When available, the company measures the fair value of an instrument using quoted prices in an active market for that instrument. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis.

If a market for a financial instrument is not active, then the company establishes fair value using a valuation technique. Valuation techniques include using recent arm's length transactions between knowledgeable, willing parties (if available), reference to the current fair value of other instruments that are substantially the same, discounted cash flow analyses.

If the fair value cannot be measured reliably, these financial instruments are measured at cost, being the fair value of the consideration paid for the acquisition of the investment or the amount received on issuing the financial liability. All transaction costs directly attributable to the acquisition are also included in the cost of the investment.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price, i.e. The fair value of the consideration given or received, unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument, i.e. Without modification or repackaging, or based on a valuation technique whose variables include only data from observable markets. When transaction price provides the best evidence of fair value at initial recognition, the financial instrument is initially measured at the transaction price and any difference between this price and the value initially obtained from a valuation model is subsequently recognized in profit or loss on an appropriate basis over the life of the instrument but not later than when the valuation is supported wholly by observable market data or the transaction is closed out.

3.6.6 Impairment of financial asset

The company assesses at each reporting date whether a financial asset or group of financial assets is impaired.

The company first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a group of financial assets with similar credit risk characteristics and that group of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognized are not included in a collective assessment of impairment.

(a) Assets carried at amortized cost

If there is objective evidence that an impairment loss on assets carried at amortized cost has been incurred, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced and the loss is recorded in the Income Statement.

If, in a subsequent period, the amount of the impairment loss decreases and that decrease can be related objectively to an event occurring after the impairment was recognized, the previously recognized impairment loss is reversed. Any subsequent reversal of an impairment loss is recognized in the Income Statement, to the extent that the carrying value of the asset does not exceed its amortized cost at the reversal date.

(b) Available for sale financial asset

For available-for-sale financial investments, the company assesses at each reporting date whether there is objective evidence that an investment or a group of investments is impaired.

In the case of debt instruments classified as available-for-sale, impairment is assessed based on the same criteria as financial assets carried at amortized cost. However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortized cost and the current fair value, less any impairment loss on that investment previously recognized in the income statement.

Future interest income continues to be accrued based on the reduced carrying amount of the asset and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest income is recorded as part of 'Investment Income'. If, in a subsequent year, the fair value of a debt instrument increases and the increase can be objectively related to an event occurring after the impairment loss was recognized in the income statement, the impairment loss is reversed through the income statement.

3.7 Reinsurance contracts

The company cedes insurance risk in the normal course of business to recognized reinsurers through formal reinsurance arrangements.

Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance is recorded gross in the Statement of Financial Position unless a right to offset exists. Reinsurance assets are reviewed for impairment at each reporting date, or more frequently, when an indication of impairment arises during the reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance

asset that the Company may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Company will receive from the reinsurer. The impairment loss, if any is recorded in the income statement.

Ceded reinsurance arrangements do not relieve the company from its obligations to policyholders.

Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract.

Reinsurance assets or liabilities are derecognized when the contractual rights are extinguished or expire or when the contract is transferred to another party.

3.8 Premium receivable

Insurance receivables are recognised when due and measured on initial recognition at the fair value of the consideration received or receivable. Subsequent to initial recognition, insurance receivables are measured at amortised cost, using the effective interest rate method. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the income statement.

Life insurance premiums (only the premiums due in the 60-day grace period) are recognized at each reporting date and will be reversed if the premiums are not settled during the subsequent month, and thus the policies will be lapsed as per the company policy.

3.9 Cash and cash equivalents

Cash and cash equivalents comprise cash in hand, deposits held at call with banks and other short-term highly liquid financial instruments.

3.10 Insurance contract liabilities

3.10.1 Life insurance contract liabilities

Life insurance liabilities are recognized when contracts are entered into and premiums are charged. These liabilities are measured by using the gross premium valuation method as specified by the insurance regulatory commission of sri lanka (IRCSL) based on the recommendation of the Independent Consultant Actuary. The liability is determined as the sum of the discounted value of the expected future benefits, less the discounted value of the expected future premiums that would be required to meet the future cash outflows based on the valuation assumptions used. The liability is computed based on IRCSL specified guidelines and current assumptions which vary based on the contract type.

Furthermore, adjustments are performed to capture the likely liabilities that may arise due to currently lapsed contracts reviving in the future.

3.10.2 Liability adequacy test

As required by the SLFRS 4 - Insurance Contracts, the Company performed a Liability Adequacy Test (LAT) in respect of Life Insurance contract liabilities with the assistance of an external qualified actuary. In performing the adequacy test, current best estimates of future contractual cash flows, including related cash flows such as claims handling and policy administration expenses, policyholder options and guarantees, as well as investment income from assets backing such liabilities, are used. If that assessment that the carrying amount of the liabilities (less related assets) is insufficient in light of the estimated future cash flows, the deficiency is recognized in the Statement of Income by creating an additional provision in the Statement of Financial Position.

3.11 Financial liabilities

3.11.1 Initial recognition and measurement

Financial liabilities within the scope of LKAS 39 are classified as financial liabilities at fair value through profit or loss or loans and borrowings as appropriate. The company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognized initially at fair value and, in the case of loans and borrowings, carried at amortized cost. This includes directly attributable transaction costs.

3.11.2 Subsequent measurement

The measurement of financial liabilities depends on their classification as follows.

(a) Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss.

Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. Gains or losses on liabilities held for trading are recognized in the statement of income. The company has not designated any financial liabilities upon initial recognition as fair value through profit or loss.

(b) Other financial liabilities

Loans and borrowings are carried at amortized cost after initial recognition.

3.11.3 De recognition

A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires.

Notes to the Financial Statements

3.12 Employee benefits

(a) Defined benefit plan – gratuity

Gratuity is a defined benefit plan. The Company is liable to pay gratuity in terms of the Payment of Gratuity Act No. 12 of 1983, according to which a liability to pay gratuity arises only on completion of 5 years of continued service. In order to meet this liability, a provision is carried forward in the statement of financial position as per Sri Lanka Accounting Standard LKAS 19 Employee Benefits. The actual valuation involves making assumptions about discount rate, salary increment rate and balance service period of employees and projected unit credit method has been applied for the valuation. Due to the long term nature of plans such estimates are subject to significant uncertainty.

The re-measurement of the net defined benefit liability, which comprises actuarial gains and losses are recognized immediately in other comprehensive income. Interest cost and current service cost are recognized in profit or loss.

(b) Defined contribution plans – employees' provident fund and employees' trust fund

Employees are eligible for employees' provident fund contribution and employees' trust fund contributions in line with the respective statutes and regulations. The company contributes a defined percentage of gross emoluments of employees to an approved provident fund and to the employees' trust fund respectively.

3.13 Insurance payables

Insurance payables are recognised when due and measured on initial recognition at the fair value of the consideration received less directly attributable transaction costs. Subsequent to initial recognition, they are measured at amortised cost using the effective interest rate method.

Insurance payables are derecognised when the obligation under the liability is settled, cancelled or expired.

3.14 Lease creditor

3.14.1 Initial recognition and measurement

At the commencement lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined using the company's incremental borrowing rate.

3.14.2 Subsequent measurement

After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is premeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

3.15 Provisions

Provisions are recognised when the company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Where the company expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset, but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the income statement net of any reimbursement. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

3.16 Equity movements

3.16.1 Stated capital

The company has issued ordinary shares that are classified as equity instruments. Incremental external costs that are directly attributable to the issue of these shares are recognised in equity, net of tax.

3.16.2 Dividends on ordinary share capital

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the company's shareholders. Interim dividends are deducted from equity when they are paid.

Dividends for the year that are approved after the reporting date are dealt with as an event after the reporting date.

3.17 Revenue recognition

(a) Gross premium

Gross recurring premiums on life are recognized as revenue when payable by the policyholder. For single premium business revenue is recognized on the date on which the policy is effective.

(b) Reinsurance premium

Gross reinsurance premiums on insurance contracts are recognized as an expense on the earlier of the date when premiums are payable or when the policy becomes effective. Reinsurance premiums are decided based on rates agreed with reinsurers.

(c) Fees and commission income

Insurance and investment contract policyholders are charged for policy administration services and other contract fees. These fees are recognized as revenue upon receipt or becoming due.

(d) Investment income

Interest incomes for all interest-bearing financial are recognized within 'investment income' in the income statement using the effective interest rate method. When a receivable is impaired, the company reduces the carrying amount to its recoverable amount, being the estimated future cash flow discounted at the original effective interest rate of the instrument, and continues unwinding the discount as interest income.

(e) Other income

Other income is recognized on an accrual basis.

3.18 Benefits, claims & expenses recognition

(a) Gross benefits and claims

Gross benefits and claims for life insurance contracts include the cost of all claims arising during the year, including internal and external claims handling costs that are directly related to the processing and settlement of claims. Death claims are recorded on the basis of notifications received.

Changes in the valuation of insurance contract liabilities are recognized in the income statement.

(b) Reinsurance claim recoveries

Reinsurance claims are recognized when the related gross insurance claim is recognized according to the terms of the relevant contract.

(c) Expenses recognition

Expenses are recognized in the statement of income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the Statement of Income.

(d) Income tax

Income tax expense comprises current and differed tax. Current and differed taxes are recognized in profit or loss except to the extent that it relates to items recognized in the Other Comprehensive Income or directly in equity, when it is recognized in the OCI equity respectively.

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. Provision for taxation is based on the profit for the year adjusted for taxation purposes in accordance with the provisions of the Inland Revenue Act, No. 24 of 2017 (for first three months in accordance with Act, No.10 of 2006).

Current income tax assets and liabilities also include adjustments for tax expected to be payable or recoverable in respect of previous periods.

Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions, where appropriate.

3.19 Cash flow statement

The Cash Flow Statement has been prepared using the indirect method of preparing cash flows in accordance with the Sri Lanka Accounting Standard (LKAS) 7, Cash Flow Statements.

Cash and cash equivalents comprise short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value. The cash and cash equivalents include cash in-hand, balances with banks and short term deposits with banks.

3.20 Standards issued but not yet effective

Certain new accounting standards and amendments/improvements to existing standards have been published, that are not mandatory for 31st December 2019 reporting periods. None of these have been early adopted by the Company.

3.20.1 SLFRS 9 – Financial instruments

SLFRS 9 replaces the existing guidance in LKAS 39 Financial Instruments: Recognition and Measurement. SLFRS 9 includes revised guidance on the classification and measurement of financial instruments, a new expected credit loss model for calculating impairment on financial assets, and new general hedge accounting requirements. It also carries forward the guidance on recognition and derecognition of financial instruments from LKAS 39.

SLFRS 9 is effective for annual reporting periods beginning on or after 01st January 2018, with early adoption permitted.

Temporary exemption from SLFRS 9

An Insurer may apply the temporary exemptions from SLFRS 9 if, and only if:

(a) It has not previously applied any version of SLFRS 9, other than only the requirements for the presentation of gains and losses on financial liabilities designated as at Fair Value through profit or Loss and;

(b) Its activities are predominantly connected with insurance, at its annual reporting date that immediately precedes 1st April 2016, or at a subsequent annual reporting date.

As the company's activities are predominantly connected with insurance and it has not previously applied any version of SLFRS 9 as indicated above, the company will be eligible for the temporary exemption from applying SLFRS 9.

Notes to the Financial Statements

Financial Assets

SLFRS 9 contains three principal classification categories for financial assets measured at

- Amortised cost
- Fair value through other comprehensive income (FVTOCI)
- Fair value through profit or loss

The standard eliminates the existing LKAS 39 categories of held to maturity, loans and receivables and available for sale.

Financial liabilities

Under LKAS 39 all fair value changes of liabilities designated as at FVTPL are recognized in profit or Loss, whereas under SLFRS 9 the amount of change in the fair value that is attributed to changes in the credit risk of the liability is presented in Other Comprehensive Income and the remaining amount of change in the fair value is presented in profit or Loss.

3.20.2 SLFRS 17 – Insurance contracts

SLFRS 17 will replace SLFRS 4 on accounting for insurance contracts and will be effective from 01st January 2021.

Objective

SLFRS 17 Insurance contracts establishes the principles for the recognition, measurement, presentation and disclosure of insurance contracts within the scope of the standard. The objective of SLFRS 17 is to ensure that an entity provides relevant information that faithfully represents those contracts. This information gives a basis for users of Financial Statements to assess the effect that insurance contracts have on the entity's financial position, financial performance and cash flows.

Recognition

An entity shall recognise a group of insurance contracts it issues from the earliest of the following:

- (a) the beginning of the coverage period;
- (b) the date when the first payment from a policyholder becomes due; and
- (c) when the group becomes onerous if facts and circumstances indicate that there is such a group.

Measurement

SLFRS – 17 specify three measurement approaches;

1. Building block approach (BBA)

On initial recognition, an entity shall measure a group of contracts at the total of:

- (a) the amount of fulfilment cash flows ("FCF"), which comprise; estimates of future cash flows, an adjustment to reflect the time value of money ("TVM") and the financial risks associated with the future cash flows and risk adjustment for non-financial risk.

(b) The contractual service margin ("CSM")

The CSM represents the unearned profit of the group of insurance contracts that the entity will recognise as it provides services in the future. This is measured on initial recognition of a group of insurance contracts at an amount that, unless the group of contracts is onerous, results in no income or expenses arising from:

- the initial recognition of an amount for the FCF
- the derecognition at that date of any asset or liability recognised for acquisition cash flows; and;
- any cash flows arising from the contracts in the group at that date.

2. Premium allocation approach (PAA)

An entity may simplify the measurement of the liability for remaining coverage of a group of insurance contracts using the Premium Allocation Approach (PAA) on the condition that, at the inception of the group:

- (a) the entity reasonably expects that this will be a reasonable approximation of the General Model, or
- (b) the coverage period of each contract in the group is one year or less.

Where, at the inception of the group, an entity expects significant variances in the FCF during the period before a claim is incurred, such contracts are not eligible to apply the PAA.

Using the PAA, the liability for remaining coverage shall be initially recognised as the premiums, if any, received at initial recognition, minus any insurance acquisition cash flows. Subsequently the carrying amount of the liability is the carrying amount at the start of the reporting period plus the premiums received in the period, minus insurance acquisition cash flows, plus amortisation of acquisition cash flows, minus the amount recognised as insurance revenue for coverage provided in that period, and minus any investment component paid or transferred to the liability for incurred claims.

3. Variable fee approach (VFA)

Insurance contracts with direct participation features apply a modified version of the general model called the variable fee approach. One of the concerns that respondents had with the application of the general model to insurance contracts with participation features was that it could result in the reporting of artificial volatility in profit or loss. This volatility could arise from a mismatch between the accounting treatment of investment gains and losses on underlying items attributable to policyholders, and the accounting treatment of the liability to those policyholders. The requirement in the general model to report the impacts of all changes in financial assumptions in comprehensive income (rather than by adjusting the CSM) was also considered to create artificial profit volatility in cases where the returns from underlying items would be paid to policyholders. The variable fee approach therefore addresses these concerns by adjusting the general model.

Discount rates

The discount rates applied to the estimate of cash flows shall:

- (a) reflect the time value of money (TVM), the characteristics of the cash flows and the liquidity characteristics of the insurance contracts;
- (b) be consistent with observable market prices of those financial instruments whose cash flow characteristics are consistent with those of the insurance contracts; and
- (c) exclude the effect of factors that influence such observable market prices but do not affect the future cash flows of the insurance contracts.

Risk adjustment for non-financial risk

The estimate of the present value of the future cash flows is adjusted to reflect the compensation that the entity requires for bearing the uncertainty about the amount and timing of future cash flows that arises from non-financial risk.

Subsequent measurement

On subsequent measurement, the carrying amount of a group of insurance contracts at the end of each reporting period shall be the sum of:

- (a) the liability for remaining coverage comprising the FCF related to future services and the CSM of the group at that date;
- (b) the liability for incurred claims, comprising the FCF related to past service allocated to the group at that date.

Onerous contracts

An insurance contract is onerous at initial recognition if the total of the FCF, any previously recognised acquisition cash flows and any cash flows arising from the contract at that date is a net outflow. An entity shall recognise a loss in profit or loss for the net outflow, resulting in the carrying amount of the liability for the group being equal to the FCF and the CSM of the group being zero.

On subsequent measurement, if a group of insurance contracts become onerous (or more onerous), that excess shall be recognised in profit or loss. Additionally, CSM cannot increase and no revenue can be recognised, until the onerous amount previously recognised has been reversed in profit or loss as part of a service expense.

Modification and de-recognition

Modification of an insurance contract

If the terms of an insurance contract are modified, an entity shall derecognise the original contract and recognise the modified contract as a new contract if there is a substantive modification, based on meeting any of the specified criteria.

The modification is substantive if any of the following conditions are satisfied:

- (a) if, had the modified terms been included at contract's inception, this would have led to:
 - I. exclusion from the Standard's scope;
 - II. unbundling of different embedded derivatives;
 - III. redefinition of the contract boundary;
 - IV. the reallocation to a different group of contracts; or
- (b) if the original contract met the definition of a direct participating insurance contracts, but the modified contract no longer meets that definition, or vice versa; or
- (c) the entity originally applied the PAA, but the contract's modifications made it no longer eligible for it.

De-recognition

An entity shall de-recognise an insurance contract when it is extinguished, or if any of the conditions of a substantive modification of an insurance contract are met.

Effective date

SLFRS 17 is effective for annual reporting periods beginning on or after 01st January 2021. Earlier application is permitted if both SLFRS 15 'Revenue from contracts with customers' and SLFRS 9 'Financial instruments' have also been applied.

Transition

An entity shall apply the standard retrospectively unless impracticable, in which case entities have the option of using either the modified retrospective approach or the fair value approach.

Under the modified retrospective approach, an entity shall utilise reasonable and supportable information and maximise the use of information that would have been used to apply a full retrospective approach, but need only use information available without undue cost or effort. Under this approach the use of hindsight is permitted, if that is the only practical source of information for the restatement of prior periods.

Under the fair value approach, an entity determines the CSM or the loss component at the transition date as the difference between the fair value of a group of insurance contracts at that date and the FCF measured at that date. Using this approach, on transition entity has a choice need for annual groups.

At the date of initial application of the Standard, those entities already applying SLFRS 9 may retrospectively re-designate and reclassify financial assets held in respect of activities connected with contracts within the scope of the standard.

Entities can choose not to restate SLFRS 9 comparatives with any difference between the previous carrying amount of those financial assets and the carrying amount at the date of initial application recognised in the opening equity at the date of initial application. Any restatements of prior periods must reflect all the requirements of SLFRS 9.

Notes to the Financial Statements

4. NET WRITTEN PREMIUM

	2019 Rs.	2018 Rs.
4. (a) Gross premium on insurance contracts		
First year premium	873,408,548	870,429,165
Renewal premium	698,761,095	442,770,556
Group premium	60,986,354	74,232,532
Total gross written premium	1,633,155,997	1,387,432,253
4. (b) Premium ceded to reinsurers on insurance contracts		
Conventional policies	88,849,485	41,327,272
Total premium ceded to reinsurers	88,849,485	41,327,272
Total net written premium	1,544,306,512	1,346,104,980

5. FEES AND COMMISSION INCOME

	2019 Rs.	2018 Rs.
Policyholder administration fees	28,825,103	10,666,036
Total fees and commission income	28,825,103	10,666,036

6. INVESTMENT INCOME

	2019 Rs.	2018 Rs.
Interest income		
Financial assets - available for sale	58,575,161	29,342,217
Financial assets - loans and receivable	202,436,862	175,873,524
Total investment income	261,012,023	205,215,741

7. NET REALISED GAINS/LOSSES

	2019 Rs.	2018 Rs.
Net realised gains / (losses)	21,327,018	13,823,318
Total net realized gains / (losses)	21,327,018	13,823,318

8. OTHER OPERATING REVENUE

	2019	2018
	Rs.	Rs.
Other operating revenue	10,573,868	6,935,285
Total other operating revenue	10,573,868	6,935,285

9. NET BENEFITS AND CLAIMS

	2019	2018
	Rs.	Rs.
9. (a) Net Insurance Benefits and Claims Paid		
Gross benefits and claims paid		
Hospitalization	90,191,906	60,731,405
Death	19,085,336	11,651,526
Surrender payments	155,272,297	87,637,527
Policy maturities	73,411,322	23,203,831
	337,960,861	183,224,289
Claims ceded to reinsurers		
Hospitalization	(33,208,873)	(19,025,437)
Death	(6,016,897)	(50,000)
	(39,225,770)	(19,075,437)
Total net insurance benefits and claims paid	298,735,091	164,148,852
9. (b) Net Change in Insurance Claims Outstanding		
Gross change in contract liabilities		
Hospitalization	45,448,625	14,192,086
	45,448,625	14,192,086
Change in contract liabilities ceded to reinsurers		
Hospitalization	(38,097,772)	(9,394,368)
Total net change in insurance claims outstanding	7,350,853	4,797,718
Total net benefits and claims	306,085,944	168,946,570

10. UNDERWRITING AND NET ACQUISITION COSTS

	2019	2018
	Rs.	Rs.
Commission expenses	190,327,109	176,237,916
Direct marketing cost	467,323,137	387,215,917
	657,650,246	563,453,833

Notes to the Financial Statements

11. OTHER OPERATING AND ADMINISTRATIVE EXPENSES

	Note	2019 Rs.	2018 Rs.
Employee benefits expenses	11 (a)	70,191,333	92,227,234
Administration & establishment expenses		121,094,860	146,428,399
Selling expenses		69,977,856	59,736,677
Depreciation on property and equipment		22,152,318	20,118,876
Depreciation for right of use assets		48,007,879	-
Finance cost on lease		19,120,819	-
Amortization of intangible asset		198,219	146,250
Audit and non audit fee including expenses		3,687,500	2,190,343
Other cost		9,986,600	2,736,862
Provision for tax credit (Notional tax)		-	18,193,213
Total other operating and administrative expenses		364,417,384	341,777,854
11. (a) Employee Benefits Expense			
Wages and salaries including bonus & incentives		61,434,875	84,725,526
Contributions to employee benefit obligation plans		3,431,931	2,956,505
Employees' provident fund		4,256,261	3,654,297
Employees' trust fund		1,068,266	890,906
Total employee benefits expenses		70,191,333	92,227,234

12. INCOME TAX EXPENSE

The major components of income tax expense for the year ended 31st December are as follows:

	Note	2019 Rs.	2018 Rs.
12. (a) Current Year Tax Charge			
Current income tax			
Income tax on current year's profit		-	-
Over/under provision of income taxes		-	-
Provision for tax credits (Notional tax)		-	4,078,781
Total current income tax		-	4,078,781
Deferred income tax			
Deferred tax assets	12 (d)	(88,849,801)	(304,428,385)
Deferred taxation		(88,849,801)	(304,428,385)
Total income tax (reversal)/expense		(88,849,801)	(300,349,604)

	Note	2019 Rs.	2018 Rs.
12. (b) Reconciliation of Tax Charge			
Profit for the year		227,255,819	499,184,513
Provision for tax credit (Notional Tax)		-	4,078,781
Deferred taxation		88,849,801	(304,428,385)
Profit before tax		316,105,620	198,834,909
At the statutory income tax rate of 28% (2018 - 28%)		88,509,574	55,673,775
Income exempt from tax		-	(4,187,740)
Disallowable expenses		-	173,368
Utilization of previous tax losses		(88,509,574)	(51,659,402)
Provision for tax credit (Notional tax)		-	4,078,780
Origination /(Reversal) of deferred tax assets		(88,849,801)	(304,428,385)
Income tax expense		88,849,801	(300,349,604)

The company is liable to pay income tax at the rate of 28% of its taxable profits in accordance with the provisions of the Inland Revenue Act No. 24 of 2017 and subsequent amendments thereto.

	Note	2019 Rs.	2018 Rs.
12. (c) Tax Loss Analysis			
Balance as at 01st January		1,087,244,231	1,232,437,458
Tax losses incurred during the first 3 months		-	39,304,639
Tax losses utilised during the year		(317,320,718)	(184,497,866)
Balance as at 31st December		769,923,513	1,087,244,231
12. (d) Deferred Taxation			
Deferred tax assets	12 (d) (i)	215,578,584	304,428,385
Deferred tax assets		215,578,584	304,428,385

12. (d) (i)

	Statement of Financial Position				Profit or Loss	
	2019		2018		2019	2018
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
	Temporary Difference	Tax Effect Assets/ (Liability) at 28%	Temporary Difference	Tax Effect Assets/ (Liability) at 28%	Change in Deferred Tax Assets/ (Liability)	Change in Deferred Tax Assets/ (Liability)
Deferred tax assets						
Brought forward tax losses	769,923,513	215,578,584	1,087,244,231	304,428,385	(88,849,801)	304,428,385
Total	769,923,513	215,578,584	1,087,244,231	304,428,385	(88,849,801)	304,428,385

Notes to the Financial Statements

The company is liable to pay income tax at the rate of 28% as per section 67 of Inland Revenue Act No. 24 of 2017 which was effective from 1st April 2018 and the Act allows to deduct 100% of the taxable income against the brought forward tax losses. As at 31st December 2019 the company earned a taxable income of Rs. 317 Mn which utilized against the brought forward tax losses. According to the transitional provision of the new Act brought forward tax losses can be claimed against taxable income for a period of six years with effect from 1st April 2018.

The company made an assessment of future taxable profits and identified that total tax losses can be claimed within the prescribed period of the new Act. Accordingly a deferred tax asset has been recognized amounting to Rs. 216 Mn during the period on carried forward tax loss of Rs. 769 Mn.

13. EARNINGS/(LOSS) PER SHARE

Basic earnings / (loss) per share amount is calculated the net profit for the year attributable to ordinary shareholders of the company by dividing the weighted average number of ordinary shares outstanding at the reporting date.

	2019	2018
	Rs.	Rs.
Profit for the year	227,255,819	499,184,513
Weighted average number of ordinary shares (Nos)	66,230,407	66,230,407
Basic earnings per ordinary share Rs.	3.43	7.54

13.1 Weighted Average Number of Ordinary Shares

	2019	2018
Ordinary shares at the beginning of the year	66,230,407	66,230,407
Effect of issue of shares for cash consideration	66,230,407	66,230,407

14. PROPERTY, PLANT AND EQUIPMENT

Cost	Office Equipment	Furniture & Fittings	Computer	Motor Vehicle	Total
	Rs.	Rs.	Rs.	Rs.	Rs.
As at 01st January 2019	20,894,577	59,257,108	30,490,266	5,800,000	116,441,951
Additions	1,460,715	8,870,737	10,077,642	-	20,409,094
Disposals	-	-	-	-	-
As at 31st December 2019	22,355,292	68,127,845	40,567,908	5,800,000	136,851,045
Accumulated depreciation					
As at 01st January 2019	8,420,818	26,378,942	16,373,111	2,223,333	53,396,205
Depreciation charge for the year	3,814,823	11,133,755	7,203,741	1,160,000	23,312,318
Disposals	-	-	-	-	-
As at 31st December 2019	12,235,641	37,512,697	23,576,852	3,383,333	76,708,523
Carrying amount					
As at 31st December 2019	10,119,651	30,615,148	16,991,056	2,416,667	60,142,522
As at 01st January 2019	12,473,758	32,878,167	14,117,155	3,576,667	63,045,746

14.1 Acquisition of PPE During the Year

During the financial year, the Company acquired property, plant & equipment to the aggregate value of Rs. 20 Mn (2018 - Rs. 26 Mn). Cash payments amounting to Rs. 20 Mn (2018 - Rs. 26 Mn) were made during the year to purchase of property, plant & equipment.

14.2 PPE Pledged as Security for Liabilities

There were no items of property, plant and equipment pledged as securities for liabilities during the year. (2018 - Nil)

14.3 Temporarily Idle Property, Plant and Equipments

There were no temporarily idle property as at the year ended 31st December 2019. (2018 - Nil)

14.4 Fully Depreciated PPE in Use

PPE includes fully depreciated assets which are in the use of normal business activities. The initial cost of fully depreciated PPE which are still in use as at reporting date, is as follows:

As at 31st December	2019 Rs.	2018 Rs.
Computer	9,465,266	7,797,460
Furniture	14,645,906	8,195,118
Office Equipment	2,600,427	1,730,040
	26,711,599	17,722,618

15. RIGHT OF USE LEASE ASSET

	2019 Rs.
Opening as at 01st January - effect of adoption of SLFRS 16	137,413,782
Additions of right of use lease asset during the period	30,260,762
Net depreciation for the period	(61,291,107)
Advance payment for leases	13,172,489
Closing right of use lease asset balance as at 31st December 2019	119,555,926
Lease depreciation	(48,007,879)
Amortization of advance	(13,283,228)
	(61,291,107)
Lease Creditor	
Opening as at 01st January - effect of adoption of SLFRS 16	123,998,064
Additions during the period	30,260,762
Finance cost recognised in profit and loss	19,120,819
Lease payments	(45,208,623)
Closing lease creditors balance as at 31st December 2019	128,171,022

Notes to the Financial Statements

16. INTANGIBLE ASSETS

Computer software	2019	2018
Cost	Rs.	Rs.
Balance as at 01st January	450,000	-
Acquisition/Capitalisation during the year	570,000	450,000
Disposal during the year	-	-
Balance as at 31st December	1,020,000	450,000
Accumulated amortization		
As at 01st January	146,250	-
Amortization charge for the year	198,219	146,250
Disposals		
As at 31st December	344,469	146,250
Carrying amount		
As at 31st December	675,531	303,750
As at 01st January	303,750	-

16.1 Acquisition of intangible assets during the year

During the financial year, the company acquired intangible assets to the aggregate value of Rs. 0.57 Mn (2018 - 0.45 Mn). cash payments amounting to Rs. 0.57 Mn (2018 - 0.45 Mn) were made during the year to purchase of intangible assets.

16.2 Fully amortised intangible assets in use

There were no fully amortized intangible assets in use as at reporting date.

16.3 Title restriction on intangible assets

There were no restrictions that existed on the title of the intangible assets of the company as at the reporting date.

16.4 Assessment of impairment of intangible asset

The board of directors has assessed potential impairment indicators of intangible assets as at 31st December 2019 based on the assessment, no impairment indicators were identified.

17. FINANCIAL ASSETS

The Company's financial instruments are summarised by categories as follows:

	2019 Rs.	2018 Rs.
Loans and receivables	2,045,369,823	1,507,403,917
Available-for-sale financial assets	331,579,079	520,861,875
Total	2,376,948,902	2,028,265,792

The following table consists of the fair values of the financial investments together with their carrying values.

	Note	2019		2018	
		Carrying Value	Fair Value	Carrying Value	Fair Value
		Rs.	Rs.	Rs.	Rs.
Loans and receivables	17 (a)	2,045,369,823	2,045,369,823	1,507,403,917	1,507,403,917
Available-for-sale financial assets	17 (b)	331,579,079	331,579,079	520,861,875	520,861,875
Total financial instruments		2,376,948,902	2,376,948,902	2,028,265,792	2,028,265,792

Available-for-sale investments have been valued at fair value and loans and receivable investments are valued at amortised cost.

17. (a) Loans and receivables

As at 31st December	2019 Rs.	2018 Rs.
Investment in corporate debt	841,836,533	754,152,042
Investment in fixed deposit	415,254,885	342,069,407
Investment in repos	828,278,405	397,985,002
Investment in commercial papers	-	53,197,466
	2,085,369,823	1,547,403,917
Provision for impairment	(40,000,000)	(40,000,000)
	2,045,369,823	1,507,403,917

17. (b) Available for sale financial assets

	2019 Rs.	2018 Rs.
Treasury bonds	331,579,079	520,861,875
	331,579,079	520,861,875

Notes to the Financial Statements

17. (c) Carrying values of financial instruments

The movement of carrying value of above financial instruments as of reporting date is as follow;

	Loans and Receivable	Available- for-Sale	Total
	Rs.	Rs.	Rs.
At 01st January 2018	1,025,127,560	321,852,593	1,346,980,153
Purchases	22,086,557,088	201,662,223	22,288,219,311
Maturities	(21,636,636,894)	-	(21,636,636,894)
Disposals	-	-	-
Fair value gains recorded in other comprehensive income	-	4,505,698	4,505,698
Amortisation adjustment/Accrued Interest	32,356,162	(7,158,639)	25,197,523
At 01st January 2019	1,507,403,916	520,861,875	2,028,265,791
Purchases	37,238,179,593	(230,809,950)	37,007,369,643
Maturities	(36,644,803,656)	-	(36,644,803,656)
Disposals	-	-	-
Fair value gains recorded in other comprehensive income	-	36,415,989	36,415,989
Amortisation adjustment/Accrued Interest	(55,410,030)	5,111,165	(50,298,865)
At 31st December 2019	2,045,369,823	331,579,079	2,376,948,902

17. (c) Fair value of financial assets and liabilities not carried at fair value

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the financial statements (i.e., held to maturity and loans and receivables).

Assets for which fair value approximates carrying value

For financial assets and financial liabilities that have a short-term maturity (less than three months), it is assumed that the carrying amounts approximate to their fair value. This assumption is also applied to demand deposits, and savings accounts without a specific maturity. For other variable rate instruments an adjustment is also made to reflect the change in required credit spread since the instrument was first recognised.

Fixed rate financial instruments

The fair value of fixed rate financial assets and liabilities carried at amortised cost are estimated by comparing market interest rates when they were first recognised with current market rates for similar financial instruments. The estimated fair value of fixed interest bearing deposits is based on discounted cash flows using prevailing money-market interest rates for debts with similar credit risk and maturity. For quoted debt issued the fair values are determined based on quoted market prices. For those notes issued where quoted market prices are not available, a discounted cash flow model is used based on a current interest rate yield curve appropriate for the remaining term to maturity and credit spreads.

17. (d) Determination of fair value and fair values hierarchy

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

Level 1 : quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2 : valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable

Level 3 : valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy:

31st December 2019	Level 1	Level 2	Level 3	Total Fair Value
	Rs.	Rs.	Rs.	Rs.
Available-for-sale financial assets	331,579,079	-	-	331,579,079
	331,579,079	-	-	331,579,079

31st December 2018	Level 1	Level 2	Level 3	Total Fair Value
	Rs.	Rs.	Rs.	Rs.
Available-for-sale financial assets	520,861,875	-	-	520,861,875
	520,861,875	-	-	520,861,875

18. LOANS TO LIFE POLICYHOLDERS

	2019	2018
	Rs.	Rs.
Movement of policy loan		
Balance as at 01st January	202,319,889	142,614,126
Loans granted during the year	86,675,127	81,281,441
Repayments during the year	(41,124,465)	(21,575,678)
Balance as at 31st December	247,870,551	202,319,889
Interest receivable	38,399,859	26,297,032
Total loans to life policyholders	286,270,410	228,616,921

18.1 The surrender value of the policies for which policy loans have been granted as at 31st December 2019 amounted to Rs. 336.8 Mn (2018 - Rs. 339.3 Mn).

If the total receivable of the loan, including interest due and accrued, exceeds the cash surrender value, the policy terminates and becomes void. The Company has a first lien on all policies which are subjected to policy loans.

This mitigates the company's credit exposure on policy loans.

The company grants policy loans at a rate equivalent to the market rate, hence initial recognition is at fair value.

18.2 Impairment Losses on Loans to Life Policyholders

The Board of Directors has assessed potential impairment loss of loans to life policyholders as at 31st December 2019. Based on the assessment, no impairment provision is required to be made in the Financial Statements as at the reporting date in respect of loans to Life Policyholders.

Notes to the Financial Statements

19. REINSURANCE RECEIVABLE

Year ended 31st December	Note	2019 Rs.	2018 Rs.
Reinsurance receivable on outstanding claims		57,307,238	22,563,107
Reinsurance receivable on settled claims	19.1	11,044,613	4,376,196
		68,351,851	26,939,303
19.1 Reinsurance receivable from Munich Re		11,044,613	4,376,196
		11,044,613	4,376,196

19.2 The carrying amounts disclosed above is in respect of the reinsurance of investment contracts approximate fair value at the reporting date.

19.3 Impairment Losses on Reinsurance Receivables

The Board of Directors has assessed potential impairment loss of reinsurance receivables as at 31st December 2019. Based on the assessment, no impairment provision is required to be made in the Financial Statements as at the reporting date in respect of reinsurance receivables. Please refer Note No. 32.3 (b) for reinsurance rating analysis.

20. AMOUNTS DUE FROM RELATED PARTY

Year ended 31st December	Note	2019 Rs.	2018 Rs.
Amounts due from related companies	20 (a)	51,716,671	26,907,609

20. (a)

Related Party	Relationship	2019 Rs.	2018 Rs.
Richard Pieris & Company PLC	Ultimate Parent	1,412,029	1,597,209
Richard Pieris Distributors PLC	Fellow Subsidiary	50,304,642	25,310,400
		51,716,671	26,907,609

21. PREMIUM RECEIVABLE

Year ended 31st December	2019 Rs.	2018 Rs.
Premium receivable from policyholders		
Third party	65,220,110	68,763,221
Related party	4,308,311	4,308,311
	69,528,421	73,071,532

22. OTHER ASSETS

Year ended 31st December	2019 Rs.	2018 Rs.
Advances, deposits & prepayments	61,456,300	34,290,499
Taxation receivable	35,473,248	28,844,262
Inventories	6,585,157	11,279,513
	103,514,705	74,414,274

23. CASH AND CASH EQUIVALENTS

Year ended 31st December	2019 Rs.	2018 Rs.
Cash in hand	510,189	426,875
Cash at bank	295,004,549	89,097,308
Short term investments	-	80,959,071
Total cash and cash equivalent balance	295,514,738	170,483,254

24. FINANCIAL INSTRUMENTS

24.1 Financial Assets and Liabilities by Categories

Financial assets and liabilities in the tables below are split into categories in accordance with LKAS 39.

Financial Assets by Categories

As at 31st December	Loans and Receivables		Available-for-Sale Financial Assets	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Financial investments	2,045,369,823	1,507,403,917	331,579,079	520,861,875
Loans to life policyholders	286,270,410	228,616,921	-	-
Premium receivables	69,528,421	73,071,532	-	-
Reinsurance receivable	68,351,851	26,939,303	-	-
Amounts due from related parties	51,716,671	26,907,609	-	-
Cash and cash equivalent	295,514,738	170,483,254	-	-
Total	2,816,751,914	2,033,422,536	331,579,079	520,861,875

Financial Liabilities by Categories

As at 31st December	Financial Liabilities Measured at Amortised Cost	
	2019 Rs.	2018 Rs.
Reinsurance creditors	102,961,206	50,022,714
Amounts due to related parties	7,203,351	7,184,537
Financial liabilities	132,994,405	115,608,712
Total	243,158,962	172,815,963

The management assessed that cash and short-term deposits, amount due from related parties, reinsurance receivables, premium receivables, reinsurance creditors, amount due to related parties, financial liabilities and bank overdrafts approximate their carrying amounts largely due to the short-term maturities of these instruments.

Notes to the Financial Statements

25. STATED CAPITAL

Fully Paid Ordinary Shares	2019		2018	
	Nos.	Rs.	Nos.	Rs.
At the beginning of the year	66,230,407	675,564,870	66,230,407	675,564,870
Issue of shares for cash consideration	-	-	-	-
At the end of the year	66,230,407	675,564,870	66,230,407	675,564,870

26. INSURANCE CONTRACT LIABILITIES

	2019	2018
	Rs.	Rs.
Balance as at 01st January	1,325,869,400	1,025,457,000
Change in contract liabilities life fund		
Increase in life insurance fund before surplus transfer	452,938,334	442,808,983
Surplus transferred from / (to) shareholders	(231,153,004)	(133,076,787)
Increase in life insurance fund	221,785,330	309,732,196
Movement in AFS reserve transferred to life fund	15,088,971	(9,319,796)
Balance as at 31st December	1,562,743,701	1,325,869,400

Insurance Contract Liabilities – Life

The valuation of the Life Insurance business as at 31st December 2019 was assessed by M/S Actuarial Partners Consulting Sdn Bhd. According to the Actuarial Valuation which is based on a distribution basis, the reserve amounted to Rs. 1,563Mn (2018 - 1,326Mn) which is adequate to cover the liabilities pertaining to the Life Insurance Business.

Long duration contract liabilities included in the Life Insurance Fund, result primarily from traditional nonparticipating Life Insurance products. The actuarial reserves have been established based upon the following:

- Interest rates which vary by product and as required by regulations issued by the Insurance Regulatory Commission of Sri Lanka.
- Mortality rates based on published mortality tables adjusted for actual experience as required by regulations issued by the Insurance Regulatory Commission of Sri Lanka

According to Solvency margin rules (Risk Based Capital) effective from 01st January 2016, Life Insurance Policy Liabilities are valued as per the Gross Premium Valuation (GPV) method. The change in the valuation method from Net Premium Valuation (NPV), which was applicable under the previous Solvency Margin Rules and GPV as per the new rules resulted in a one off release in Liabilities. Our Actuary M/S Actuarial Partners Consulting Sdn Bhd has reworked the one off surplus which is amounting to Rs. 320 Mn on the RBC Basis. The one off surplus is applicable only for the non participating businesses. Company does not engage in participating business. As company has adopted a distribution basis for the liability valuation, the one off surplus will not be transferred to the shareholder fund as a restricted reserve.

As per the Valuation, the Life Insurance Fund included in the Financial Statements exceed the required actuarial reserves by Rs. 231 Mn as at 31st December 2019 before any transfers to shareholders. Accordingly based on the recommendations made by the Actuary a sum of Rs. 231 Mn has been transferred to Shareholders fund from the Life Insurance Fund in 2019.

Liability Adequacy Test (LAT)

A Liability Adequacy Test ("LAT") for Life Insurance contract Liability was carried out by Actuarial Partners, as at 31st December 2019 as required by SLFRS 4 - Insurance Contracts. When performing the LAT, the Company discounted all contractual cash flows and compared this amount with the carrying value of the liability. According to the consultant actuary's report, assets are sufficiently adequate as compared to the discounted cash flow reserves and in contrast to the reserves as at 31st December 2019. No additional provision was required against the LAT as at 31st December 2019.

Key assumptions

The key assumptions used to estimate liability are as follows.

Mortality	Mortality assumptions are based on changes to the life style, which could result in significant changes to the expected future mortality exposure and latest industry liability table.
Risk free rate	The company has used risk free yield curve recommended by the IRCSL obtained through the Central Bank of Sri Lanka (CBSL).
Expenses	Assumptions on future expense are based on current expense levels, adjusted for expected expense inflation, if appropriate.

Sensitivities

The following analysis provides the sensitivity of the life insurance liability due to possible movements in key assumptions with all other assumptions held constant, and shows the impact on gross liabilities.

31st December	Change in assumption	Impact on gross liabilities	
		2019	2018
		%	%
Expenses	+10%	5.28	8.74
Discount Rate	+ 50 basis points	(5.48)	(9.22)
Discount Rate	- 50 basis points	6.48	9.17
Mortality	+ 10%	0.98	1.59
Mortality	- 10%	(1.04)	(2.19)

27. EMPLOYEE BENEFIT OBLIGATIONS

	2019	2018
	Rs.	Rs.
Gratuity benefit obligation		
Balance as at 01st January	9,488,252	6,568,317
Current service cost	2,435,665	2,266,833
Interest cost on benefit obligation	996,266	689,673
Past service cost	-	-
Gratuity paid / payable for those who left during the period	(595,228)	(100,250)
(Gain) / Loss arising from changes in assumptions	(872,847)	63,679
Balance as at 31st December	11,452,108	9,488,252
Expense recognised in the income statement		
Interest cost	996,266	689,673
Current service cost	2,435,665	2,266,832
Net actuarial (gain) / loss recognised immediately	(872,847)	63,679
Past service cost	-	-
Amount recognised in the income statement	2,559,084	3,020,184

The actuarial valuation for the gratuity liability was carried out as at 31st December 2019, by Mr. Poopalanathan, of M/S Actuarial and Management Consultants (Pvt) Ltd.

27.1

Discount rate	10.00%	10.50%
Future salary increases	8%	8%
Retirement age	55 years	55 years

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27.2 Sensitivity analysis on discounting rate and salary increment rate to Statement of Financial Position and Comprehensive Income.

Assumption	Rate Change %	Impact to Financial Position – Increment/ (Reduction) of Liability	Impact to Comprehensive Income – Charged/ (Reversal)
Discount rate	1	(318,745)	(299,449)
Discount rate	-1	337,944	319,528
Salary increment rate	1	375,325	343,756
Salary increment rate	-1	(359,481)	(327,394)

27.3 Maturity Profile of Defined Benefit Obligation

As at 31st December	2019 Rs.	2018 Rs.
Less than one year	2,606,091	1,917,049
Between 1-2 years	4,178,661	3,151,298
Between 3-5 years	3,038,469	2,641,773
Beyond 5 years	1,628,887	1,778,132
	11,452,108	9,488,252

28. REINSURANCE CREDITORS

As at 31st December	2019 Rs.	2018 Rs.
Munich Re	100,482,912	47,544,420
Hannover Re	2,478,294	2,478,294
	102,961,206	50,022,714

29. AMOUNTS DUE TO RELATED PARTY

As at 31st December	Note	2019 Rs.	2018 Rs.
Amounts due from related companies	29 (a)	7,203,351	7,184,537

29. (a)

Related Party	Relationship	2019 Rs.	2018 Rs.
Richard Pieris & Company PLC	Ultimate Parent	-	-
Richard Pieris Distributors Limited	Fellow Subsidiary	4,378,458	4,768,637
Arpico Interiors	Fellow Subsidiary	2,015,020	701,109
Arpitech (Pvt) Ltd.	Fellow Subsidiary	369,173	467,980
Richard Pieris Finance Limited	Fellow Subsidiary	-	1,246,811
RPC Logistics (Pvt) Ltd.	Affiliate	440,700	-
		7,203,351	7,184,537

30. OTHER FINANCIAL LIABILITIES

As at 31st December	2019	2018
	Rs.	Rs.
Agency commission payable	57,243,558	57,054,033
Accrued expenses	(1,179,152)	15,080,553
Claims outstanding	76,929,999	43,474,126
	132,994,405	115,608,712

31. OTHER LIABILITIES

As at 31st December	2019	2018
	Rs.	Rs.
Policyholder advance payments	37,357,216	53,944,898
Other taxes payable	4,468,728	2,040,197
	41,825,944	55,985,095

32. RISK MANAGEMENT FRAME WORK

32.1 Overview

The mission of risk management at Arpico Insurance PLC is to promptly identify, measure, manage, report and monitor risks that affect the achievement of strategic, operational and financial objectives. This includes adjusting the risk profile in line with the Company's stated risk tolerance to respond to new threats and opportunities in order to optimize returns.

The Company is exposed to the following risks.

- Insurance Risk
 - Life Insurance Contracts
 - Reinsurance
- Financial Risk
 - Credit Risk
 - Liquidity Risk
 - Market Risk
 - Operational Risk

This note presents information about Company's exposure to each of the above risks, the Company's objectives, policies and processes for measuring/managing such risks, and the manner in which the Company manages its capital.

32.2 Risk Management Framework

(a) Governance Framework

The primary objective of the Company's risk and financial management framework is to protect the Company's shareholders from events that could hinder the sustainable achievement of financial objectives, including failure to exploit opportunities. The Board of Directors has the overall responsibility for the establishment and oversight of the Company's risk management framework and thus, their approval is necessary for the risk management strategy and risk policies pertaining to all activities of the Company. Further, the Board also ensures that adequate resources, expertise and support are provided for the effective implementation of the risk management strategy, policies and procedures of the Company. Management recognises the paramount importance of having efficient and effective risk management systems in place.

Notes to the Financial Statements

The Company has appointed a Risk Management Committee, comprising members of the senior management from business operations and control functions, which oversees the risk management activities of the Company. The activities cover areas such as the evaluation of business processes, design and implementation of the risk strategy and risk policies, review and updating of the risk profile, delegation of authority, monitoring of risk mitigation activities, etc.

The Board of Directors approves the Company's risk management policies and meets regularly to approve any commercial, regulatory and organisational requirements of such policies. These policies define the Company's identification of risk and its interpretation, limit structure to ensure the appropriate quality and diversification of assets, align underwriting and reinsurance strategy to the corporate goals, and specify reporting requirements.

(b) Capital Management Objectives, Policies and Approach

The Company has established the following capital management objectives, policies and approaches to manage the risks that affect its capital position:

- To maintain the required level of solvency of the Company, thereby providing a degree of security to policyholders
- To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meets the requirements of its shareholders and policyholders
- To retain financial flexibility by maintaining strong liquidity
- To align the profile of assets and liabilities taking account of risks inherent in the business
- To maintain financial strength to support new business growth and to satisfy the requirements of the policyholders, regulators and other stakeholders
- To maintain healthy capital ratios in order to support its business objectives and maximise shareholders' value.

The operations of the Company are subject to regulatory requirements. Such regulations not only prescribe approval and monitoring of activities, but also impose certain restrictive provisions (e.g. Solvency Margin, Approved Assets Requirements of IRCSL) to minimise the risk of default and insolvency on the part of the Company to meet unforeseen liabilities as these arise. The Company has been in compliance with all these regulatory requirements throughout the financial year to the best of our knowledge.

Approach to Capital Management

The Company seeks to optimise the structure and sources of capital to ensure that it consistently maximises returns to the shareholders and policyholders. The Company's approach to managing capital involves managing assets, liabilities and risks in a coordinated way, assessing shortfalls between reported and required capital levels on a regular basis and taking appropriate actions to influence the capital position of the Company in the light of changes in economic conditions and risk characteristics.

The primary source of capital used by the Company is equity shareholders' funds. The capital requirements are routinely forecasted on a periodic basis by the management and the Board. The solvency margins are calculated on a monthly basis and shared with the Board.

(c) Regulatory Framework

Insurance regulator in the Country, Insurance Regulatory Commission of Sri Lanka (IRCSL) is primarily interested in protecting the rights of policyholders and monitors the Company closely to ensure that it is satisfactorily managing affairs for the benefit of policyholders. At the same time, they are also interested in ensuring that the Company maintains an appropriate solvency position to meet unforeseen liabilities arising from economic shocks, natural disasters, etc.

Thus, the operations of the Company are subject to regulatory requirements of the IRCSL as well as various other regulators such as Central Bank of Sri Lanka (CBSL), Department of Inland Revenue etc. The Company is also regulated by the Companies Act No. 07 of 2007.

32.3 Insurance Risk

The principal risk the Company faces under insurance contracts is that the actual claims and benefit payments or the timing thereof, may differ from expectations. This is influenced by the frequency of claims, severity of claims, actual benefits paid and subsequent development of long-term claims. Therefore, the objective of the Company is to ensure that sufficient reserves are available to cover these liabilities.

The risk exposure is mitigated by diversification across a large portfolio of insurance contracts and geographical areas. The variability of risks is also improved by careful selection and implementation of underwriting strategy guidelines, as well as the use of reinsurance arrangements.

(a) Life Insurance Risk

Life insurance contracts offered by the company include endowment plans and term assurance and non-conventional products.

Endowment assurance are conventional products where lump sum benefits are payable on death/permanent disability or maturity whichever happens earlier.

Term assurance are conventional products where lump sum benefits are payable on death or permanent disability.

The main risk that the company is exposed to under Life Insurance Contracts are as follows:

- Mortality risk is the risk that actual policyholder death experience on life insurance policies is higher than expected.
- Morbidity risk is the risk that policyholder health-related claims are higher than expected.
- Longevity risk is the risk that annuitants live longer than expected.
- Investment return risk is the risk that actual returns lower than expected.
- Expense risk is the risk that expenses incurred in acquiring and administering policies are higher than expected.
- Policyholder behavior risk is the risk that policyholders' behavior in discontinuing and reducing contributions or withdrawing benefits prior to the maturity of the contract is worse than expected. Poor persistency rates may lead to fewer policies remaining on the books to defray future fixed expenses and therefore reduce the future positive cash flows from the business written, potentially impacting its ability to recover deferred acquisition expenses.
- Market risk is the risk that associated with the variation of investment income due to the changes in the financial markets.
- Credit risk is the risk that resulting from counterparties failing to fulfill the financial obligations.

The company's underwriting strategy is designed to ensure that risks are well diversified in terms of type of risk and level of insured benefits. This is largely achieved through the use of medical screening in order to ensure that pricing takes account of current health conditions and family medical history, regular review of actual claims experience and product pricing. Underwriting limits are in place to enforce appropriate risk selection criteria. For example, the company has the right not to renew individual policies, it has the right to reject the payment of fraudulent claims.

The company further enforces a policy of actively managing and promptly pursuing claims, in order to reduce its exposure to unpredictable future developments that can negatively impact the company. For contracts for which death or disability is the insured risk, the significant factors that could increase the overall frequency of claims are epidemics, widespread changes in lifestyle and natural disasters, resulting in earlier or more claims than expected. The Company limits exposure on any single life by way of retention limits agreed with the reinsurers.

Some of the specific actions by the Company to mitigate Life Insurance Risks are shown below:

Life Underwriting Risk Management

- Maximum input is obtained from the Consultant Actuary and Reinsurer in deciding on the terms and conditions of products in order to ensure that products are adequately priced.
- Only registered laboratories are used when obtaining medical reports and regular visits are made by the management to such laboratories to monitor the quality of service.
- Focused training is provided to Insurance Advisors on proper selling in Sinhala, Tamil and English.
- A proposal form with Customer Need Analysis is used to identify customers' requirements and sell the most appropriate policy..

Life Claims Risk Management

- An Independent Actuary is engaged to carry out a valuation of the Life Fund twice a year.
- Claims are reserved immediately at the intimation or on the availability of information of the death or injury of an insured.
- The Claims Panel (comprising Specified Officer, Principal Officer and Manager Actuarial) is involved in taking decisions on significant / problematic claims and appeals made in respect of claims.

Notes to the Financial Statements

(b) Reinsurance Risk

The Company's objectives for purchasing reinsurance are to provide market-leading capacity for customers while protecting the balance sheet and optimizing the Company's capital efficiency. Reinsurance ceded is placed on a proportional basis. A proportional reinsurance arrangement includes both Quota Share and Facultative Treaty programmes which is taken out to reduce the overall exposure of the Company to certain classes of business. Premium ceded to the reinsurers is in accordance with the terms on the programmes already agreed based on the risks written by the insurance companies.

Recoveries from reinsurers on claims are based on the cession made in respect of each risk and is estimated in a manner consistent with the outstanding claims provisions made for the loss. Although we mitigate our exposures through prudent reinsurance arrangements, the obligation to meet claims emanating from policyholders rests with the Company. Default of reinsurers does not negate this obligation and in that respect the Company carries a credit risk up to the extent ceded to each reinsurer.

The Company's placement of reinsurance is arranged in a manner that is neither dependent on a single reinsurer nor substantially dependent upon any single reinsurance contract. The Company uses Munich Re as its reinsurance provider for individual policies as well as for Group policies. The company also uses Hannover Re in certain cases.

Credit ratings of the reinsurance companies with whom the Company has arrangements.

Reinsurer	Rating	Rating Agency
Munich Re	A+	A.M. Best
Hannover Re	A+	A.M. Best

Some of the specific actions by the Company to mitigate Reinsurance Risks are shown below:

- Outstanding reinsurance receivables are reviewed on a monthly basis to ensure that all dues are collected or set off against payables on time.
- A very close and professional relationship is maintained with all reinsurers.
- No cover is issued without a confirmed reinsurance in place.
- Only a globally trusted and stable portfolio of reinsurance companies which are rated highly by Standard & Poors or AM Best is used.

32.4 Credit Risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation. The Company's credit risk could mainly arise from financial assets such as its investment portfolios, premium receivables from policyholders, receivables from reinsurers, loans given to policyholders and cash and cash equivalents etc.

Credit Exposure

Company's exposure to credit risk as at the Balance sheet date is given in below table with the comparative figures and has been derived as per the company risk management policy of using the carrying values in the statement of financial position.

As at 31st December	2019 Rs. '000	% of Allocation	2018 Rs. '000	% of Allocation
Financial investments				
Debt securities - Loans and receivables	2,045,370	65	1,507,404	59
Debt securities - Available for sale	331,579	11	520,862	20
Total debt securities	2,376,949	75	2,028,266	79
Life policyholders loans	286,270	9	228,617	9
Reinsurance receivable	68,352	2	26,939	1
Amounts due from related party	51,717	2	26,908	1
Premiums receivable	69,528	2	73,072	3
Cash in hand and at bank	295,515	9	170,483	7
Total credit risk exposure	3,148,331	100	2,554,284	100

As of December 31st 2019 the largest credit risk exposure of 75% (2018 - 79%) is arising from investments in debt securities.

Credit Risk – Financial Investments in Debt Securities

Company limits its exposure to credit risk by analysing the creditworthiness of each debt security investment. The credit worthiness of a potential debt security investment is assessed mainly through ratings assigned to the issuing institution or the ratings assigned to an issue. The debt security investments are broadly categorised into investments in government securities and investments in corporate debt securities.

As at 31st December	2019 Rs. '000	% of Allocation	2018 Rs. '000	% of Allocation
Financial investments				
Government securities and related institutions	1,159,857	49	918,847	47
Corporate debt securities	801,837	34	714,152	36
Deposits	415,255	17	342,069	17
Total debt securities	2,376,949	100	1,975,068	100

(i) Government Securities

As shown in table above, as at 31st December 2019, 49% (2018 - 47%) of debt securities comprise investments in government securities comprising treasury bonds, bills and repo investments. Government securities are usually referred to as risk free due to the sovereign nature of the instrument.

(ii) Corporate Debt Securities

As at 31st December 2019, corporate debt securities comprise 34% (2018 - 36%) of the total investments which were rated "A-" or better (2018 - 100%).

Corporate debt security allocation 2019 vs 2018 – credit rating wise

As at 31st December	2019		2018	
Rating	Rs. '000	% of Total	Rs. '000	% of Total
AA+ AA-	191,893	24	177,830	25
A+ A-	609,943	76	536,322	75
BBB BB-	-	-	-	-
Not rated *	-	-	-	-
Total	801,836	100	714,152	100

Comprises Rs. 802Mn (2018 - Rs. 714Mn) with an issuer rating above "A-".

(iii) Concentration Risk of Corporate Debt Securities

Company actively manages its investment mix to ensure that there is no significant concentration of credit risk.

Credit risk relating to loans to life policyholders

A loan issued by an insurance company considers the surrender value of the life policy as collateral. As at the balance sheet date, the value of policy loans granted amounted to Rs. 286Mn (2018 - Rs. 229Mn) and its related surrender value is Rs. 336.8Mn (2018 - Rs. 339.3Mn).

Credit Risk Relating to Cash and Cash Equivalents

In order to mitigate concentration, settlement and operational risks related to cash and cash equivalents, the company limits the maximum cash amount that can be deposited with a single counterparty. In addition, the company maintains an authorised list of acceptable cash counterparties based on current ratings and economic outlook, taking into account analysis of fundamentals and market indicators. The company held cash and cash equivalents of Rs. 296Mn as at 31st December 2019 (2018 - Rs. 170Mn). The cash and cash equivalents are held with banks and financial institutional counterparties, which are rated A+ or better.

Notes to the Financial Statements

32.5 Liquidity Risk

Liquidity risk is the risk that the company may not have sufficient liquid financial resources to meet its obligations when they fall due, or would have to incur excessive costs to do so. In respect of catastrophic / unexpected large claim events there is also a liquidity risk associated with the timing differences between gross cash outflows and expected reinsurance recoveries.

The following policies and procedures are in place to mitigate the exposure to liquidity risk:

- The Board Investment Committee (BIC) manages this risk by diversifying investment durations and reviewing cash flow projections regularly.
- Guidelines are set for asset allocations, portfolio limit structures and maturity profiles of assets, in order to ensure availability of sufficient funding to meet insurance and investment contract obligations.
- Reinsurance contracts contain clauses permitting the immediate draw down of funds to meet claim payments should claim events exceed a certain size.

Maturity Profiles

The table below summarises the maturity profile of the non- derivative financial assets of the Company based on remaining contractual obligations.

As at 31st December 2019	Carrying Amount Rs. '000	Up to a Year Rs. '000	1-3 Years Rs. '000	3-5 Years Rs. '000	5-10 Years Rs. '000	Total Rs. '000
Financial assets						
Loans & receivables	2,045,370	1,270,485	416,130	358,755	-	2,045,370
Available for sale	331,579	-	-	52,351	279,228	331,579
Life policyholders loans	286,270	38,777	98,326	29,387	119,780	286,270
Reinsurance receivable	68,352	68,352	-	-	-	68,352
Premiums receivable	69,528	69,528	-	-	-	69,528
Cash and cash equivalents	295,515	295,515	-	-	-	295,515
Total assets	3,096,614	1,742,657	514,456	440,493	399,008	3,096,614

As at 31st December 2019	Carrying Amount Rs. '000	Up to a Year Rs. '000	1-3 Years Rs. '000	3-5 Years Rs. '000	5-10 Years Rs. '000	Total Rs. '000
Financial liabilities						
Reinsurance creditors	102,961	102,961	-	-	-	102,961
Amounts due to related party	7,203	7,203	-	-	-	7,203
Other financial liabilities	132,995	132,995	-	-	-	132,995
Total liabilities	243,159	243,159	-	-	-	243,159

As at 31st December 2018	Carrying Amount Rs. '000	Up to a Year Rs. '000	1-3 Years Rs. '000	3-5 Years Rs. '000	5-10 Years Rs. '000	Total Rs. '000
Financial assets						
Loans & receivables	1,507,404	604,748	509,659	392,997	-	1,507,404
Available for sale	520,862	70,629	-	48,811	401,422	520,862
Life policyholders loans	228,617	19,321	87,942	30,485	90,869	228,617
Reinsurance receivable	26,939	26,939	-	-	-	26,939
Premiums receivable	73,072	73,072	-	-	-	73,072
Cash and cash equivalents	170,483	170,483	-	-	-	170,483
Total assets	2,527,377	965,192	597,601	472,293	492,291	2,527,377

As at 31st December 2018	Carrying Amount Rs. '000	Up to a Year Rs. '000	1-3 Years Rs. '000	3-5 Years Rs. '000	5-10 Years Rs. '000	Total Rs. '000
Financial liabilities						
Reinsurance creditors	50,023	50,023	-	-	-	50,023
Amounts due to related party	7,185	7,185	-	-	-	7,185
Other financial liabilities	115,609	115,609	-	-	-	115,609
Total liabilities	172,817	172,817	-	-	-	172,817

32.6 Market Risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risks: foreign exchange rates (currency risk), market interest rates (interest rate risk) and market prices (price risk).

- A company market risk policy setting out the assessment and determination of what constitutes market risk for the company. Compliance with the policy is monitored and exposures and breaches are reported to the company investment committee. The policy is reviewed regularly for pertinence and for changes in the risk environment.
- Set asset allocation and portfolio limit structure, to ensure that assets back specific policyholder liabilities and the assets are held to deliver income and gains for policyholders which are in line with expectations of the policyholders.

(a) Currency Risk

Currency risk is the risk that the fair value / present value of the future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Company's principal transactions are carried out in Sri Lankan Rupees and its exposure to foreign exchange risk is very minimal.

The Company's financial assets are primarily denominated in the same currencies as its insurance. The company has no significant concentration of currency risk.

(b) Interest Rate Risk

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Floating rate instruments expose the company to cash flow interest risk, whereas fixed interest rate instruments expose the company to fair value interest risk.

Interest on floating rate instruments is re-priced at intervals of less than one year. Interest on fixed interest rate instruments is priced at the inception of the financial instrument and is fixed until maturity.

The analysis that follows is performed for reasonably possible movements in key variables with all other variables held constant, showing the impact on profit before tax (due to changes in fair value of floating rate financial assets) and equity (That reflects adjustments to profit before tax on revaluing Available for sale financial assets)

As part of the Company's investment strategy, in order to reduce both insurance and financial risk, the Company matches its investments to the liabilities arising from insurance by reference to the type of benefits payable to contract holders to the maximum possible extent. However, due to the availability of long term investment opportunities in the country, insurance liabilities (Life Insurance) are of a longer term than corresponding assets.

(c) Equity Price Risk

Equity price risk is the risk that the fair value / present value of future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market.

The Company's equity price risk exposure relates to financial assets and financial liabilities whose values will fluctuate as a result of changes in market prices. The company's price risk policy requires it to manage such risks by setting and monitoring objectives and constraints on investments, diversification plans, limits on investments in each sector and market.

The company has no significant concentration of risk.

Notes to the Financial Statements

32.7 Operational Risk

Operational risk is the risk of loss arising from system failure, human error, fraud or external events. When controls fail to perform, operational risks can cause damage to reputation, have legal or regulatory implications or can lead to financial losses. The Company cannot expect to eliminate all operational risks, but by initiating a rigorous control framework and by monitoring and responding to potential risks, the Company is able to manage the risks.

Controls to manage the Operational Risk includes effective segregation of duties, access controls, authorisation and reconciliation procedures, staff education and assessment processes, including the use of internal audit. Business risks such as changes in environment, technology and the industry are monitored through the Company's strategic planning and budgeting process.

33. RELATED PARTY TRANSACTIONS

The company carries out transaction in the ordinary course of business with parties who are defined as related party is in Sri Lanka Accounting Standard, LKAS 24 "Related Party Disclosures".

The pricing applicable to such transactions is based on the assessment of risk and pricing model of the Company and is comparable with what is applied to transactions between the Company and its unrelated customers.

This note provides details of Arpico Insurance's related parties and the transactions which have taken place between the company and its related parties.

(a) Transactions with the Ultimate Controlling Party of the Company

Richard Pieris & Company PLC is the parent/ ultimate controlling party of Arpico Insurance. The Company has transactions with its parent as follows:

(i) Insurance Contracts Transactions with the Ultimate Controlling Party of the Company

Nature of the Transaction	2019 Rs.	2018 Rs.
Insurance premium received/receivable	42,438,074	51,479,193
Claims paid	(30,052,891)	(33,038,824)

(ii) Other Transactions with the Ultimate Controlling Party of the Company

Nature of the Transaction	2019 Rs.	2018 Rs.
Interest received/receivables	64,932,588	15,998,197
Expenses incurred behalf of the company	(126,541,987)	(139,123,041)
Fund transfers	67,622,142	125,906,192
Dividends paid	-	-

(b) Transactions with Key Management Personnel (KMP) of the Company and Close Family Members

According to Sri Lanka Accounting Standard LKAS 24 "Related Party Disclosures", Key Management Personnel are those having authority and responsibility for planning, directing and controlling the activities of the entity.

Accordingly Arpico Insurance, considers its Board of Directors(Including Executive & Non-Executive Directors) and Board of Directors of Parent (Including Executive & Non-Executive Directors) as the KMP of the company.

	2019 Rs.	2018 Rs.
Short term employee benefits	1,100,000	400,000

(c) Transaction with/Between Subsidiary Companies of Parent Company

Nature of the Transaction	2019	2018
Fellow Subsidiaries	Rs.	Rs.
Claims paid	(6,993,018)	(3,346,217)
Insurance premium received / receivable	18,548,280	27,090,436
Purchase of fixed assets	(7,903,605)	(11,505,668)
Rent paid	(9,044,423)	(10,530,801)
Dividends paid	-	-
Others	105,990	(2,428,492)

(d) Recurrent Related Party Transactions

The aggregate value of the recurrent Related Party Transactions that exceeds 10% of the gross written premium as per the Colombo Stock Exchange listing rule 9.3.2 (b) are as follows:

Name of the Related Party	Relationship	Nature of the Transaction	Aggregate Value of Related Party Transactions Entered into during the Financial Year (LKR)	Aggregate Value of Related Party Transactions as a % of Net Revenue/Income	Terms and Conditions of the Related Party Transactions
Richard Pieris & Company PLC	Parent company	Expenses incurred on behalf of the company	(126,541,987)	10	Ordinary business transactions

(e) Non-Recurrent Related Party Transactions

There were no non recurrent related party transactions which in aggregate value exceeds 10% of the equity or 5% of the total assets which ever is lower of the Company as per 31st December 2019 Audited Financial Statements, which required additional disclosures in the 2019 Annual Report under Colombo stock exchange listing rule 9.3.2.

34. COMMITMENT AND CONTINGENCIES

There were no capital commitments and contingent liabilities as at the reporting date.

35. EVENTS OCCURRING AFTER THE REPORTING PERIOD

The outbreak and spread of the coronavirus globally since January 2020 have caused disruption to business and economic activities, and uncertainty to the global economy. Quarantine measures taken by respective countries widely affected the Company's clients directly or indirectly linked to industry sectors such as Financial, Agriculture, Manufacturing, Tourism, Transportation, Construction, Trade, Services, Consumption. Recent COVID 19 containing measures taken by Local Government has also caused temporal disruption to business operations and economic activities of the Company and its customers. Resulting financial effects would be negative, financial repercussions would be felt by the Company in the first quarter of FYE 2020.

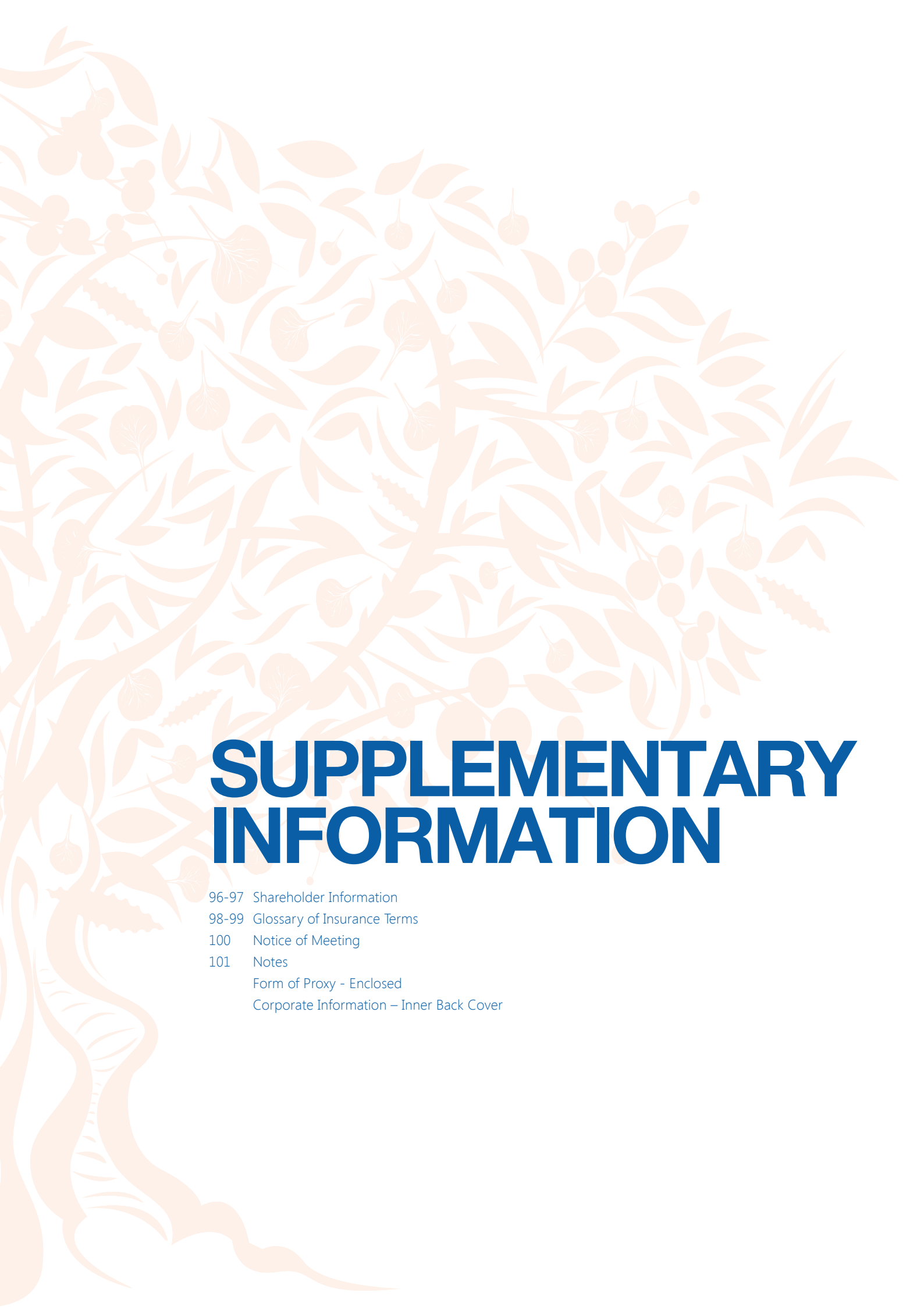
Increase in claims, long outstanding premium receivables, policy surrenders are likely to have negative impact on the earnings, cash flows and liquidity positions of the Company.

The life insurance contract liabilities as at 31st December 2019 was estimated based on a range of forecast economic conditions such as mortality, morbidity, longevity, investment returns, expenses, lapses and surrender rates and discount rates.

Decrease in the prices of equity and debt instruments will be negatively impacted to the solvency of the company where market consistent value of the investments for risk-based capital consider the market value of the securities.

The Company will continue to take appropriate actions to mitigate any potential impact and will keep its contingency and risk management measures under review, as the situation evolves. With the situation and the spread of the coronavirus still evolving, the impact to our core markets and also to the Company's financial results cannot be reasonably estimated at the current stage.



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SUPPLEMENTARY INFORMATION

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Form of Proxy - Enclosed

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Shareholder Information

SHARE LEDGER MANAGEMENT SYSTEM

Twenty Largest Shareholders

Name of the Shareholder		2019 Shareholding	2019 % on Issued Shares	2018 Shareholding	2019 % on Issued Shares
1	Kegalle Plantations Plc	26,685,001	40.29	26,685,001	40.29
2	Richard Pieris Distributors Limited	17,790,001	26.86	17,790,001	26.86
3	Richard Pieris and Company Plc	15,125,001	22.84	15,125,001	22.84
4	Mr. J P Paul	1,733,233	2.62	1,498,283	2.26
5	Mr. C S N Silvapulle	668,399	1.01	668,399	1.01
6	Mr. S Sivashanth	479,415	0.72	400,000	0.60
7	Mr. H V Senaweera	440,053	0.66	440,053	0.66
8	Mrs. M P B Fernando	425,000	0.64	400,000	0.60
9	Mr. A P Arumugampillai	200,000	0.30	200,000	0.30
10	Mr B A R Dissanayake	200,000	0.30	200,000	0.30
11	Mrs. M S E V E A U Von Stumm	150,000	0.23	150,000	0.23
12	Merchant Bank of Srilanka & Finance Plc/s	150,000	0.23	154,999	0.23
13	Peoples Leasing & Finance Plc /Mr.K J Gamage	150,000	0.23	150,000	0.23
14	Mr. M L A Benedict	120,530	0.18	122,890	0.19
15	Mr. T A N Gomis	118,543	0.18	82,219	0.12
16	Mr. S A Obeysekere	103,300	0.16	103,300	0.16
17	Flybrunei Sdn Bhd	99,700	0.15	99,700	0.15
18	Mr. F N Herft	95,584	0.14	143,811	0.22
19	Mr. P B Perera	88,544	0.13	88,544	0.13
20	Assetline Leasing Company Ltd/Mr K.	79,459	0.12	-	-

COMPOSITION OF SHAREHOLDERS

Public Shareholdings	2019		2018	
	No. of Shares	% on Issued Shares	No. of Shares	% on Issued Shares
No. of shares	6,630,400	10.01	6,630,400	10.01
No. of shareholders	592	96.89	555	98.75

RESIDENT AND NON-RESIDENT SHAREHOLDINGS

Public Shareholdings	2019				2018			
	No. of Shareholders	%	No. of Shares Held	%	No. of Shareholders	%	No. of Shares Held	%
Resident	599	98.04	64,133,832	96.83	549	97.69	64,327,979	97.13
Non-Resident	12	1.96	2,096,575	3.17	13	2.31	1,902,428	2.87
Grand total	611	100.00	66,230,407	100.00	562	100	66,230,407	100

DISTRIBUTION OF SHAREHOLDINGS

Public Shareholdings	2019				2018			
	No. of Shareholders	%	No. of Shares Held	%	No. of Shareholders	%	No. of Shares Held	%
Less than or equal								
1 - 1,000	465	76.10	105,555	0.16	398	70.82	107,503	0.17
1,001 - 10,000	95	15.55	362,230	0.55	110	19.57	437,307	0.66
10,001 - 100,000	34	5.56	1,127,847	1.70	36	6.41	1,187,379	1.79
100,001 - 1,000,000	13	2.13	3,321,740	5.02	14	2.49	3,399,942	5.13
Over 1,000,000	4	0.65	61,313,035	92.58	4	0.71	61,098,276	92.25
Grand total	611	100.00	66,230,407	100.00	562	100	66,230,407	100

DIRECTORS SHAREHOLDINGS

There is no shareholding by the directors as at 31st December 2019.

Shareholder Information	2019	2018
Number of Shares		
No. of Shares representing the stated capital	66,230,407	66,230,407
Class of shares	Ordinary	Ordinary
Voting rights	One vote per share	One vote per share
Share performance		
Net asset value per share as at 31st December	23.6	15.9
Highest price per share for the period	22.9	19.6
Lowest price per share for the period	17	17
Last traded price per share as at 31st December	19.2	18.3
Float adjusted market capitalisation	127,303,757	121,336,179

Glossary of Insurance Terms

ACTUARIAL VALUATION

A determination by an actuary at a specific date of the value of a Life Insurance Company's assets and its liabilities. The purpose of a valuation is to determine if the Company hold adequate assets to fund the Company's liabilities.

CLAIMS

The amount payable under a contract of insurance arising from the occurrence of an insured event such as destruction or damage of property and related death or injuries, the insuring of hospital or medical bills, death or disability of the insured and gratuity claims.

CLAIMS INCURRED

The aggregate of all claims paid during the accounting period together with attributable claims handling expenses, where appropriate, adjusted by the gross claims reserve at the beginning and end of the accounting period.

CLAIMS OUTSTANDING – LONG TERM INSURANCE

The amounts provided to cover the estimated ultimate cost of settling claims arising out of an event which have been notified by the date of Statement of Financial Position, being sums due to beneficiaries together with claims handling expenses, less amounts already paid in respect of those claims.

COMMISSION

Remuneration to an intermediary for services such as selling and servicing an insurer's products. This is one component of acquisition expenses.

DEPOSIT PREMIUM

A premium paid on the inception of a contract of insurance or reinsurance, which is subject to adjustment at a later date. A deposit premium may represent the minimum amount payable.

ENDOWMENT

Life insurance payable to the policyholder if living on the maturity date stated in the policy or to a beneficiary if the insured dies before that date.

GROSS WRITTEN PREMIUM – LIFE

Premium to which the insurer is contractually entitled and received in the accounting period.

INSURANCE

Insurance is a contract whereby one party the insurer, in return for a consideration i.e. the premium, undertakes to pay the other party - the insured, a sum of money or its equivalent in kind, upon the happening of a specified event that is contrary to the interest of the insured.

INSURANCE PROVISION – LONG TERM

The fund or funds to be maintained by an insurer in respect of its Long Term Insurance business in accordance with the Regulation of Insurance Industry Act No. 43 of 2000.

LIFE SURPLUS

The excess of the assets over the liabilities as determined by the actuary (taking into account solvency requirements) and after distribution of dividends to policyholders.

LONG TERM INSURANCE

Commonly referred to as Life Insurance contracts, as opposed to annual Non-Life insurance policies.

MATURITY

The time at which payment of the sum insured under a Life insurance policy falls due at the end of its term.

NET EARNED PREMIUM

Gross written premium adjusted for the reinsurance incurred and for the increase or decrease in unearned premium.

NET WRITTEN PREMIUM

Gross written premium less reinsurance premium payable.

NET CLAIMS INCURRED

Claims incurred less reinsurance recoveries.

POLICY LOANS

A loan given to the policyholder on the security of the surrender value of a Life Insurance policy. The loan is limited to a percentage of the current surrender value of the policy and interest is charged on such loan.

PREMIUM

The consideration payable by the insured for an insurance contract.

PROFIT COMMISSION

Commission received from the reinsurer based on the net profit of the reinsurer as defined in the agreement between the insurer and the reinsurer.

REVENUE ACCOUNT

An account which shows a financial summary of the insurance related revenue transactions for the accounting period.

REINSURANCE

Transfer of all or part of the risk assumed by an insurer under one or more insurances to another insurer, called the reinsurance.

REINSURANCE COMMISSION

Commission received or receivable in respect of premium paid or payable to a reinsurer.

REINSURANCE PREMIUM

The premium payable to the reinsurer.

SOLVENCY MARGIN – LIFE

The difference between the value of assets and the value of liabilities, required to be maintained by the insurer who carries on Long Term Insurance business as defined in the Regulation of Insurance Industry Act No. 43 of 2000.

SURRENDER

Termination of an insurance policy by the insured before the expiry of its term (more common in Life insurance).

SURRENDER VALUE

The sum payable by an insurance Company upon the surrender of a Life Insurance policy before it has run its full course.

COMBINED RATIO

Sum of the loss ratio and expense ratio.

FAIR VALUE

The price that a reasonable buyer would be willing to pay and a reasonable seller would be willing to accept for a product on the open market.

AVAILABLE FOR SALE (AFS)

Securities that have been acquired neither for short-term sale nor to be held to maturity. These are shown at fair value on the statement of financial position.

CASH FLOW STATEMENT

Statement on the origin and utilisation of cash and cash equivalents during the accounting period. It shows the changes in liquid funds separated into cash flows from operating, investing and financing activities.

CORPORATE GOVERNANCE

Serves to ensure responsible management and supervision of enterprises and is intended to foster the trust of investors, clients, employees and the general public in companies.

EARNINGS PER SHARE

Ratio calculated by dividing the consolidated net income/(loss) by the weighted average number of shares outstanding.

Notice of Meeting

NOTICE IS HEREBY GIVEN that the Eighth (08th) Annual General Meeting of Arpico Insurance PLC will be held at the Registered Office, No. 310, High Level Road, Nawinna, Maharagama on 11th September 2020 at 3.00 p.m. and the business to be brought before the meeting will be as follows;

1. To consider the Report of the Directors and the Statement of Accounts for the year ended 31st December 2019 with the Report of the Auditors thereon.
2. To approve the appointment of Mr. Saravanapavan Sirikananathan as a Director

Pursuant to Section 211 of the Companies Act No. 07 of 2007, a Notice of the following Ordinary Resolution has been received by the Company, from Richard Pieris Distributors Limited, 310, High Level Road, Nawinna, Maharagama, a shareholder of the Company.

"That Mr. Saravanapavan Sirikananathan of No. 291/7, Edward Avenue, Havelock Road, Colombo 06, who is 74 years of age be and is hereby appointed a Director of the Company in terms of section 211 of the Companies Act No. 07 of 2007, and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act no. 07 of 2007 shall not apply to the said Mr. Saravanapavan Sirikananathan."

The Company has also received a letter dated 02nd July 2020 from Mr. Saravanapavan Sirikananathan declaring his willingness to be elected to the Directorate of the Company.

The Directors who considered the contents of the letters received by the Company from Richard Pieris Distributors Limited and Mr. Saravanapavan Sirikananathan decided to notify the Shareholders of the Company of the Special Notice received by the Company and the proposed Resolution, which is to be moved at the Annual General Meeting of the Company for the purpose of considering and if thought fit passing the said Resolution as an Ordinary Resolution.

3. To approve the appointment of Mr. Warnakulapatabendige Joseph Viville Praxidus Perera as a Director

Pursuant to Section 211 of the Companies Act No. 07 of 2007, a Notice of the following Ordinary Resolution has been received by the Company, from Kegalle Plantations PLC, 310, High Level Road, Nawinna, Maharagama, a shareholder of the Company.

"That Mr. Warnakulapatabendige Joseph Viville Praxidus Perera of 33C1, King's Gate, Keells Housing Scheme, Buthgamuwa Road, Kalapaluwawa, Rajagiriya, who is 72 years of age be and is hereby appointed a Director of the Company in terms of section 211 of the Companies Act No. 07 of 2007, and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act no. 07 of 2007 shall not apply to the said Mr. Viville P Perera"

The Company has also received a letter dated 02nd July 2020 from Mr. Viville P Perera declaring his willingness to be elected to the Directorate of the Company.

The Directors who considered the contents of the letters received by the Company from Kegalle Plantations PLC and Mr. Viville P Perera decided to notify the Shareholders of the Company of the Special Notice received by the Company and the proposed Resolution, which is to be moved at the Annual General Meeting of the Company for the purpose of considering and if thought fit passing the said Resolution as an Ordinary Resolution.

4. To elect Mrs. Lasinee Serasinhe who retires by rotation in terms of Article 31 (1) at the Annual General Meeting, a Director.
5. To re -appoint M/s. Ernst & Young, Chartered Accountants as Auditors of the Company and to authorize the Directors to determine their remuneration.
6. To authorize the Directors to determine contributions to charities.
7. To consider any other business of which due notice has been given.

By Order of the Board,



Richard Pieris Group Services (Private) Limited
Secretaries

No. 310, High Level Road, Nawinna, Maharagama
20th July 2020

Note:

- a) A member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and vote instead of him/her.
- b) A proxy need not be a member of the Company. The form of proxy will be found inserted in the Annual Report.

The completed form of proxy should be deposited at the registered office of the Company No. 310, High Level Road, Nawinna, Maharagama., not less than 48 hours before the time appointed for the holding of the meeting.

Notes

[illegible]

Form of Proxy

I/We* (in block letters) of
..... being a member/members of the
ARPICO INSURANCE PLC, hereby appoint
..... of

whom failing WARNAKULAPATABENDIGE JOSEPH VIVILLE PRAXIDUS PERERA whom failing SARAVANAPAVAN SIRIKANANATHAN whom failing LASINEE SRIYANTHIE AMALA SERASINHE whom failing BODIYABADUGE SHIRON ADRIAN PERERA GOONERATNE whom failing RAVIPRIYA NALAKA LIYANAGE * as my/our proxy to represent me/us and to vote on my/our behalf at the 8TH ANNUAL GENERAL MEETING of the Company to be held on 11th September 2020 and any adjournment thereof, and at every poll which may be taken in consequence thereof to vote:

	In Favour	Against
01. To consider the Report of the Directors and the Statement of Accounts for the year ended 31st December 2019 with the Report of the Auditors thereon.	☐	☐
02. To approve under and in terms of Section 211 of the Companies Act No. 07 of 2007, the appointment of Mr. S Sirikananathan at the Annual General Meeting, a Director.	☐	☐
03. To approve under and in terms of Section 211 of the Companies Act No. 07 of 2007, the appointment of Mr. Viville Perera at the Annual General Meeting, a Director.	☐	☐
04. To re-elect Mrs. Lasinee Serasinhe, who retires by rotation in terms of Article 31 (1) at the Annual General Meeting, a Director.	☐	☐
05. To re-appoint M/s Ernst & Young, Chartered Accountants as Auditors of the Company and to authorise the Directors to determine their remuneration.	☐	☐
06. To authorize the Directors to determine contributions to charities.	☐	☐
07. To consider any other business of which due notice has been given.	☐	☐

Dated this day of 2020.

Signature of shareholder

Notes:

- (i) Please delete the inappropriate words
- (ii) A proxy need not be a member of the Company.
- (iii) Instruction as to completion appear on the reverse of this form.

Form of Proxy

INSTRUCTIONS AS TO COMPLETION OF PROXY FORM

- To be valid, this Form of Proxy must be deposited at the Registered Office of the Company No. 310, High Level Road, Nawinna, Maharagama., not later than 3.00 p.m. on 9th September 2020
- In perfecting the Form of Proxy, please ensure that all details are legible.
- In the case of a Company/Corporation, the proxy must be under its Common Seal, which should be affixed and attested in the manner prescribed by its Articles of Association.
- Please indicate with an 'X' in the space provided how your proxy is to vote on each resolution. If no indication is given the proxy at his/her discretion will vote as he/she thinks fit.
- This Form of Proxy shall in the case of an individual be signed by the appointor or his/her Attorney. Where the Form of Proxy is signed under a Power of Attorney, which has not been registered with the Company, the original Power of Attorney together with a photocopy of same or a copy certified by a Notary Public must be lodged with the Company, along with the Form of Proxy.



ARPICO INSURANCE PLC

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